NPTEL COURSE

BUSINESS DEVELOPMENT
From Start to Scale

Week 10: Lectures 46 to 50
Business Development Competencies

Lecture 46: Value Chain Competencies

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Value Chains

The value chain of a company determines the levers which a business development executive can use.

For End-Product, Component or Material

R&D → Procurement and Inbound Logistics → Manufacturing → Warehousing and Outbound Logistics → Sales and Marketing → After-sales Service

For R&D

Idea Design → Initial Prototyping and Testing → Specification Setting → Final Prototyping and Testing → Field Optimisation → Final Release

For Manufacturing

Facility Planning → Materials Planning → Production Planning → Production → Quality → Environment, Safety and Health

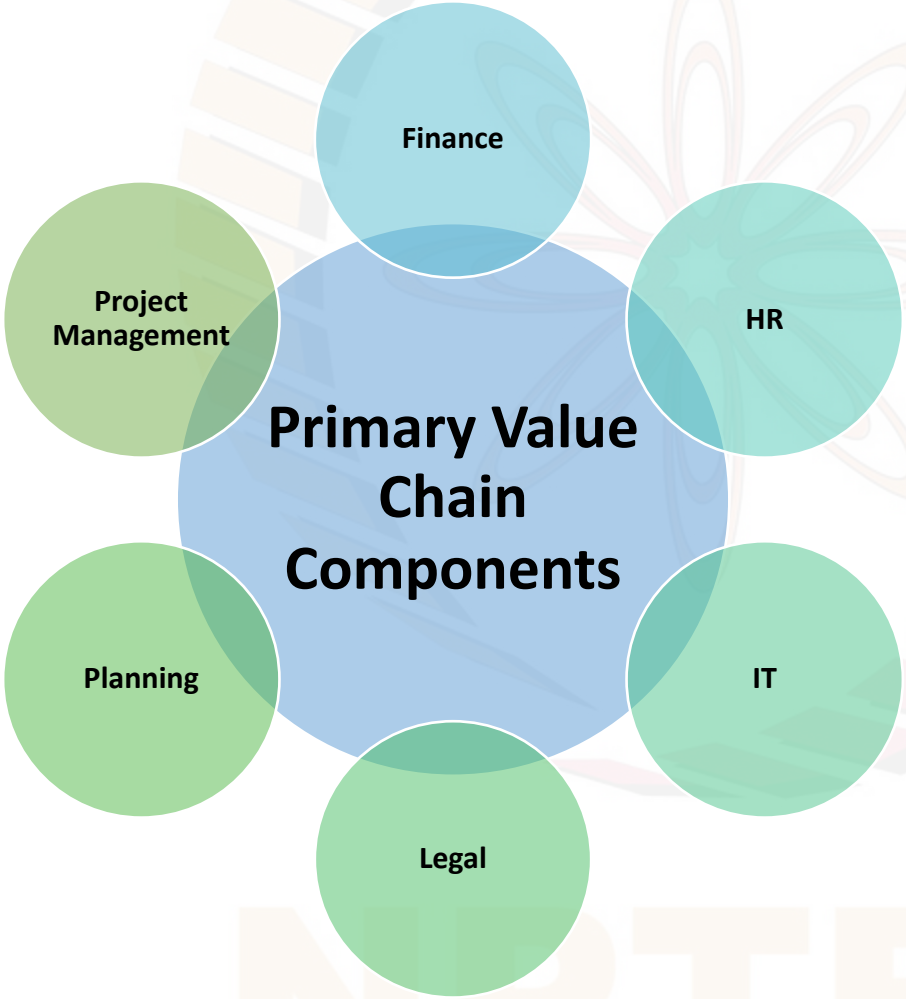
For Sales & Marketing

Market Research → Demand Planning → Product Management → Sales Promotion → Sales → Parts and Service

Every product, its embedded components and materials have their respective value chains. Business development skill lies in understanding how relationships can be made across the various value chains.

Supportive Services

The primary value chain of a company is supported by several specialized necessary services as below.



These services offer opportunity to be sources or levers of business development for the primary chain.

Supportive Value Chains - 1

The primary value chain of a company is supported by several service value chains as below

Finance

Treasury → Payables and Receivables → Accounting → Business Finance → MIS → Internal Audit

Human Resources

Organisation Design → Talent Mapping → Talent Development → Performance Appraisal → Compensation Management → Culture Management

Information Technology

ERP → MIS → Cybersecurity → Digital Stores → Analytics → Artificial Intelligence

Each supportive value chain also offers opportunity to offer the services as solutions to companies.

Supportive Value Chains - 2

The primary value chain of a company is supported by several service value chains as below

Legal

Contracts → Compliance → Intellectual Property → Negotiations → Estate Management → Litigation

Planning

Functional Planning → Business Planning → Corporate Planning → Strategic Planning → Conglomerate Planning → Continuity Planning

Project Management

Project Plan → Resource Plan → Deployment Plan → Execution Plan → Monitoring → Course Correction

The above services, often neglected, have emerged as important aspects of national/ global outsourcing

Outsourcing of Value Chains

Different companies outsource and insource different components of value chains, locally or globally.

For Any Product

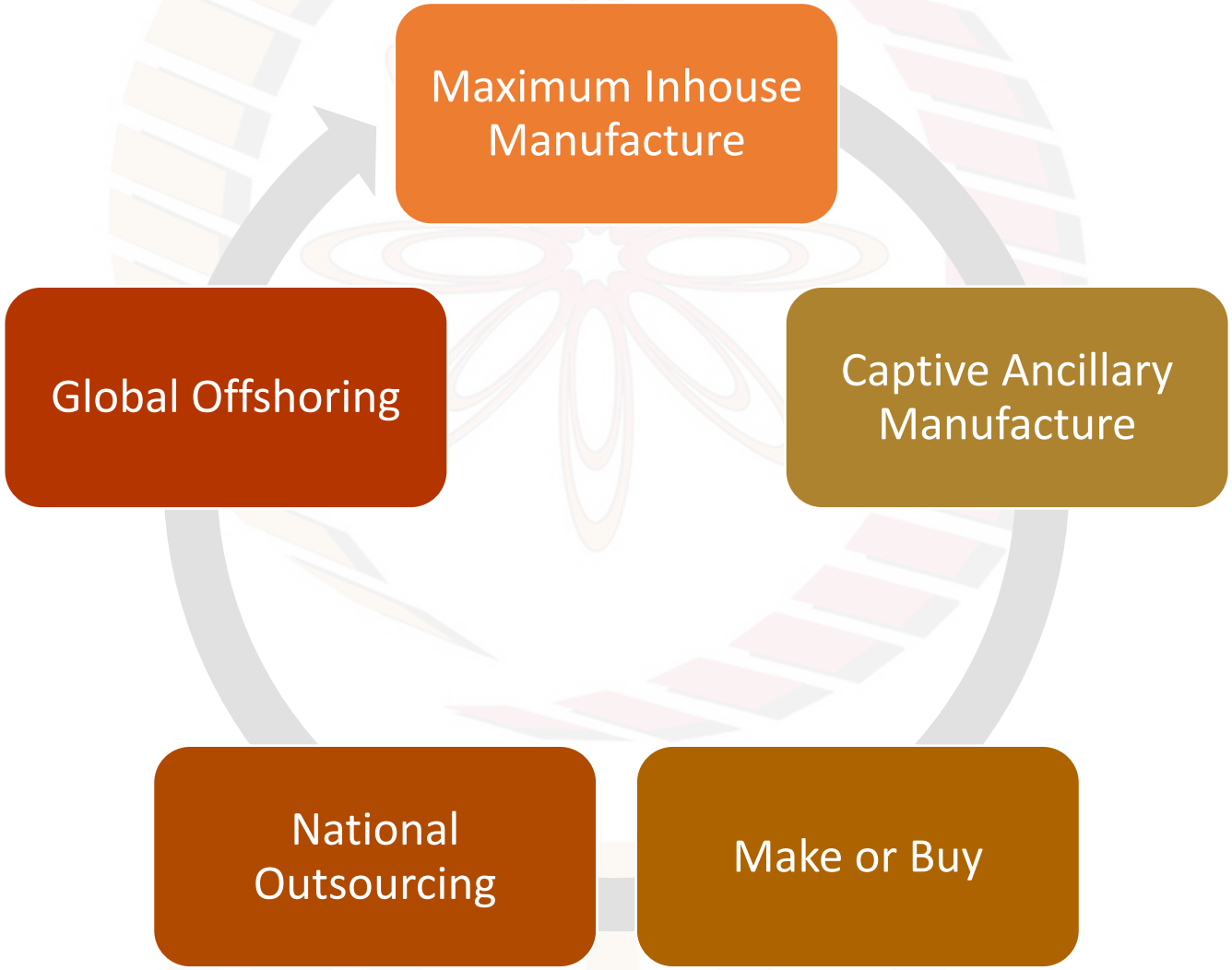
R&D	Procurement and Inbound Logistics	Manufacturing	Warehousing and Outbound Logistics	Sales and Marketing	After-sales Service
• Technology • Know-how • Intellectual property • Prototypes • Products • Components • Materials • Homologation standards	• Vendors • Miners • Refiners • Assemblers • Transporters • Exchanges • Brokers • Procurement standards	• Global factories • National factories • Quality standards • Certifications • Capital goods • Maintainers • Utilities	• Global warehouses • National warehouses • Transporters • Cold chains • Distributors • Retailers	• Sales promotions • Advertising • Sales tools • Point of sale interactions • Brands • Channels • Dealers	• Dealer workshops • Independent workshops • Spare parts warehouses • Roadside workshops • Repair tools • Repair knowhow

All the above are delivered by and through people, facilities and digitization

Any of the above is fit for business development but needs the business development executive to know

Value Chain Evolution

Over the years, industrial and business value chains have been transforming to be asset-light and agile



This has provided great impetus to development of different business strategies, models and relations.

Business Development in R&D - 1

R&D can be outsourced and offshored based on specific strategies and models of outsourcing partners.

	Exploratory Research	Integrated Research
Global Outsourcing	Low Risk Low Control Medium Reward	High Risk Low Control High Reward
National Outsourcing	Low Risk High Control Low Reward	High Risk High Control Medium Reward

Depending upon the nature of resource outsourcing and the location, risks, controls and rewards vary.

Business Development in R&D – 2

Value chains of different legal entities can be linked with more fundamental purposes of business.

	Fundamental Research	Applied Research	Integrated Research
Contract Developer			Broad product portfolio relationship
Start-up		Targeted product	
University	Futuristic platform		

Start-ups have a great role to play in the development of R&D value chain across entities.

Business Development in Operations

Outsourcing and offshoring, combined for market expansion or competitiveness, lead to different results

In outsourcing of operations, offshoring has become as common as localized outsourcing of the past.

Multiple Modes

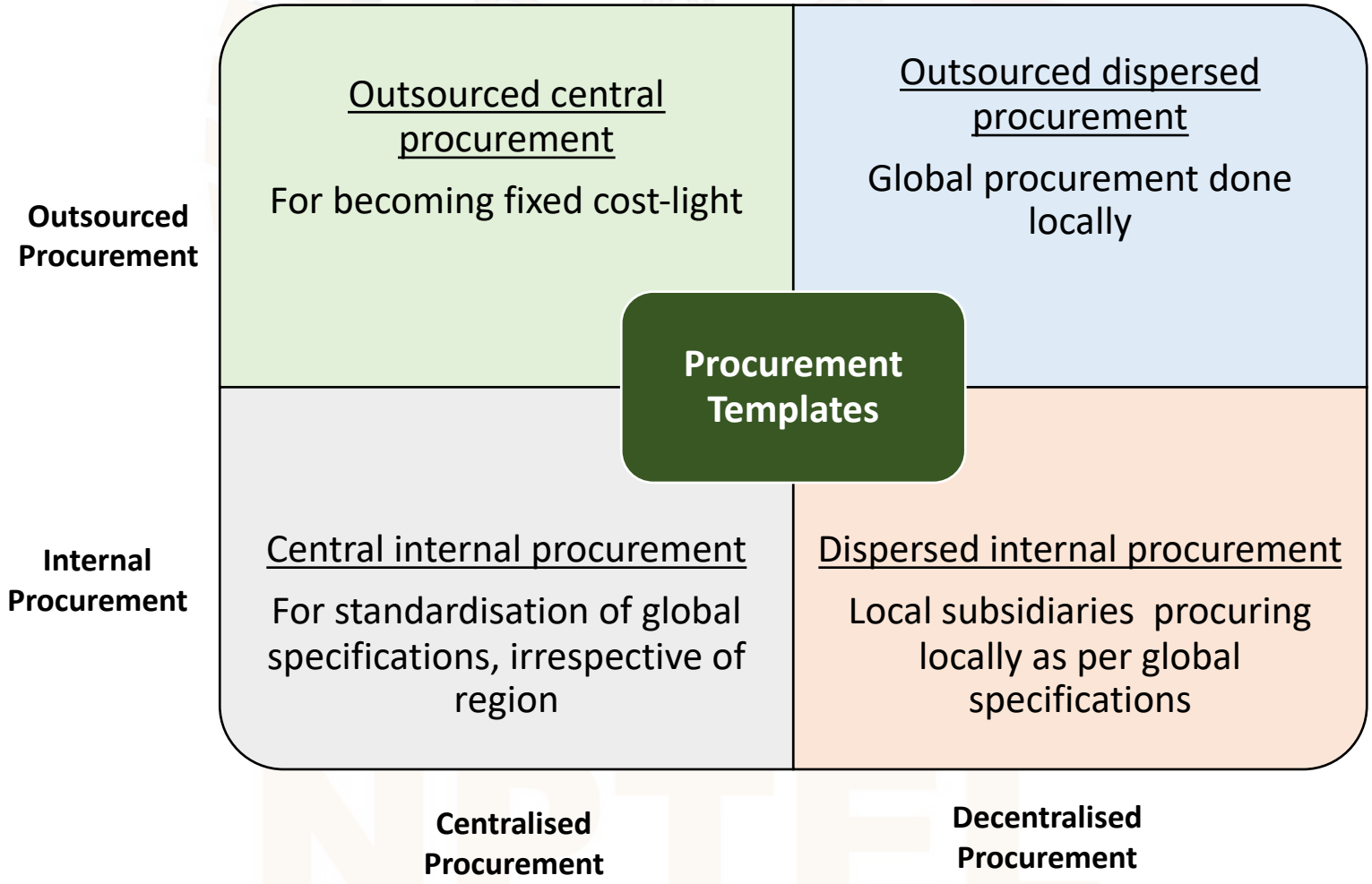
Product and Production Modes

Market Play	Onshore Production	Onshore Outsourcing	Offshore Production	Offshore Outsourcing
For Local Market	**Traditional Domestic Model** Competitiveness considered synonymous with inhouse production for domestic needs	**Local Make or Buy Model** Competitiveness through procurement level outsourcing for domestic needs	**Manufacturing Competitiveness Model** Competitiveness through manufacturing locations in appropriate countries for domestic needs	**Strategic Sourcing Model** Competitiveness through offshored outsourcing in appropriate countries for domestic needs
For Global Market	**Traditional Globalisation Model** Competitiveness considered synonymous with inhouse production for global needs	**Enhanced Globalisation Model** Competitiveness through procurement level outsourcing for enhanced global needs	**Regional Globalisation Model** Competitiveness through manufacturing locations in appropriate countries for global needs	**Strategic Globalisation Model** Competitiveness through offshored outsourcing in appropriate countries for global needs

AIRBUS TOYOTA

Procurement Value Chains

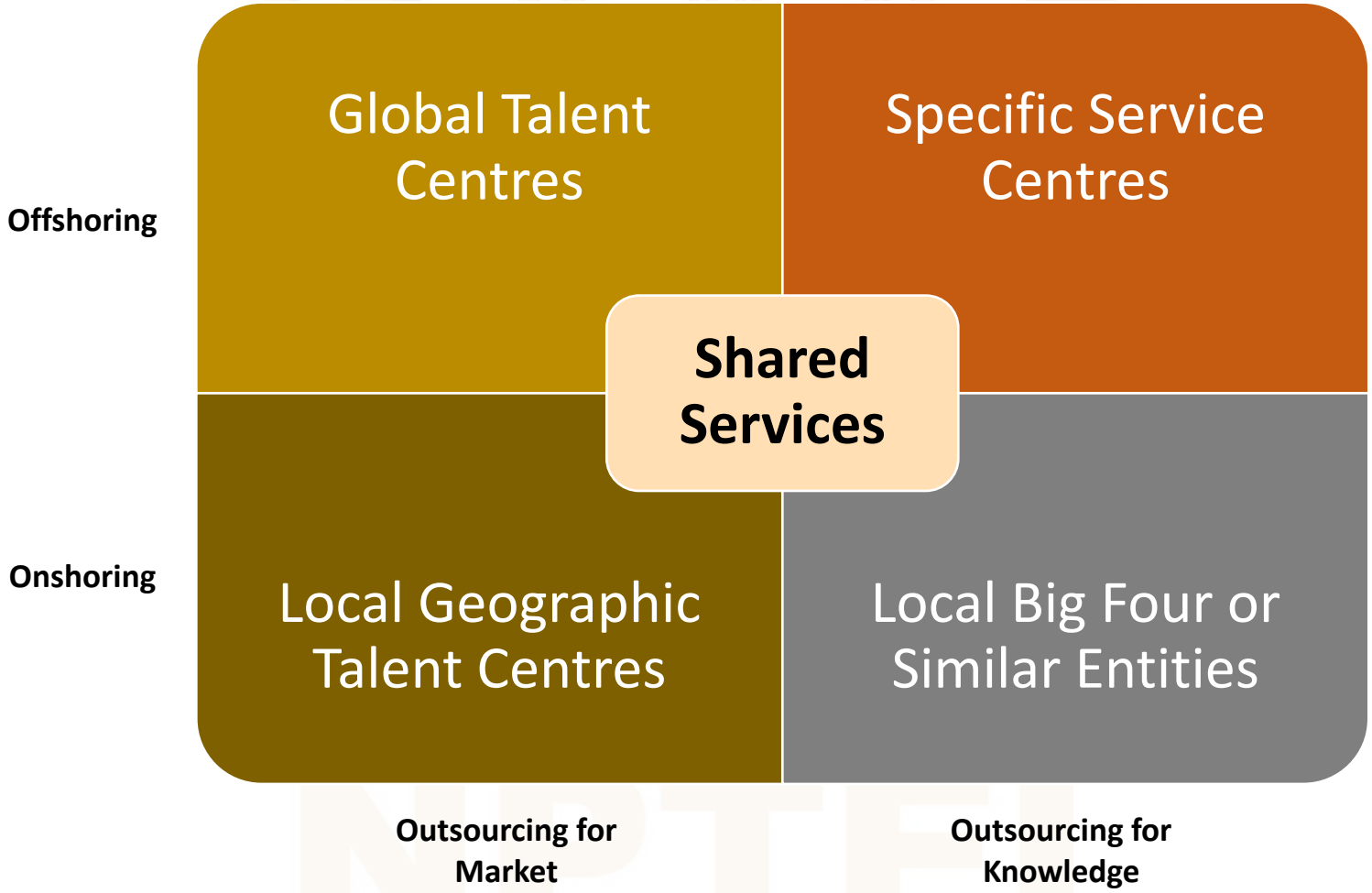
Outsourcing and offshoring, combined for market expansion or competitiveness, lead to different results



The levels of integration and centralization with reference to procurement leads to multiple outcomes.

Business Development in Shared Services

Global majors have recognised the importance of shared service centres in India for competitiveness.



When coupled with market-centric actions, such centres can generate great value for the parent firms.

Business Development in Shared Services and Knowledge Domains

Global majors have recognised the importance of shared service centres in India for competitiveness.

Top class global majors have established their global centres in India with thousands of employees.

Airbus and its System/ Component Manufacturing Locations

Some key systems and components of Airbus A350 and its manufacturing nation are shown below.

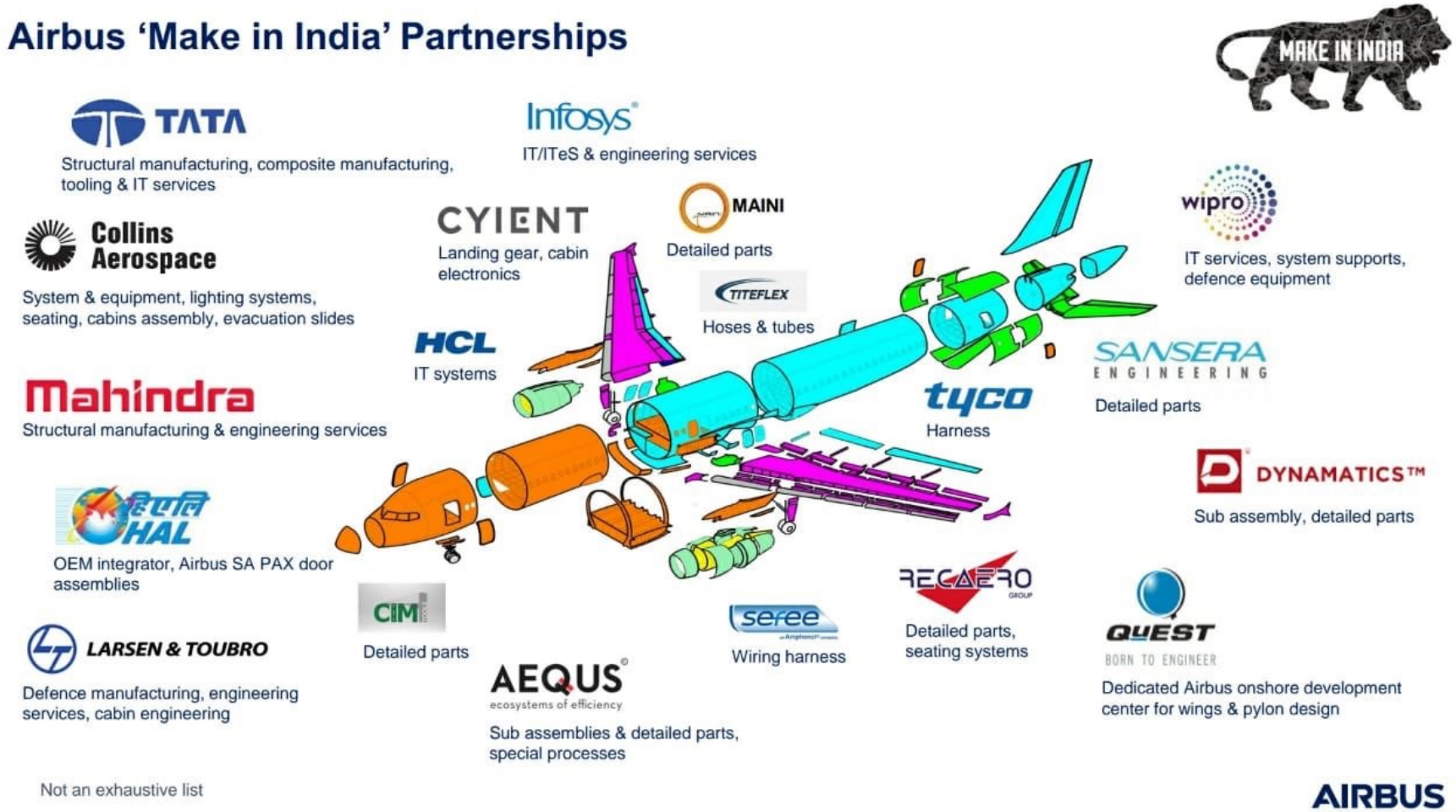
SN	Item	Manufacturing Location
1	Forward Fuselage	USA
2	Cargo/Access Doors	Sweden
3	Wing Landing Gears	Canada
4	Engines	USA; UK
5	Side Landing Gears	UK
6	Main Landing Gears	Japan
7	AFT, Fuselage	USA
8	Stabilizer	China, USA
9	Rudder	China
10	Tail Fin	USA
11	Doors	France
12	Trailing Edge	Australia
13	Wing Tips	Korea
14	Wing	Japan

Airbus manufacturing also involves significant cross-border movements (some even back and forth) across countries as the Airbus gets readied for assembly and testing.

Airbus may thus be seen as a truly multinational development and manufacturing enterprise!

India's Growing Capability in Airplane Manufacturing Support

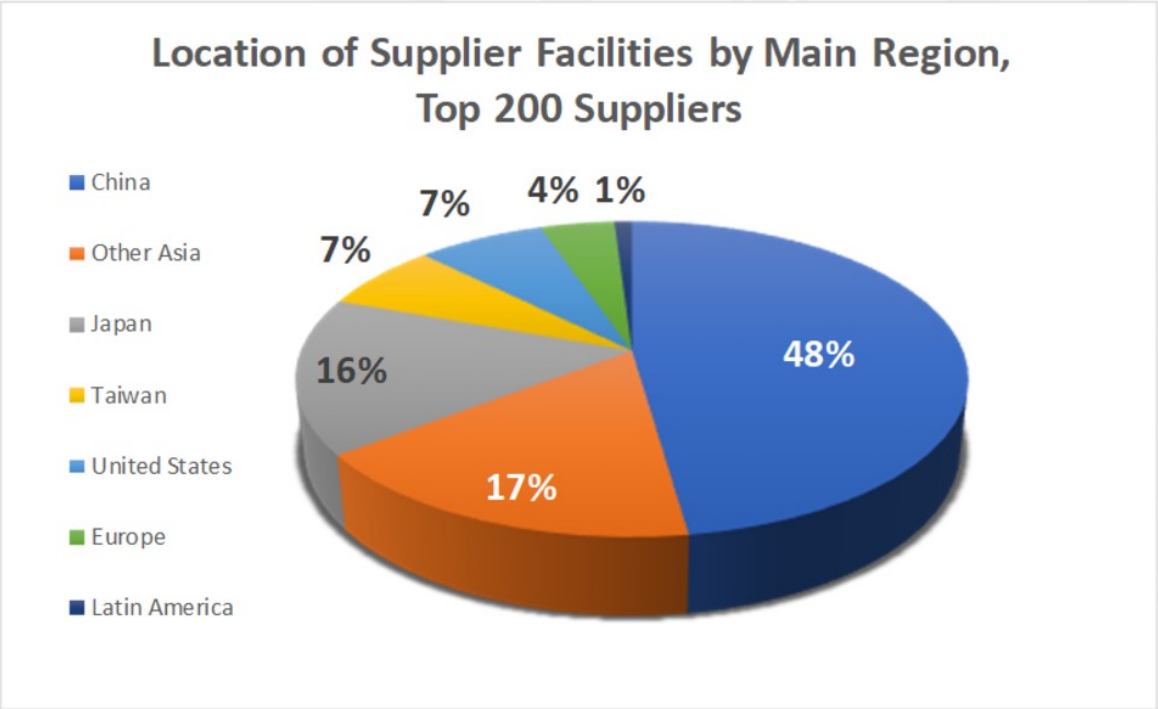
Amitabh Kant, India's NITI Aayog CEO, posted a wonderful graphic in Twitter bringing out the unseen role of India in Airbus manufacture.

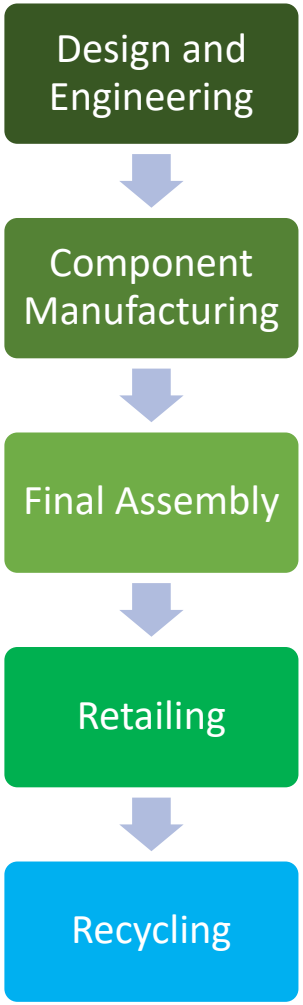


India's design and manufacturing depth in aerospace manufacturing is notable, as seen from the above.

Apple Supplier Ecosystem

Apple now assembles its phones in India, besides China but its supply chain is highly global.

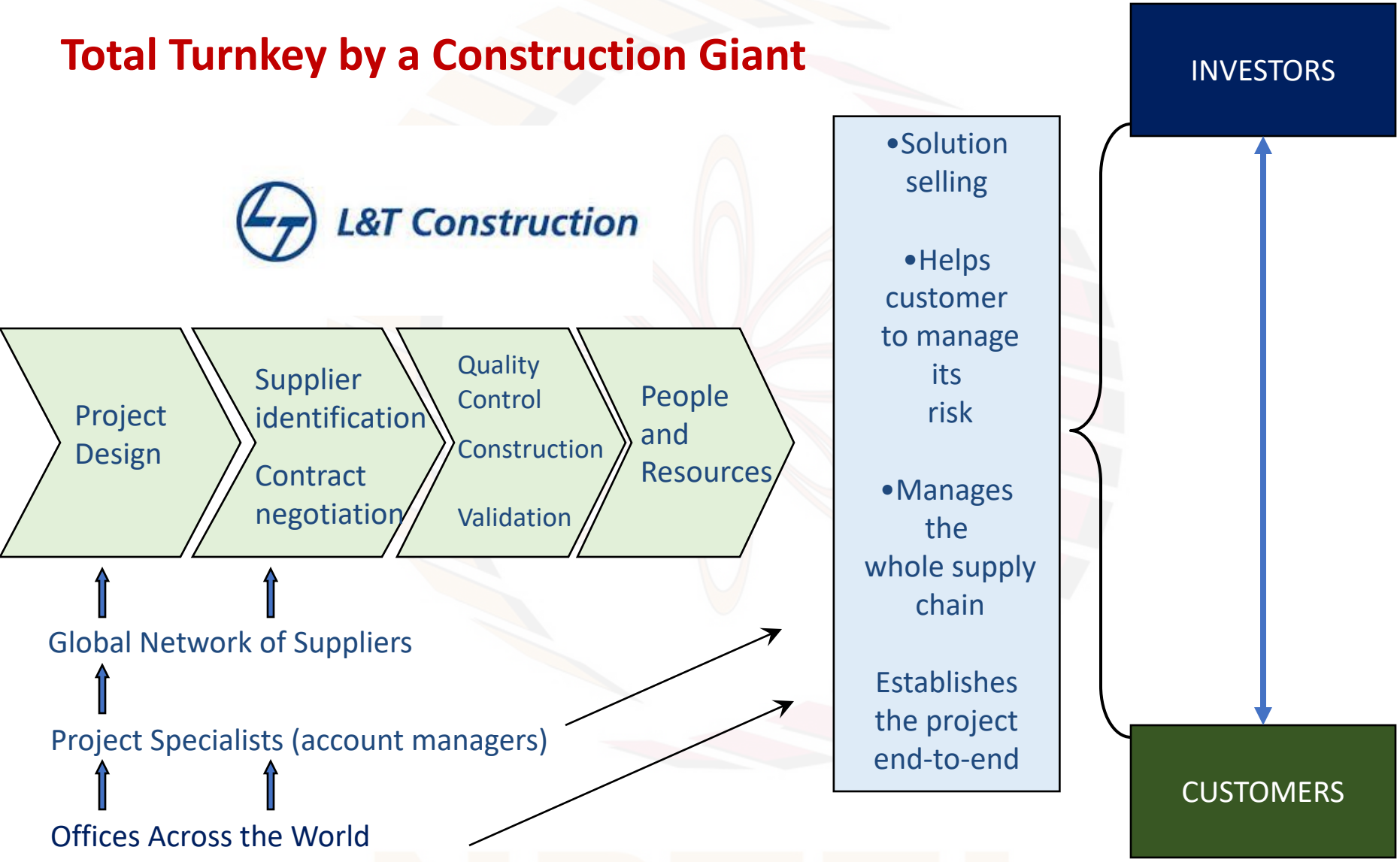




Adapted from: Apple Maven (https://www.thestreet.com/apple/news/three-facts-best-supply-chain)

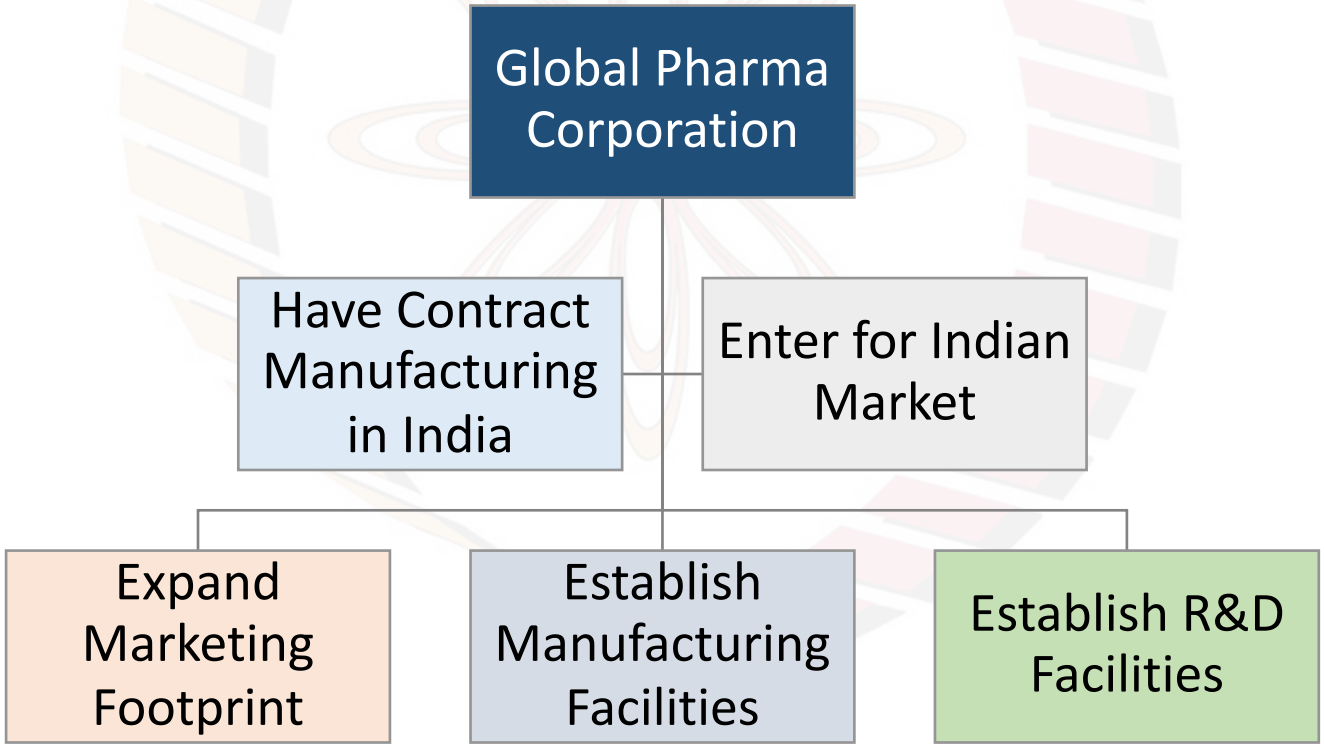
Apple runs one of the most innovative and agile supply chain systems with a targeted global spread.

Total Turnkey by a Construction Giant



Multinational Outreach in India: Pharmaceutical Example - 1

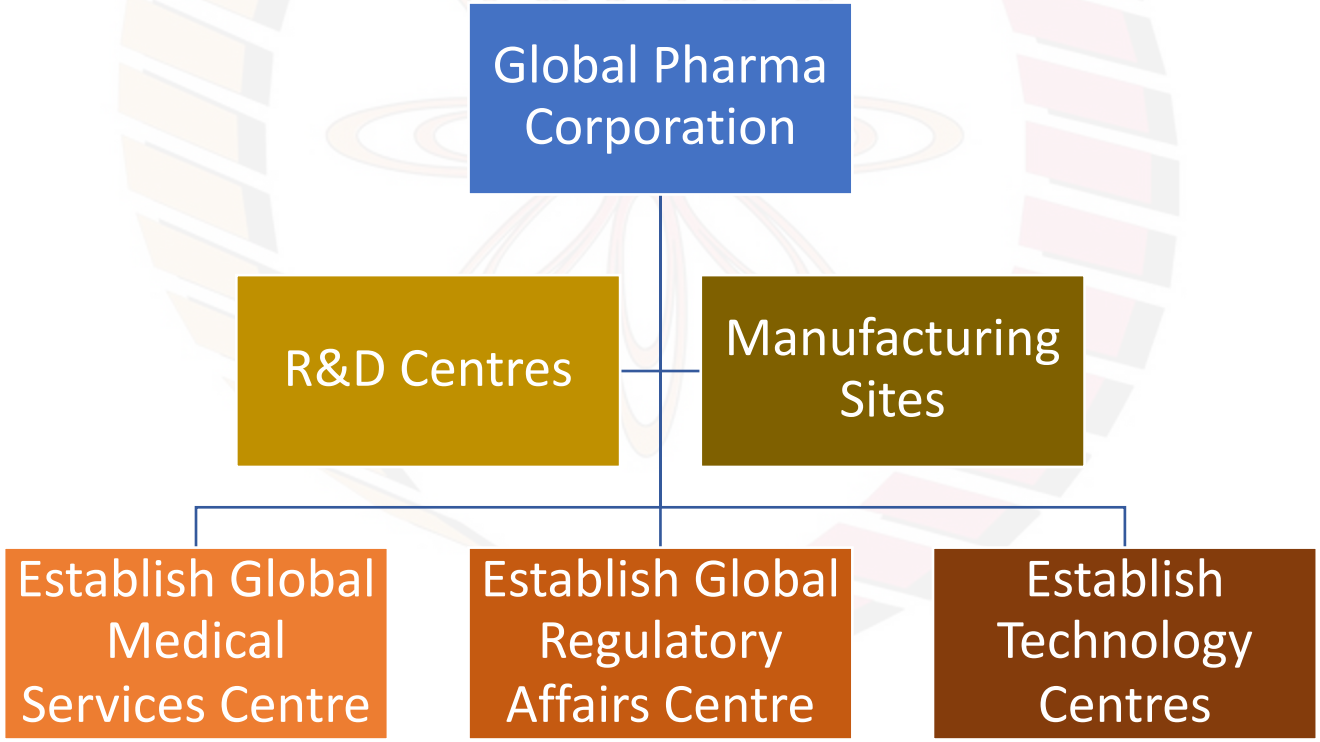
Some pharmaceutical companies started with only marketing intent in India and expanded further



A network of own and manufacturing by the multinationals took shape progressively in such cases.

Multinational Reoptimisation in India: Pharmaceutical Example - 2

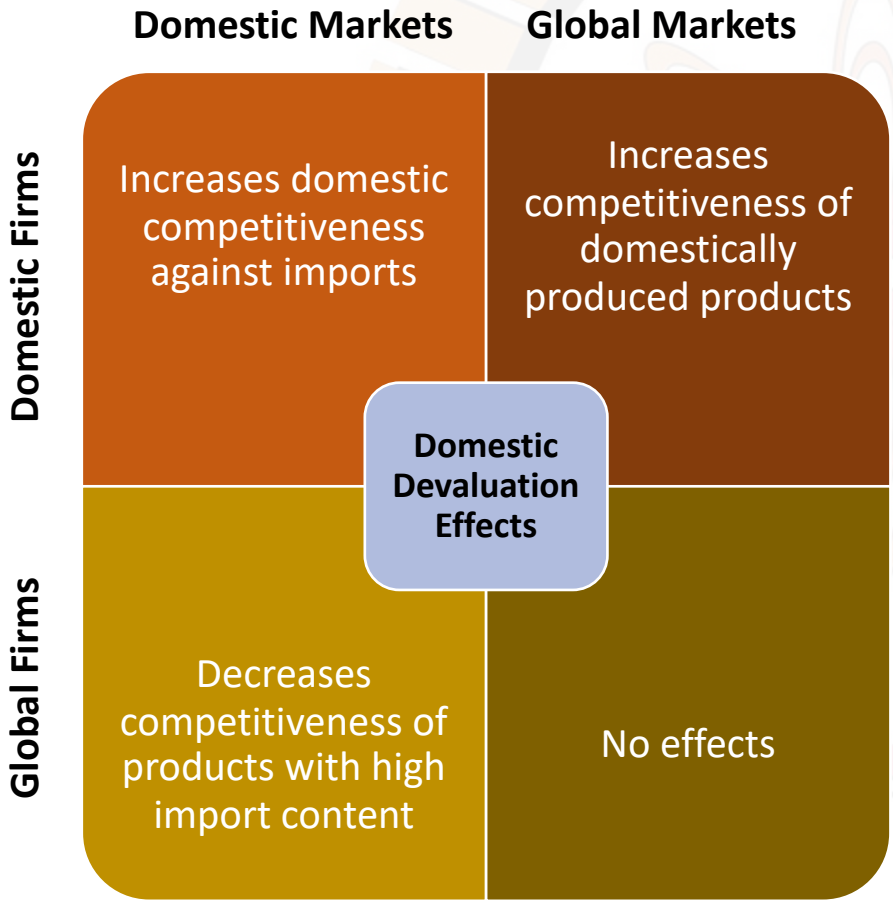
Some others built on the technical foundations to diversify into new knowledge service areas.



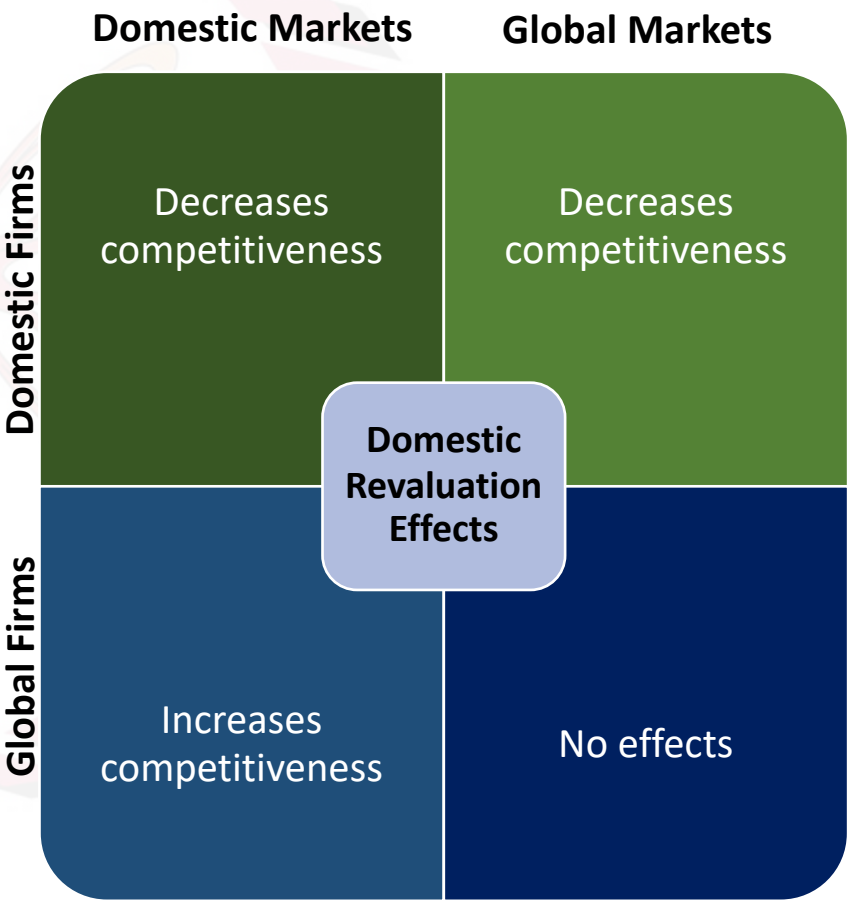
Increasingly, MNCs are looking for business development opportunities based on local knowledge talent

Strategic Effects of Forex Variations

A country's exchange rate parity, and the currency's devaluation or revaluation impact competitiveness.



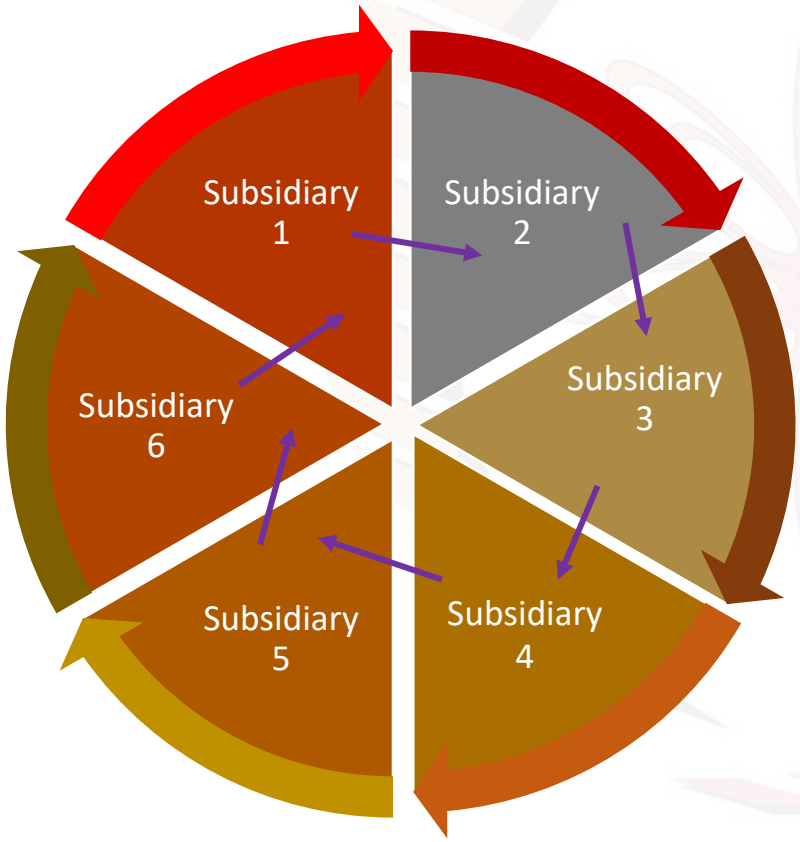
Effects of a Domestic Devaluation

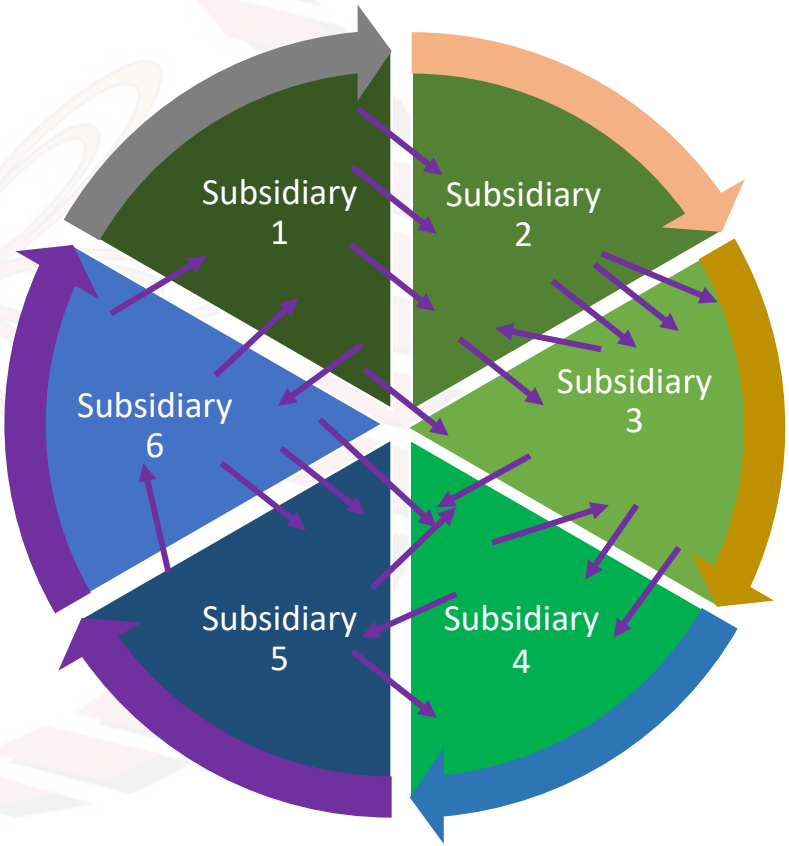


Effects of a Domestic Revaluation

The central bankers of any country have a dilemma of letting a currency move on its own or intervene.

Human Resource Wheel





Multi-domestic Design

Movement from one subsidiary to another

Global Design

A pool of global management talent pool

Thank you!

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Lecture 47: Functional Competencies

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Purpose of R&D

Research & Development (R&D) also called Product Development (PD) or Design & Development (D&D) is one of the most important functions of any company. It is also important to scientific, technical and other governmental institutions. R&D is the engine of growth for companies in general, and for firms seeking self-reliance in particular.

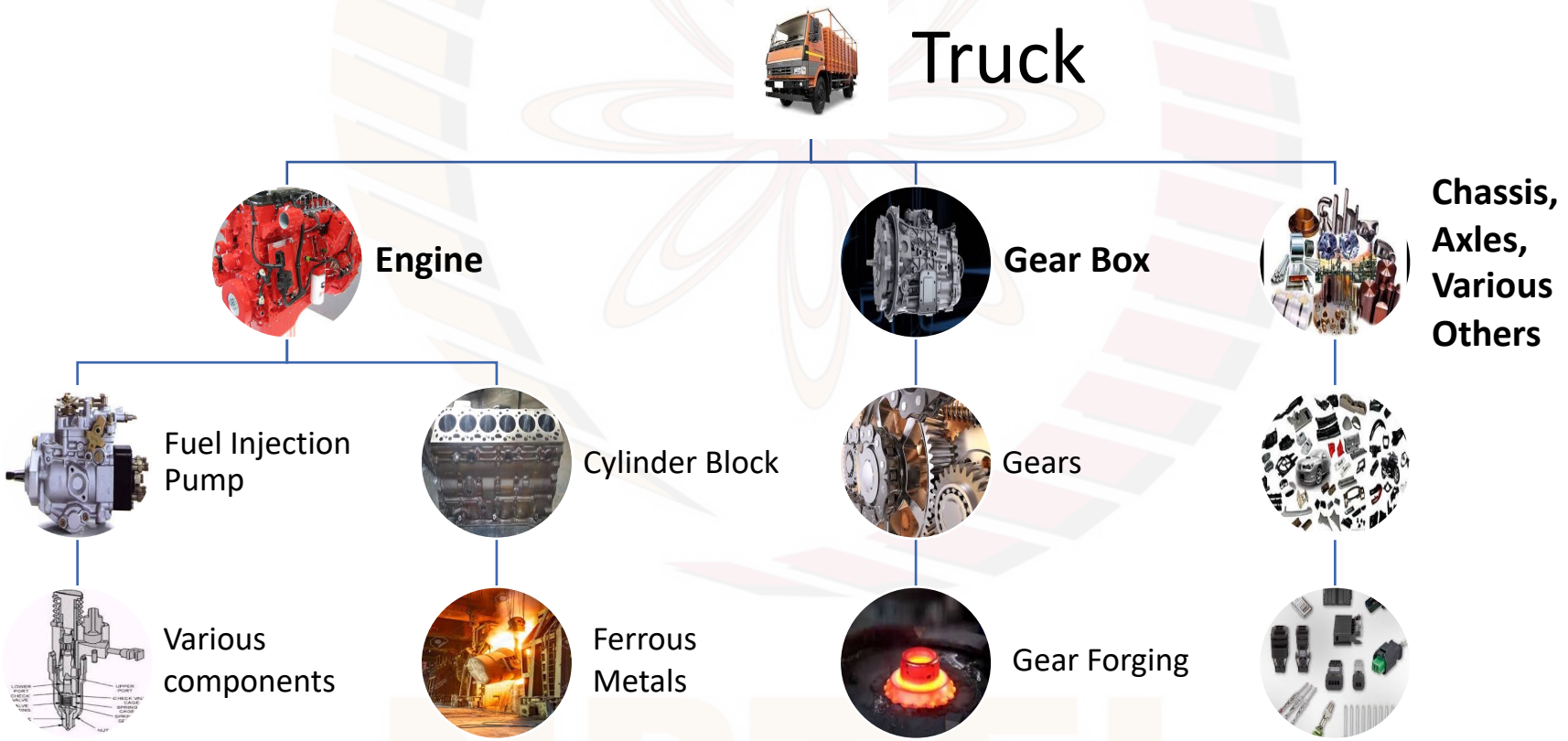
- R&D develops new products and services to fulfil customer needs
- Many times R&D develops products ahead of customer needs
- R&D sets the product standards and supports manufacture
- R&D is a vast expanse, from the end-product to the basic materials

End-product → Component Systems → Components → Materials

In matter of fact, there can be no single R&D canvas. It is a hierarchy of R&D, and in some cases a horizontal spread as well. The concept is best illustrated with an example.

Hierarchy of R&D - Automobiles

The following graphic illustrates in a highly simplified manner how an end-product like a commercial vehicle requires hundreds of parts to be designed and developed if a new vehicle is required. R&D is as deep and as wide as the Bill of Material (BoM) of a product.



The above schematic does not consider the equipment required to extract, process, and refine the materials, and the equipment required to cast, forge, press, weld and machine or 3D manufacture of components. With that, the R&D canvas keeps spreading. Similar is the hierarchical and R&D situation with pharmaceuticals too.

R&D Differences

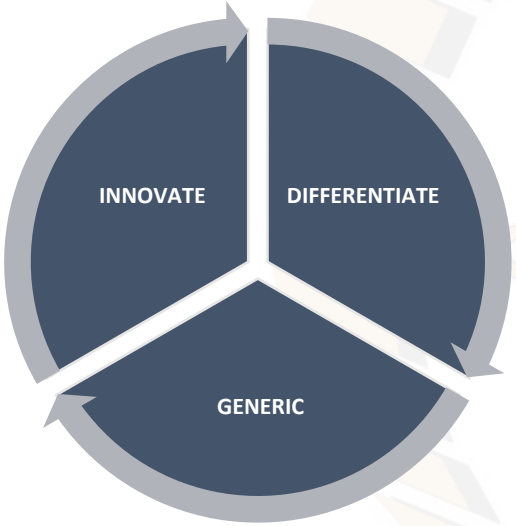
The three types of R&D differ amongst themselves and with respect to another technical function such as Manufacturing in terms of objectives, timelines, investments and management challenges.

Factor	Basic Research	Applied Research	Development	Manufacturing
Objective	Only knowledge acquisition	Knowledge for principle and model development	Available research knowledge used for new products	Manufacture products as per designs & processes
Personnel	High knowledge workers	Knowledge workers	Knowledge workers	Mix of knowledge workers and doers
Facilities	Complex dedicated facilities	Regular laboratory facilities	Regular laboratory facilities	Standard production facilities
Time taken for output	Can be long (5 to 10 years) and uncertain	Can be medium (3 to 5 years) and certain	Can be short (1 to 3 years) and certain	Can be daily and certain
Cost of investment	Highest	High	High	High
Financing	Grants; Risk capital	Risk capital	Mix of equity and debt; Internal generations	Equity and debt; Internal generations
Management	Empowered; Self-directed	Empowered; project managed	Monitored; project managed	Intensely monitored hierarchically
Contribution	Phenomenal but with risk of failure	Very useful	Very useful	Essential

As can be seen, the characteristics vary substantially between R&D and Manufacturing and within R&D. The leadership models and attributes required for R&D are bound to be differentiated.

Developing an Integrated R&D Value Chain

While basic R&D, applied R&D and developmental R&D may appear to be three distinct streams of R&D, they are interrelated. Big Pharma is a classic example of integrated R&D value chain.



Pharmaceuticals		
Cefoperazone	With Sulbactam	Cefoperazone with Tazobactam

Biologicals		
Adalimumab (Humira)	Risankizumab	Amjevita (Biosimilar to Humira)

Vaccines for Covid-19		
mRNA Vaccine	Attenuated vaccine	Covalent Plasma

Innovation	Differentiation	Generic

The development of a novel vaccine is a complex and lengthy process that generally takes 10 to 15 years. Given the global scale and spread of the COVID-19 pandemic, Pfizer, with BioNTech, worked at an unprecedented speed to develop a potential vaccine in a safe and responsible way, collaborating closely with regulatory and health authorities around the world – compressing stages that have taken years into months, and those that have taken months into weeks. So did Moderna and AstraZeneca.

The race for protection from Covid-19 and for treatment for the disease underlines the importance of integrated R&D value chains. The new vaccines, repurposed drugs and the generic clones in combination provide a prevention cum treatment value chain that is so desperately needed in the fight against pandemic.

Purpose of Operations

Operations is an all-inclusive term that includes Manufacturing and Supply Chain. It is the key component of a business value chain. Supply Chain includes Purchasing and Logistics as well as Distribution. For service based companies, Operations predominantly comprises Supply Chain. Operations bridges R&D and Marketing.

- Operations allocates and utilizes its resources to create and manage its infrastructure, production and product delivery
- Seeks to maximize the efficiency and effectiveness of production and product delivery
- Operations leadership pursues the twin objectives of high quality and low cost, without compromise to each other
- Operations is an important component of a firm's competitive advantage

In an industry comprising firms with similar products, operations differentiates one firm from the other. This is more so when firms have similar technological capabilities too, for example, the smartphone industry.

Operations Strategy of a Firm

Operations Strategy of a firm itself comprises several sub-strategies as below. An operations leader must provide equal importance to every component of the operations value chain.

Amongst all functions of an organization, Operations tends to be organized based on established principles of organization design, bringing certain bureaucracy and inflexibility with standardization into the operations.

Globally Networked Production

Globally networked production need not necessarily mean having globally distributed manufacturing facilities even though that is a dominant theme. It could be through globally dispersed vendor network (supply chain).

Global product portfolio with regional SKUs

- **Tuned to operating conditions, regulatory requirements and user preferences**

Centralized global component sourcing

- **Leveraging local technology and industrial clusters; for example, micro-motors from Switzerland, camera sensors from Japan, PCBs from China, display panels from S. Korea**

Regionally distributed assembly

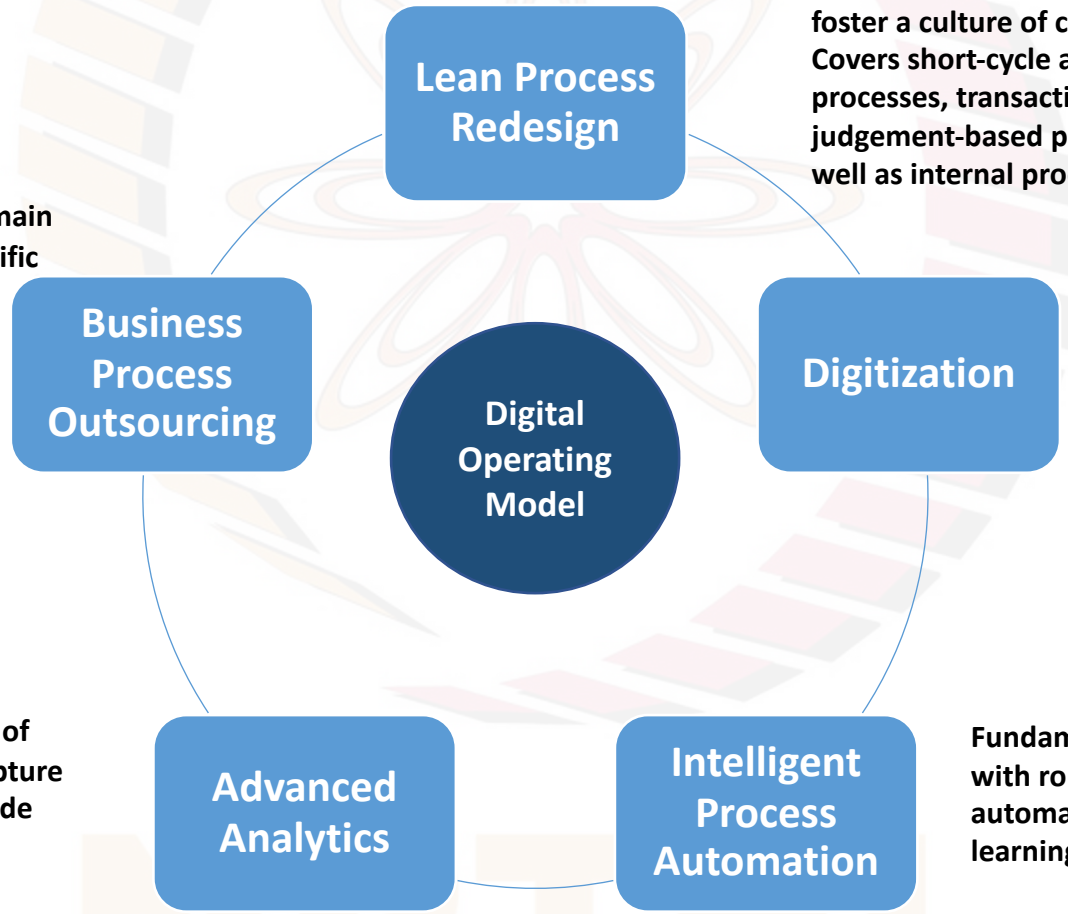
- **Assembling nearer the demand points for cost and tax advantages**

Delivery to global customers

The above is a template of how optimal value chain efficiencies can be reaped with a globally networked production cum vendor network while also catering to globally varied product and customer needs.

Digital Operating Model

The new digital operating model will focus on extensive use of IT and digital tools to improve and enhance processes and eliminate waste to achieve efficiency and effectiveness.



Streamline processes, eliminate waste, and foster a culture of continuous improvement. Covers short-cycle as well as long-cycle processes, transactional as well as judgement-based processes, client-facing as well as internal processes.

Digital tools to redefine operational processes, including interactions with stakeholders

Fundamental process redesign with robotic process automation and machine learning

Silent and deep analysis of massive data 24x7 to capture new intelligence and guide decision making

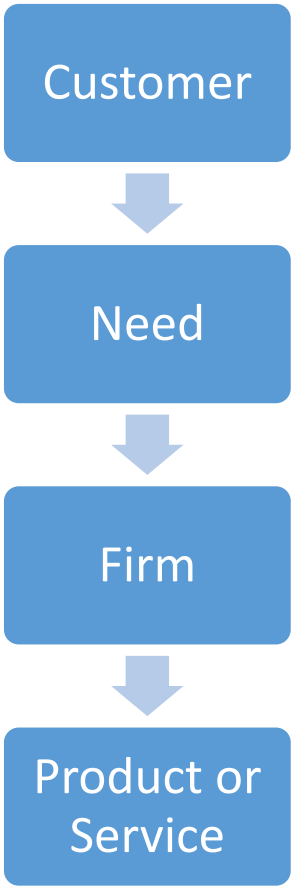
Resources outside of the main business to complete specific tasks or functions

A day may come in future when a strong digital leader with strong manufacturing aptitude could emerge as the next-generation Chief Operating Officer (COO), and even as the Chief Executive Officer (CEO) for any industry.

Purpose of Marketing

Marketing Strategy or Marketing Management comprises a set of activities connecting the firm and the customer for mutual value creation. Some key functions of marketing management are as follows:

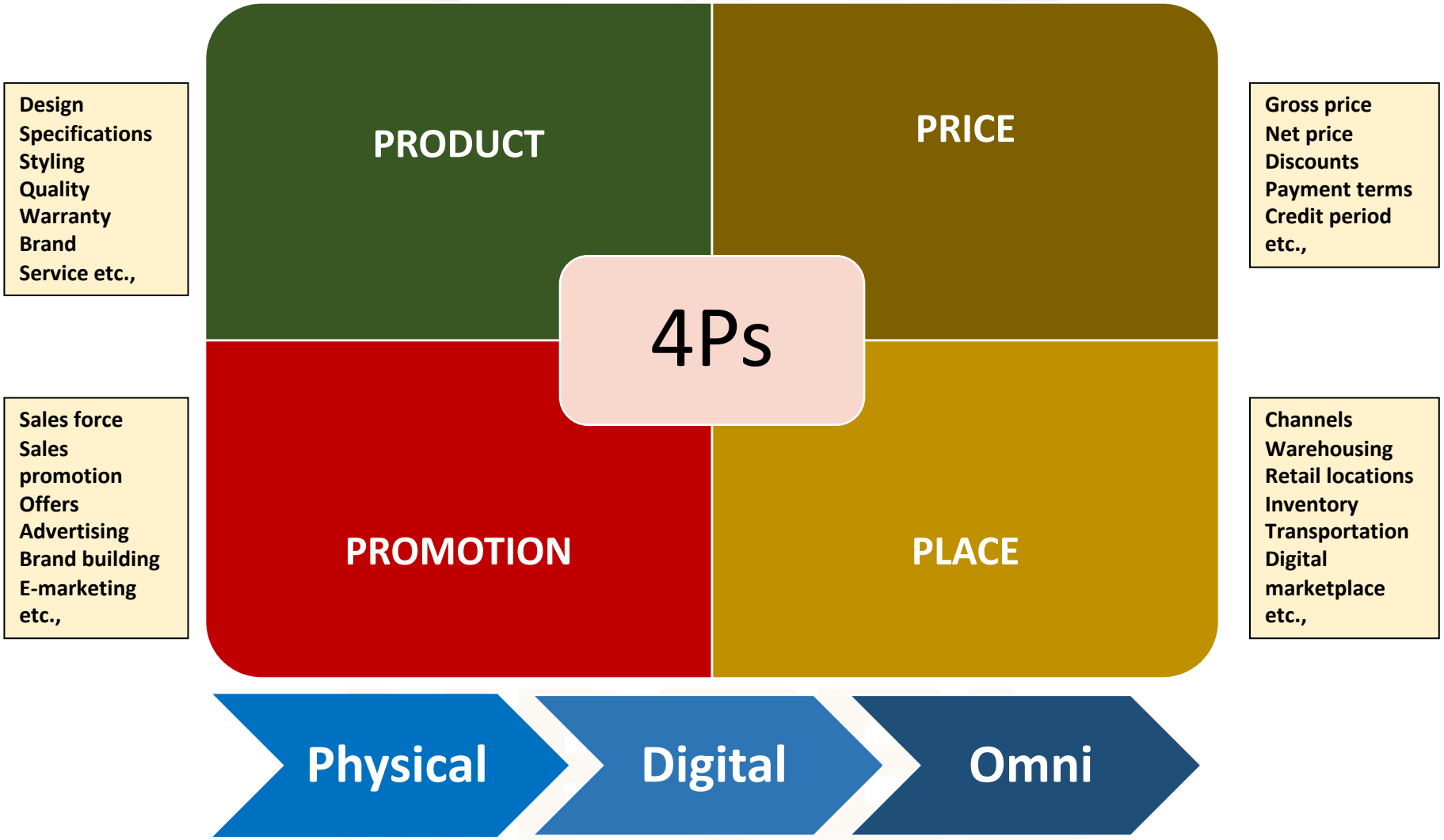
- Researching, identifying, and meeting human and social needs
- Identifying and defining products and services that meet such needs
- Determining the price at which the products and services will be accepted by the customers
- Positioning, promoting, distributing, selling and delivering the developed products and services in the marketplace
- Providing after-sales service to customers, and maintaining continuous engagement .



Marketing Management is far more than just selling products and services; nor is it one of creating perceptions about products and services. It serves customers, society and the firm based on aligned value propositions. Marketing is the face of the company for the society.

The 4 Ps of Marketing in a Physical-Digital Era

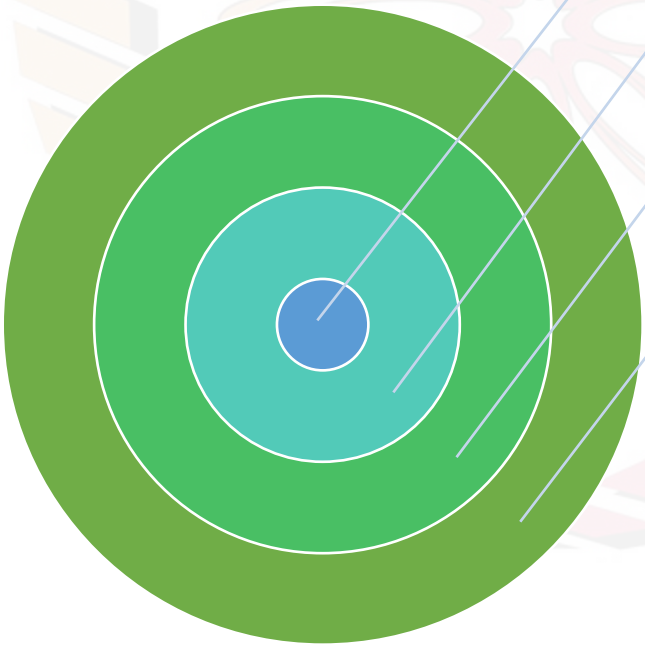
Successful marketing requires a strong emphasis on 4 Ps, variations of which contribute to the effectiveness of marketing in an increasingly hybridizing physical-digital era, marked also by omni-channel sales and marketing.



The digitization processes impact the traditional 4 Ps in multiple ways, both competitively and collaboratively.

Granularity of Sales

The sales a firm experiences tends to be only a fraction of the total available market. Marketing leaders need to understand the market in totality and strategize to expand the market currently catered to by the firm.

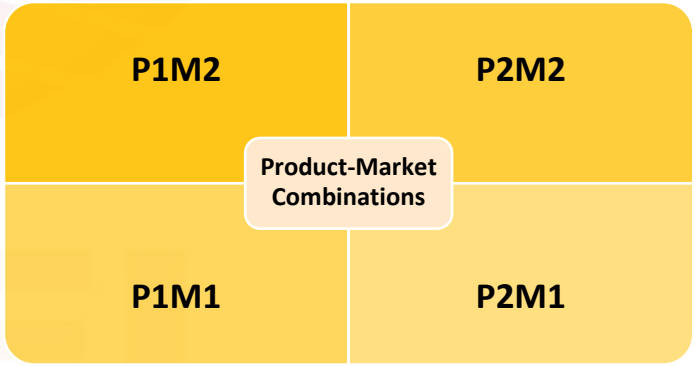


Operating Market for the Firm

Available Market for the Firm

Available Market for the Industry Segment

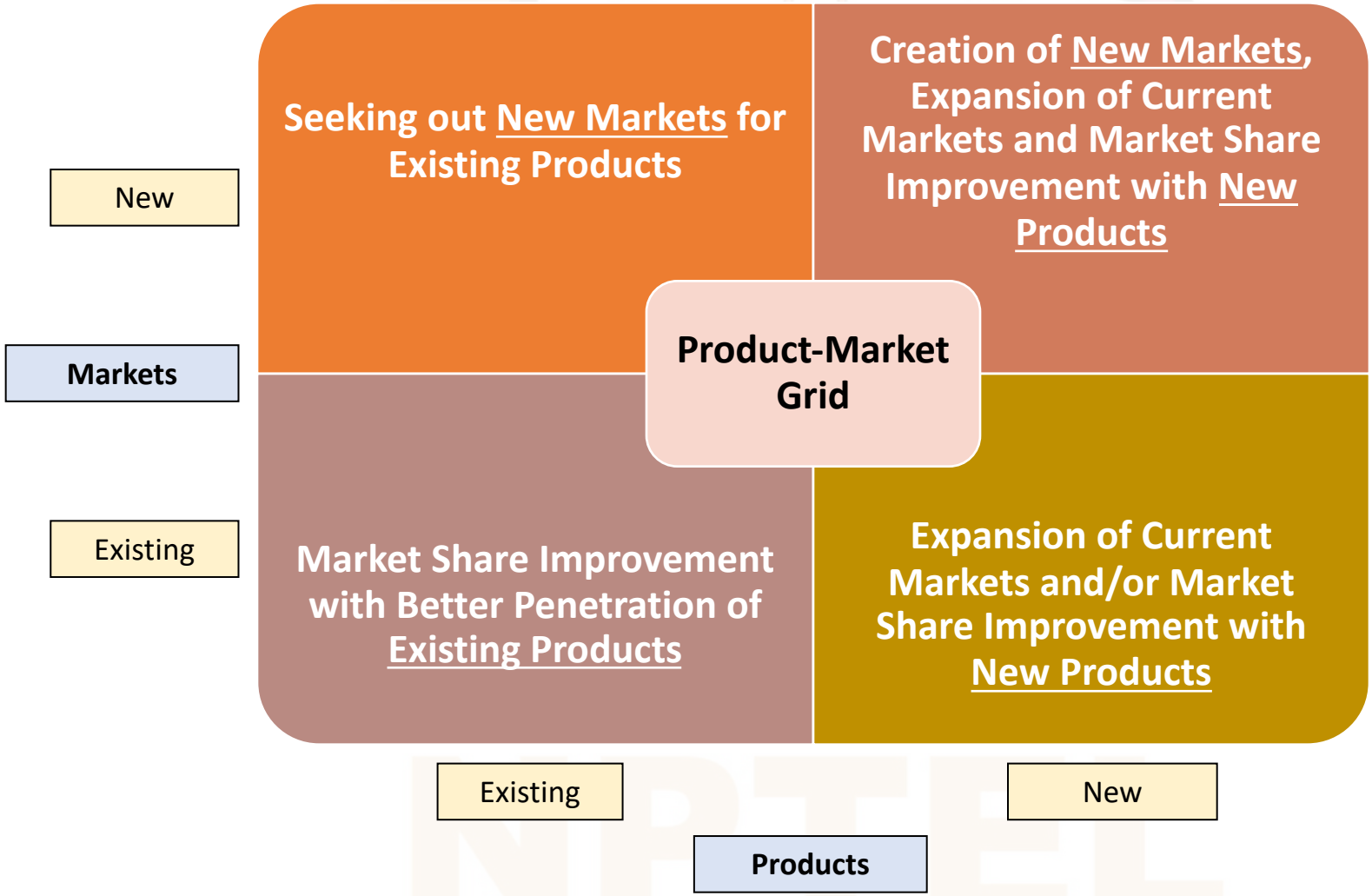
Available Market for the Industry



This analysis needs to be carried out in respect of homogenous Product Clusters (P1, P2, P3 etc.,) and homogenous Market Groupings (M1, M2, M3 etc.,). This analysis needs to be carried out over a time horizon for execution.

Product-Market Grid: the Classic Market Growth Strategy

The product-market matrix is a classic strategy that marketing, and business leaders deploy to chart growth.



The two quadrants driven by new products are the natural play for start-ups and entrepreneurial firms, small or big.

Financial Leadership

Finance Leader, usually the Chief Financial Officer or the CFO, is entrusted with developing and executing the financial strategy of a firm. It is a set of integrated financial goals and activities planned for a firm covering multiple domains of the company so that the firm can grow profitably, maximizing value for its shareholders.

- Financial strategy is developed pursuant to the business strategy and the various supporting functional strategies of the firm.
- Financial strategy, however, is not a mere expression of all other strategies in financial terms.
- Addresses the SWOT of the company, from strategic and operational and financial perspectives.
- Financial strategy of a firm typically covers a reasonably long term horizon of at least 5 years.
- The first year of the financial plan also serves as the annual budget of the company.

Environmental Opportunities

Environmental Risks

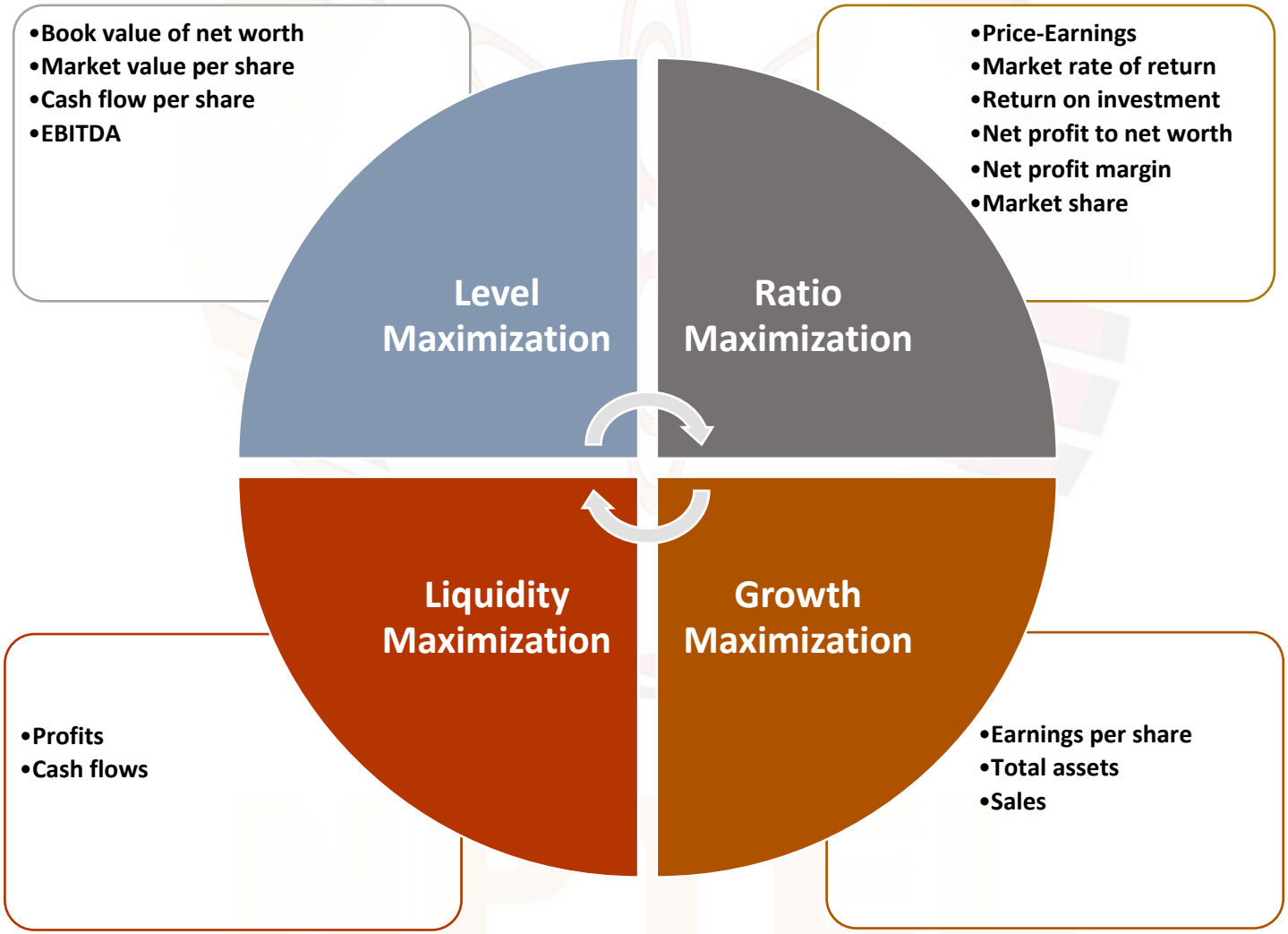
Company Strengths

Company Weaknesses

Financial leadership addresses several key questions of strategy and operations that arise from, and impact, the financial position of the company on an ongoing basis.

Key Financial Goals

A company must consider multiple financial goals contextually. However, cash verily is the king.



Sustainable operating profitability should be the goal of all start-up founders and enterprise leaders.

Financial Strategy is Closely Linked to Other Factors

Corporate governance, ethics, compliance, business continuity and risk management are now integral to financial management. The CFO must, therefore, set the highest standards of probity in the firm.

Corporate Governance

Ensuring that the company is run on prudential lines

Ethics and Compliance

Ensuring that the firm is an honest corporate citizen

Business Continuity and Risk Management

Ensuring that business is made robust against potential disruptions and risks

Financial management is relied upon to ensure operational integrity and business continuity of a firm, not merely wealth maximization for the current.

Financial Strategy Should Guide but not Dictate Business Strategy

While financial analysis is very important, strategy cannot be determined solely through financial goals.

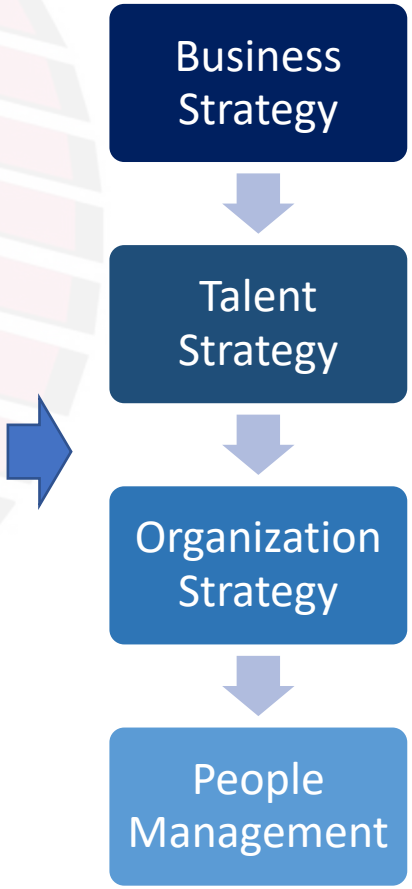
- A company cannot be governed only by profit maximization or shareholder wealth maximization criteria
- Financial priorities can dramatically change with volatility in economic and business environment
- A company's strategic enterprise value is determined not only by financial value but by other intangibles
- Financial strategy, without relation to business realities could be draconian and destroy long term investor wealth

It may be a good idea to have joint responsibility defined in respect of key strategic and operations decisions for both financial and other domain leaders.

Human Resources Leadership

Human Resources Leader, usually the Chief Human Resources Officer or the CHRO, develops and executes the human resources strategy of a firm. It comprises recruitment, induction, deployment, development, motivation and compensation of people in the organization such that the firm achieves its strategic and operational goals.

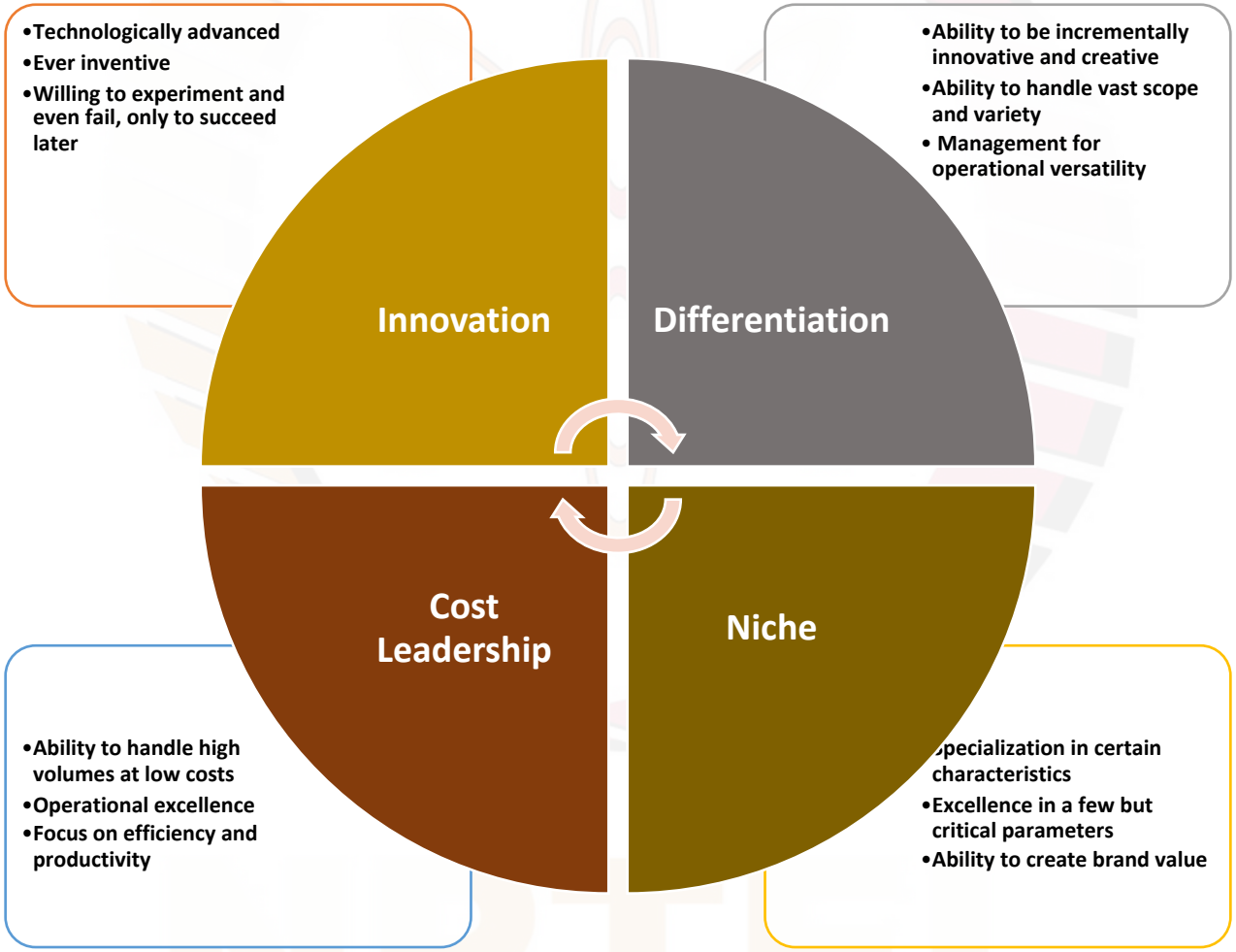
- Human resources strategy is implemented as a management process that may be broadly termed Human Resources Management (HRM)
- HRM also involves design of organization structure, roles, responsibilities and accountabilities for employees
- To ensure equity, HRM is usually executed through a set of policies and procedures as well as guidelines
- As a function, HRM has its unique identity and areas of operation, but also an integral part of management and leadership at all levels
- In fact, HRM is the shared responsibility of the HRM specialist and the line or staff manager in an organization



HRM practices vary across nations (for example, between USA and Japan or India and China), and also industries (for example, manufacturing or retail and infrastructure or service).

Business Strategy Determines the Type of Talent Required

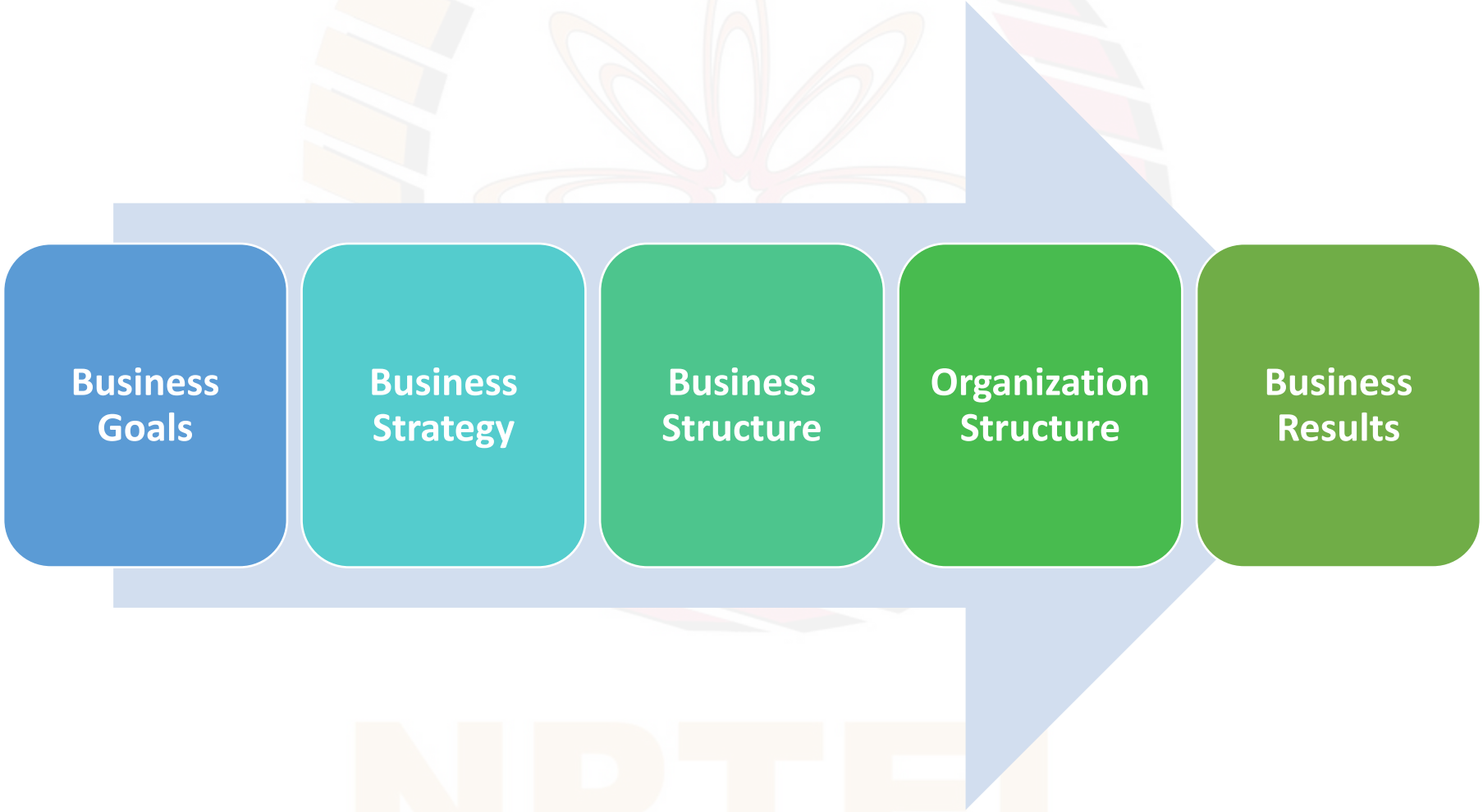
Depending on the need and rivalry for talent, each firm must devise its specific talent strategies. The talent strategies need to be aligned to the business and technology strategies of the firm.



A HR leader who is not business savvy and cannot understand the business and functional strategies of the firm in context and content cannot be an effective HR leader.

Organization Structures Need to Evolve Periodically

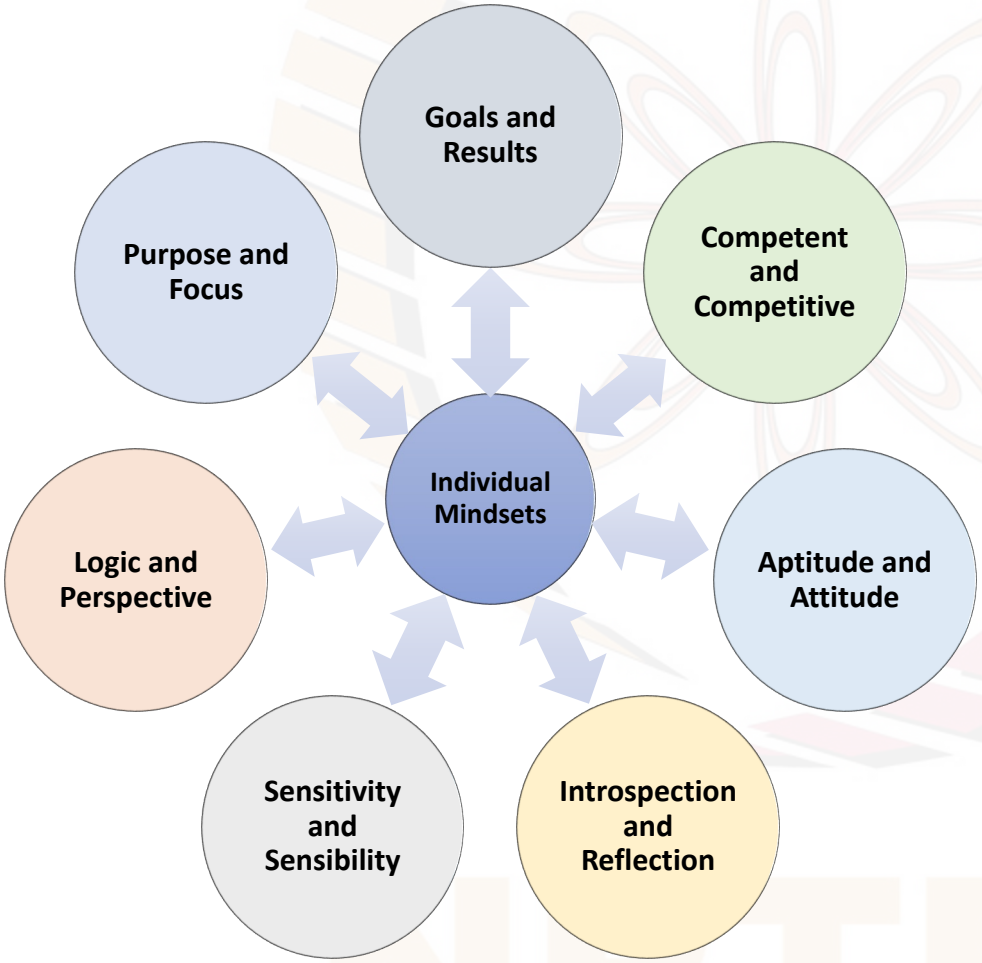
Structure follows strategy. However, only consummate HR leaders and CXOs know how organizational structures, business structure and business strategies can be aligned seamlessly and effectively.

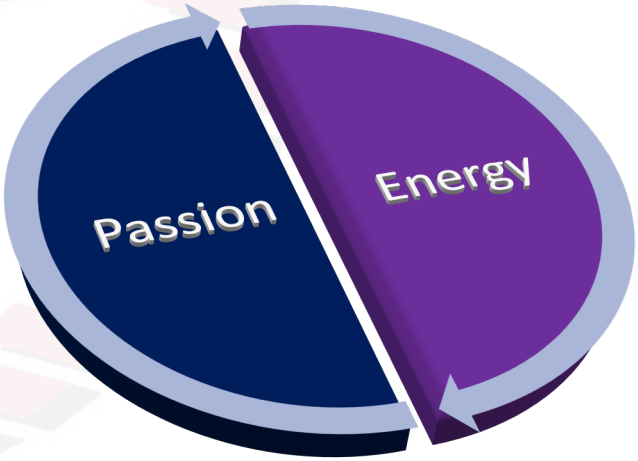


Firms typically require different business strategies and structures as well as enabling organization structures at different points of time. Each organization structure while solving a problem could also lead to certain others.

Igniting the Passion Spark

The CHRO would need to work with the CXOs to ensure that the organizational capability is at a high level. It is an alchemy of multiple philosophies of work that need to be integrated in every individual in an organization.





Passionate energy of an individual is sparked by the positive approach of CHRO to create an organizational ecosystem that supports development, reinforcement and sustenance of passion and energy in employees.

Thank you!

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BUSINESS DEVELOPMENT
From Start to Scale

Week 10: Lectures 46 to 50
Business Development Competencies

Lecture 48: Negotiating Skills

Prof. C Bhaktavatsala Rao, Ph.D.
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and
Founder – LeaderCrest Academy

Business Negotiation

Negotiation is the process of conferring with someone to come to terms or reach an agreement. Negotiation is an essential plank of business development. Negotiating skills are, therefore, integral to business development persona.

Just a few samples of a high level business negotiation between two companies

- Agreeing to meet and discuss potential collaboration
- Agreeing for mutual due diligence of the parties
- Agreeing on the key terms of a possible contract
- Agreeing on the final terms of the contract

Despite the presence of a product and market opportunity, business development tends to be a long process.

Business Terms

In any business, the parties must agree on many foundational parameters on which the business can be developed

One of the formats of business development is a licensor-licensee or developer-marketer arrangement. The typical key terms of such an arrangement would be:

- Which products to make?
- Which markets to serve?
- In what volumes to supply?
- At what costs and prices?
- What should be the guaranteed volumes of supply?
- What should be the minimum market share?
- Will there be development fees, lump sum or in installments?
- How should be the remuneration upon commercialisation?
- What should be the warranties?
- What should be the term for the agreement?
- What are the conditions for renewal or termination?
- How will the intellectual property be protected?

The terms and conditions of any business arrangement are not easy to agree on – requires high negotiation skills

Interpersonal Dynamics of Negotiation

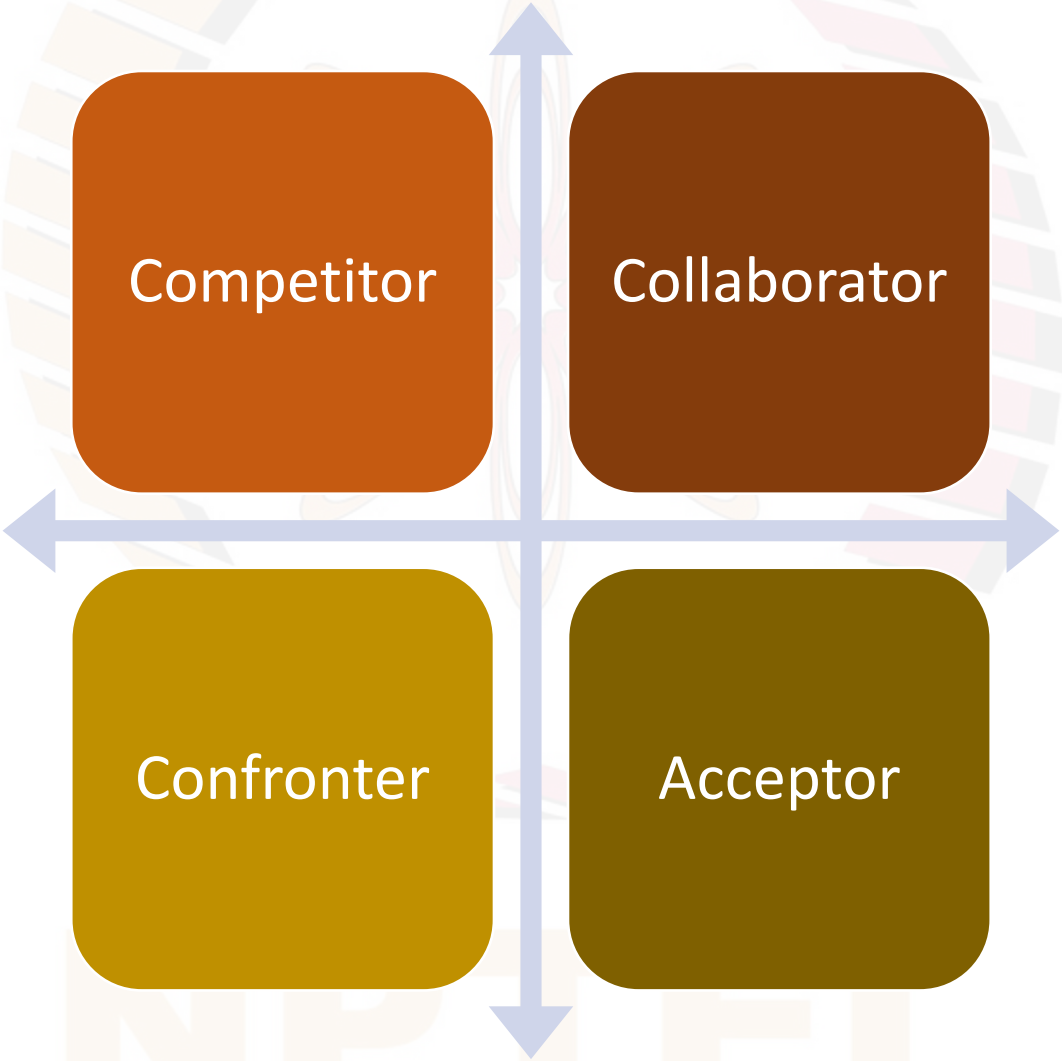
The challenge of negotiation is that each day the negotiator wakes up to agree on something which the other party is not willing to agree on except on the other party's terms. And nothing is really pre-set or explicit in negotiation.

Factor of negotiation	Nature of dynamics	Each party's objective
Assumptions	Not explicit	Make one's assumptions the dominant ones for the other party
Eventualities	Not predictable	Required eventuality is pre-determined by each party
Alternatives	Many options exist	Believes in its own alternative
Relationship	Short, medium or long term? Transactional or Emotional?	Each party has its own expectation
End Stage	Needle in haystack?	Clear to each party; unclear to the other party
Communication	Multiple modes	Each party finds its unique mode for its own advantage
Commitment	Give and take or Who will blink first?	The toughest call of negotiation
Legitimacy	Negotiating authority not openly provided	Depends on personality of the negotiators
Interests	Not disclosed	Have to be interpreted

Wanting to achieve more by giving less is the key emotional plank that makes negotiation artful and challenging

Interpersonal Dynamics of Negotiation

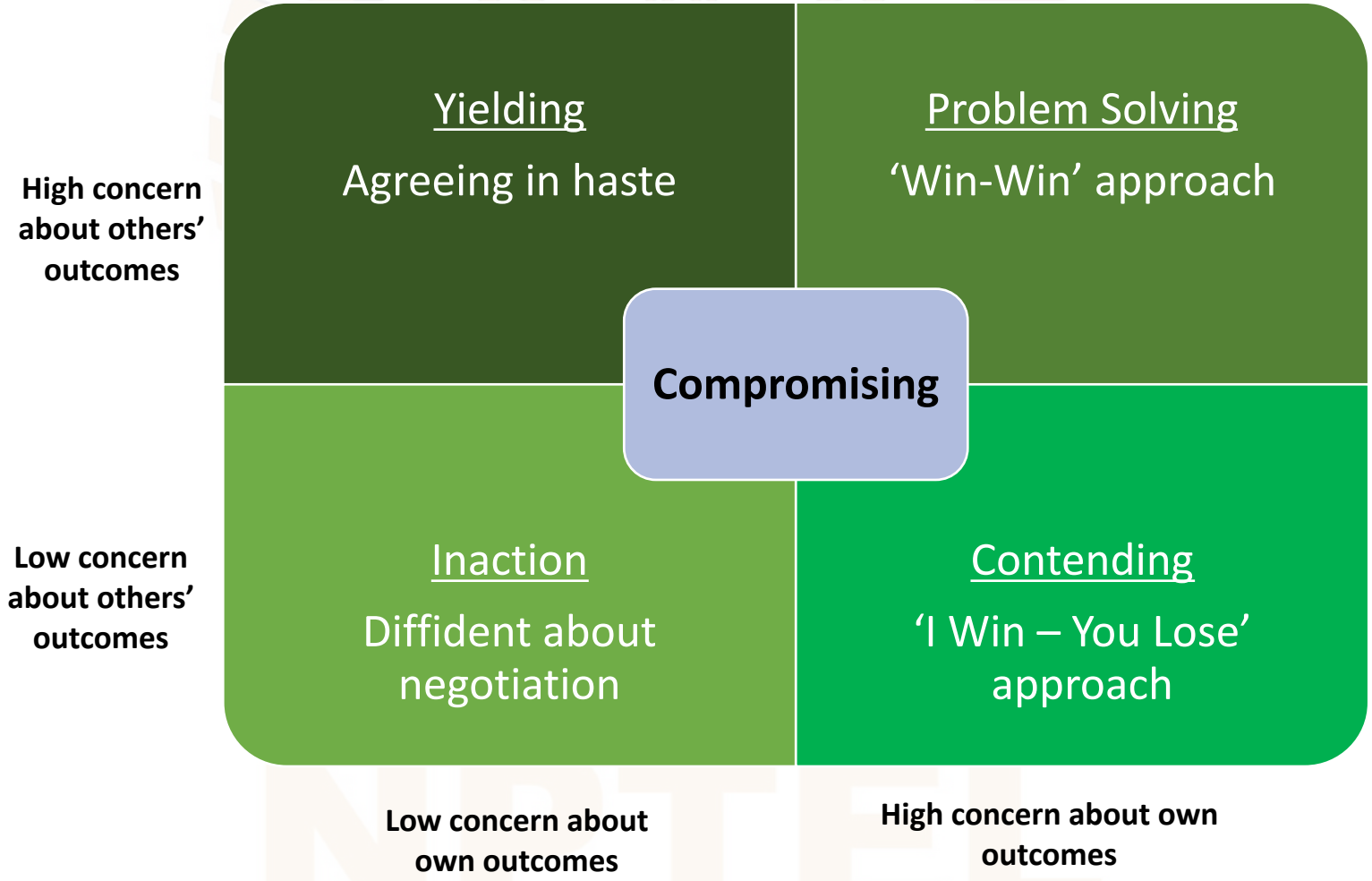
Negotiators tend to be of four types of personalities. Having all the four in one, and contextualizing is important.



Understanding the stakes and strengths as well as the opportunities and challenges helps in personality change

The Dual Concerns Negotiating Model

Negotiators are not expected to be either selfish or selfless. They must have rational business concerns.



Having a win-win approach to negotiation stems from a balanced interest in own and others' outcomes.

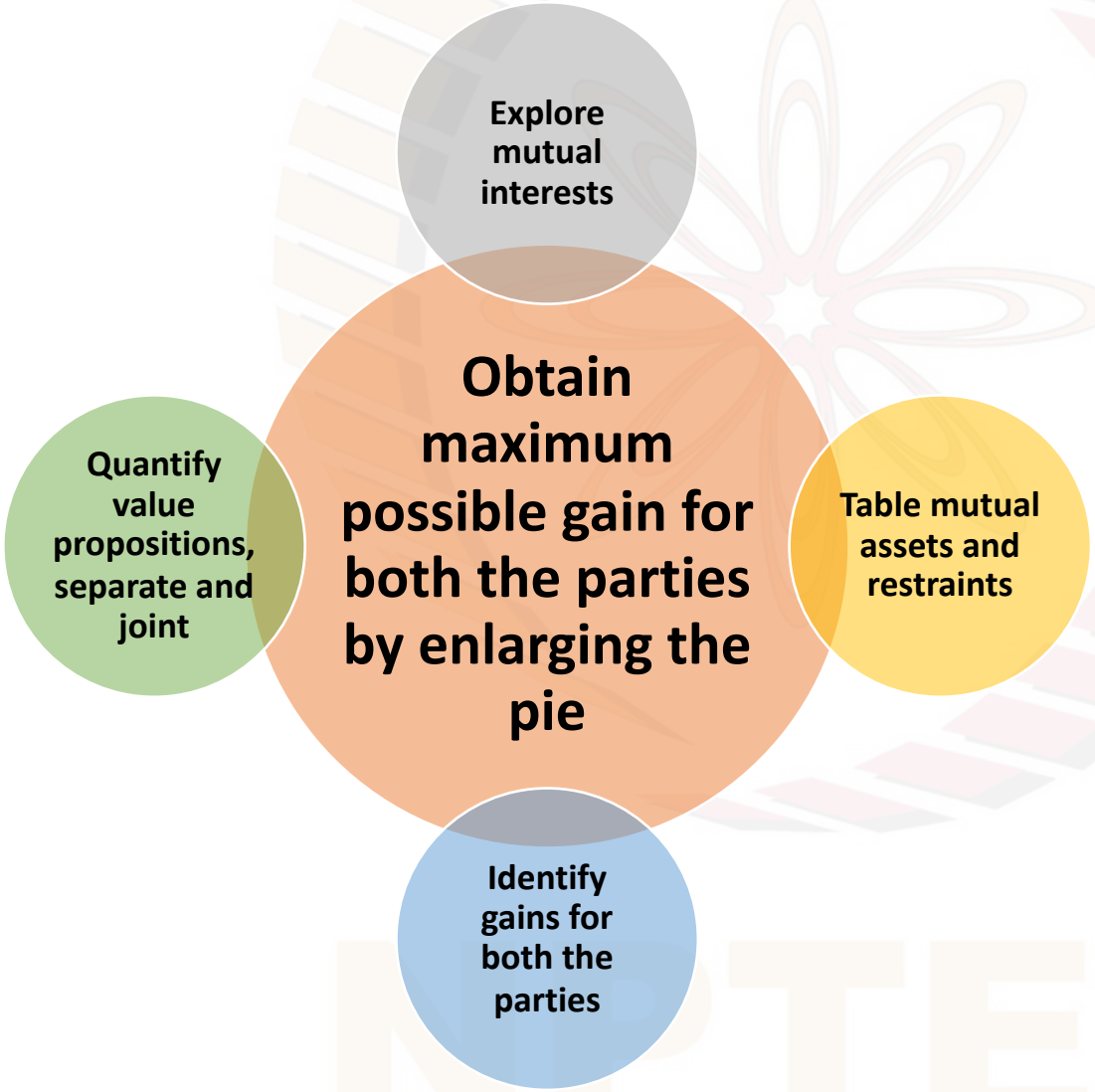
Many Negotiating Styles

Depending on personality, competence and conviction, negotiators adopt many of the following styles.

Competitive Style	• To try to get all that is there to get
Collaborative Style	• To try to find maximum possible for both the parties
Accommodative Style	• To be trying to yield all that is there to yield
Confrontation Style	• To try to be aggressive and browbeat the other party into submission
Avoiding Style	• To try to stay out of negotiation
Wear-out Style	• To try not agree on anything hoping that the other party will agree in desperation
Compromising Style	• To try to meet mid-point without logic or discussion
Retaliative Style	• To try to accuse or threaten the other party into submission

The Positive Negotiation Construct

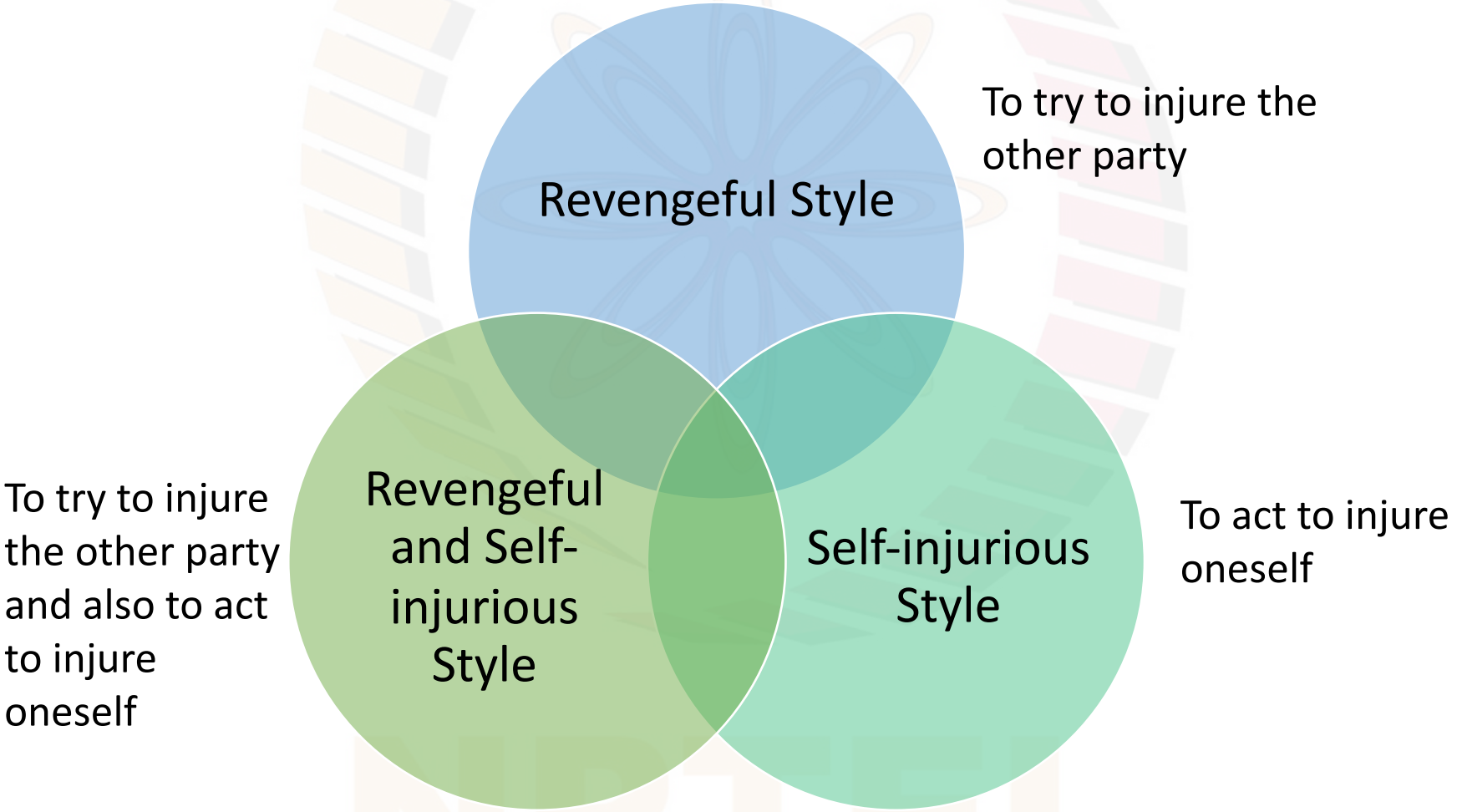
In a positive negotiation construct, both parties will explore many ways to achieve equitable prosperity for both.



Understanding the stakes and strengths as well as the opportunities and challenges helps in personality change.

The Negative Negotiation Construct

In a negative negotiation construct, both parties will leave no stone unturned to pull the other party down.



In the negative construct, parties lack business conviction, business competence, openness and empathy.

The Right Mix

Negotiators need to keep in mind various negotiating styles, leveraging the positive ones and eschewing the negative ones.

Each negotiator must recognise his or her “default” or “natural” style

Should be aware of the counterparty’s negotiating style

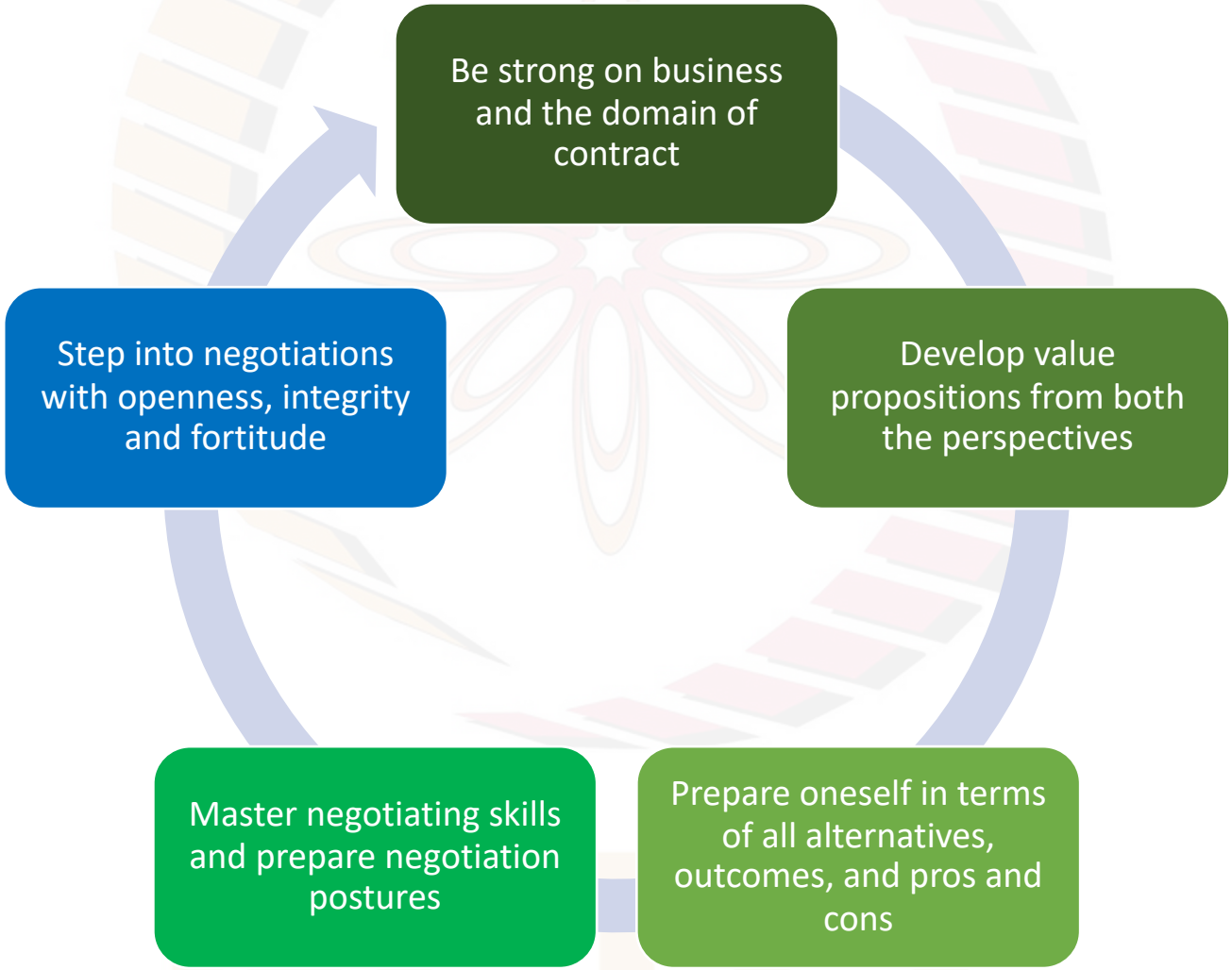
The negotiator should be prepared to use a combination of styles in a contextual manner

Toggling between styles must be seamless and logical, and not jerky and opportunistic

Negotiation is a deliberate activity that needs to be well thought of and well prepared for by the party.

Making Negotiation Effective

Negotiation cannot be taken to be a casual, non-core activity. It is a specialized subject that requires expertise.



These five steps become a part of a suave negotiator personality with time - soft skills and hard skills together

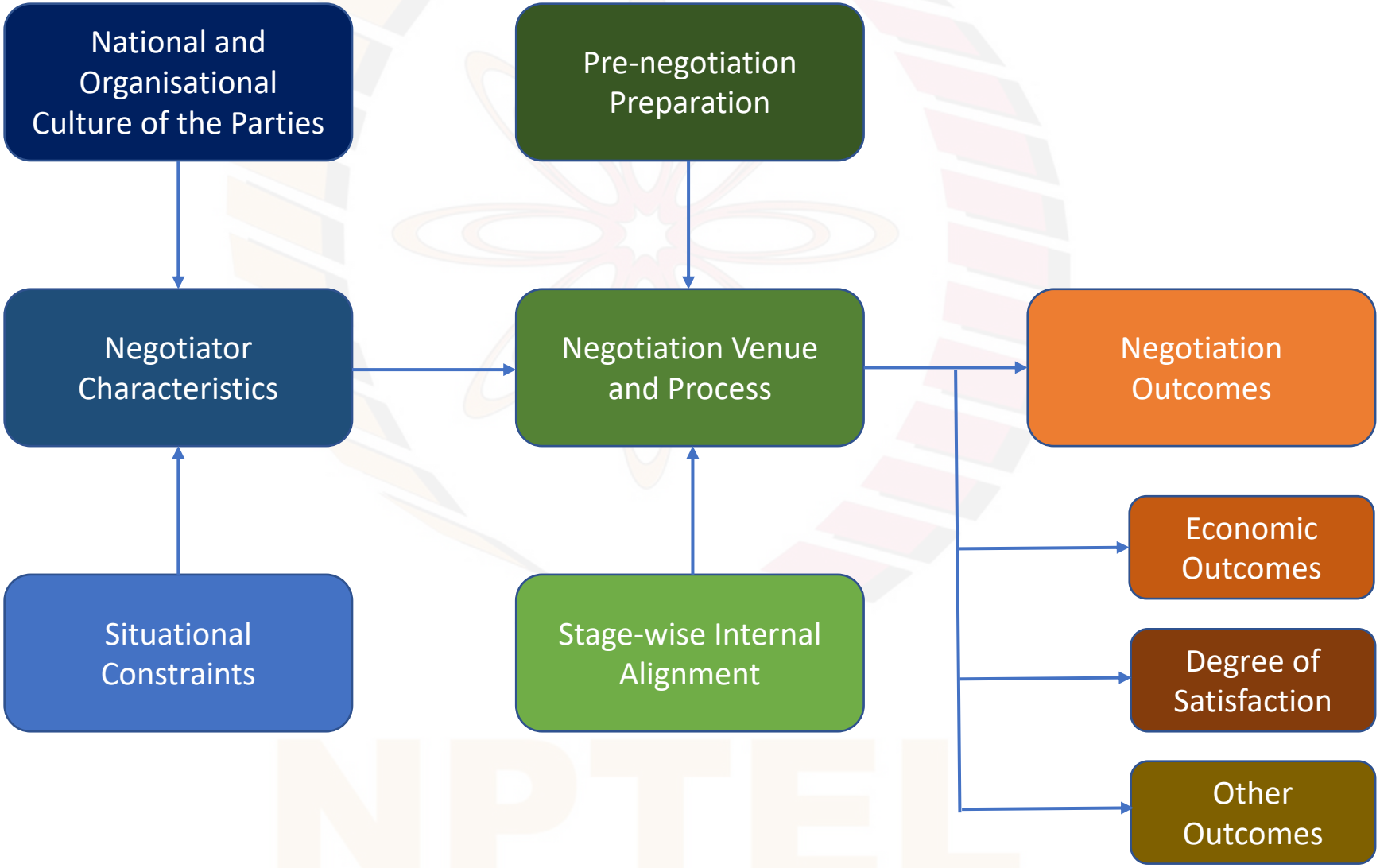
Negotiation Stances

Soft Stance	Hard Stance	Balanced Stance
Participants are friends	Participants are adversaries	**Participants are problem solvers**
The goal is agreement	The goal is victory	**The goal is win-win wise outcome**
Make concessions to cultivate relationship	Demand concessions as a condition of relationship	**Separate people from the problem**
Be soft on the people and the problem	Be hard on the people and the problem	**Be soft on the people and hard on the problem**
Trust others	Distrust others	**Proceed objectively independent of trust**
Change your position easily	Dig into your position	**Focus on interests, not on positions**
Make offers	Make threats	**Explore interests**
Disclose your bottom line	Mislead as to your bottom line	**Avoid having a bottom line**
Accept one-sided losses to reach agreement	Demand one-sided gains as the price of an agreement	**Invest options for a mutual gain**
Search for the single offer: the one they will accept	Search for the single offer: the one which you will accept	**Develop multiple options to discuss and decide**
Insist on agreement	Insist on your position	**Insist on using objective criteria**
Try to avoid a contest of will	Try to win a contest of will	**Try to reach a result based on standards, independent of will**
Yield to pressure	Apply pressure	**Reason and be open to reason; yield to principle, not pressure**

The Perils of Self-Negotiation

- Working to reach an agreement based on unrealistic timelines
- Imagining collapse of the process if the other's point is not accepted
- Unwilling to put forth a point of view for the fear of offending the other party
- Unable to reach internal consensus before starting negotiation
- Wanting to finalise the agreement at any cost and on any terms

Factors Affecting Negotiation



Negotiation Tactics

Not all tactics work all the time; some may even boomerang

Options	Pros	Cons
Bidding	Various alternative possibilities get known	Credibility gets impacted by multi-party negotiations
Brinkmanship	At times nudges the stalling partner to be realistic	Not a tactic to be deployed regularly
Good Guy/ Bad Guy	Helpful to be simultaneously soft and hard in negotiations	Pattern gets predictable and ineffective over time
First Concession	Develops a 'good intentions' image	May be seen as a sign of weakness, if all too generous
Distant Carrot	Signals an intent to build a strategic relationship, if sincere	May be seen as a non-serious bargain
Information Overload	Provides a canvas for considering all options	Can be seen as a deliberate stalling tactic
Deadline	A task and result orientation may emerge	If unrealistic and repetitive, sanctity will be questionable
Negotiator Change	May bring in a fresh approach and push	The process may turn volatile and even internally sparring
Surprise Element	Can accelerate the agreement outcome	Can be a non-event or wasted offer if off-mark

Psychological Foundations of Negotiation

Visible Facet	Psychological Basis
Negotiating style	Attitudes about interpersonal harmony or conflicts
Goals and aspirations	Achievement orientation
Process integrity	Values of fair play and compliance
Authoritarian standards and norms	Task oriented personality
Relationship orientation	Empathy and inclusivity
Listening and adaptiveness	Concern for others and principles
Staying in boundaries	Risk aversion
Out-of-the-box thinking	Self-worth and conviction

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Disastrous Tactics in Negotiation

- Making threats
- Trading insults
- Bluffing
- Using Intimidation
- Dividing to conquer
- Using leading questions
- Making emotional appeals
- Testing the boundaries
- Stooping to conquer

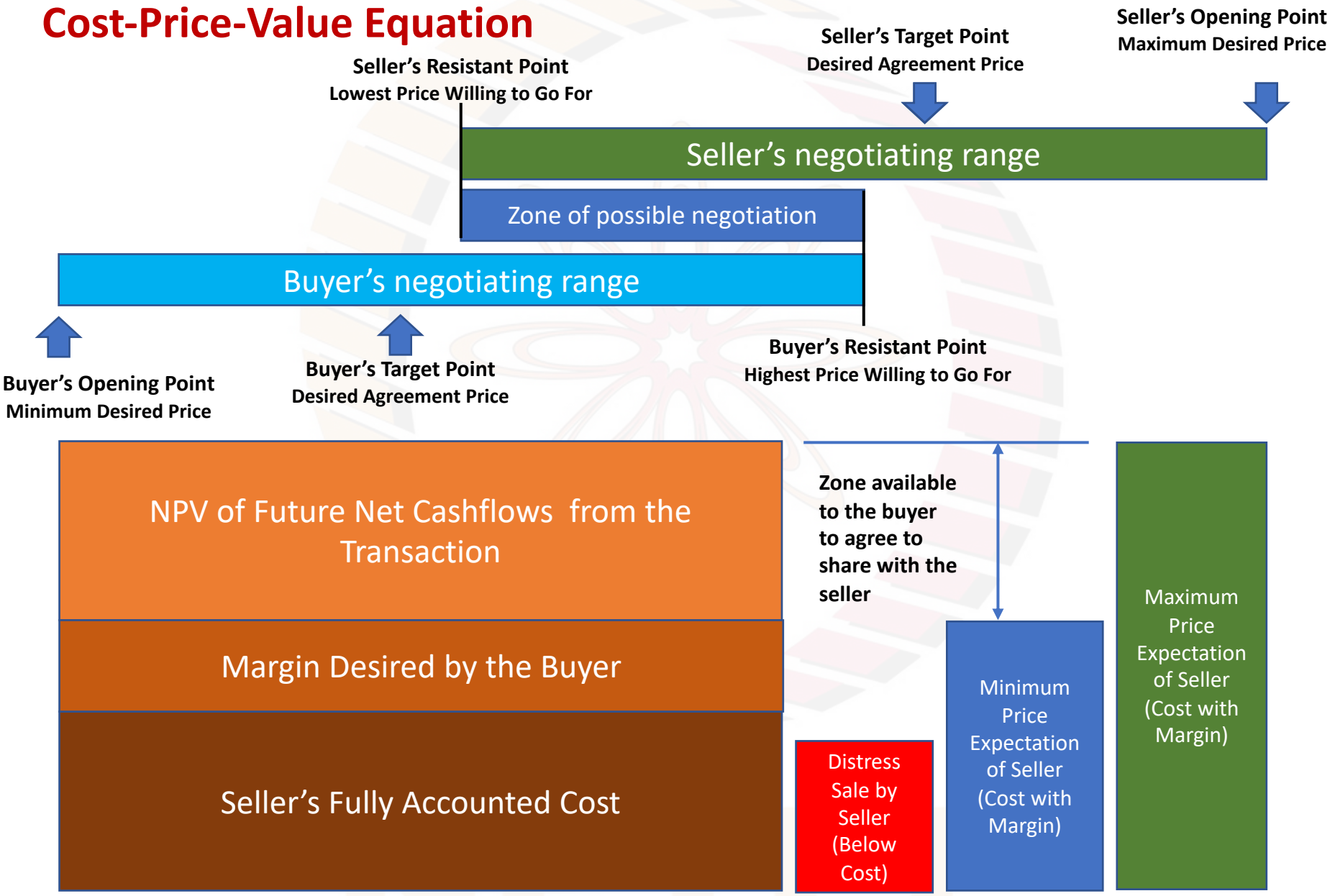
Pricing – The Most Challenging Part of Any Negotiation

How to Price the Transaction?		
Cost Plus	Market-bearing Price	Future Value

Who Needs the Agreement Most?		
Seller/ Licensor	Buyer/ Licensee	Seller/ Buyer Neutrality

Who Retains What Value?		
Total Value Computation	Seller's Share	Buyer's Share

Cost-Price-Value Equation



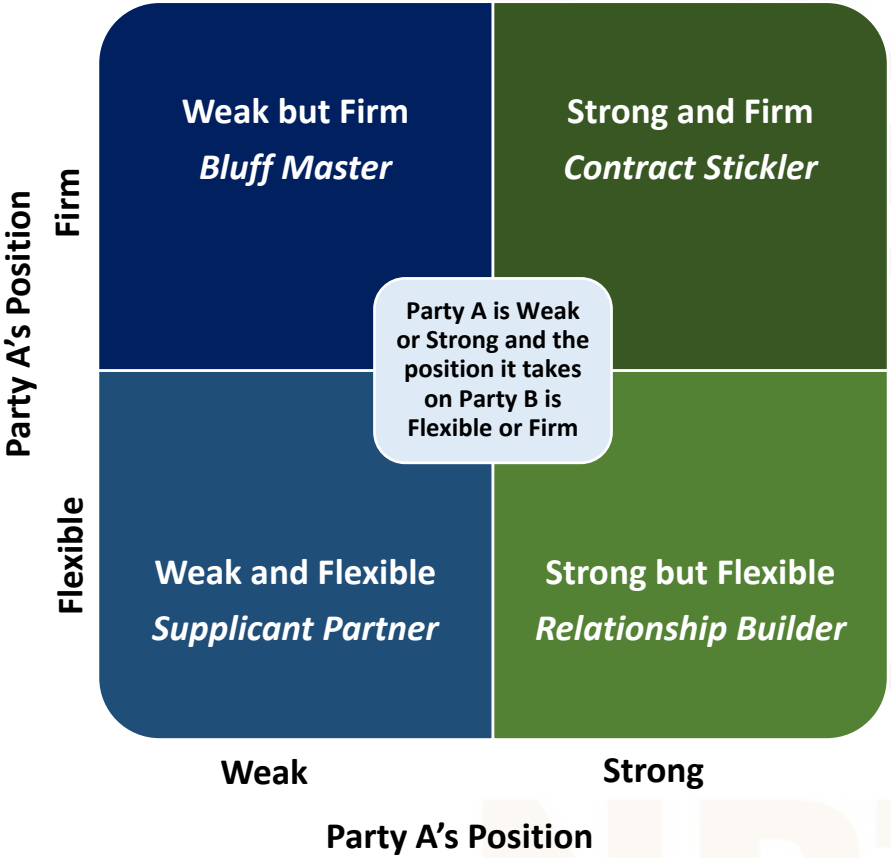
Power Play in Negotiations

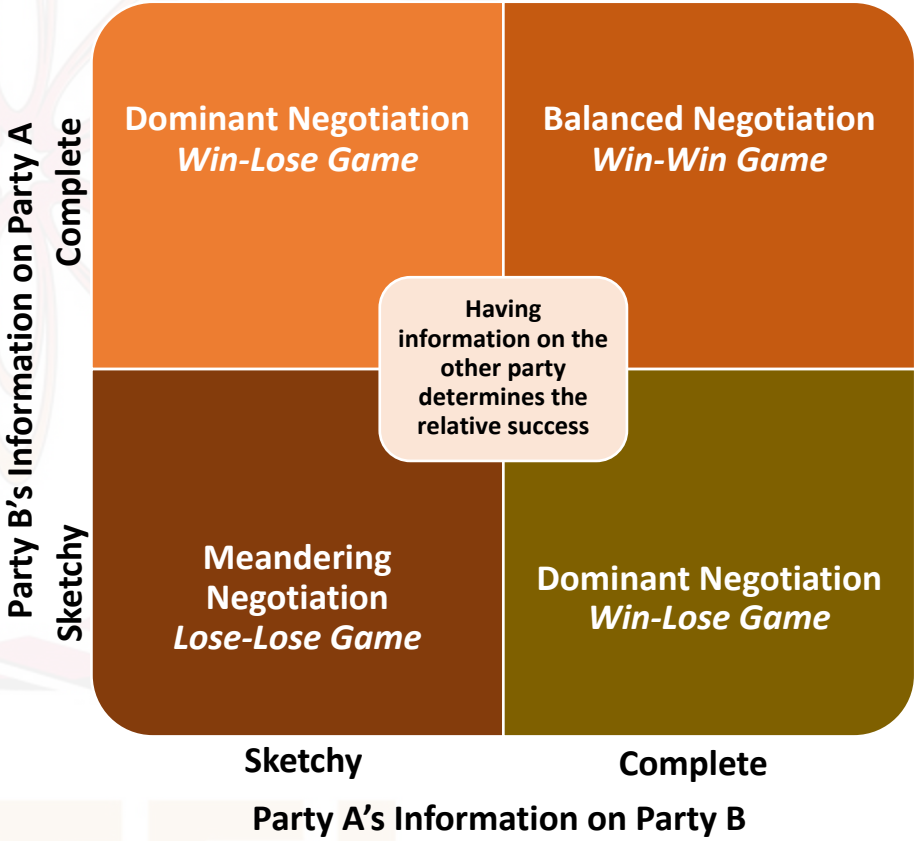
Positional Power (Legitimate Authority)	Rewards and Risks
Sanctions and Incentives	Force and Persuasion
Information and Disinformation	Expertise and Wisdom
Charisma (Referent Moral Authority)	Commitment and Casualness
Instinct and Intuition	Standard or Unique Solution

The Process Flow

Understanding the transaction	Identifying the mutual interests	**Closing the transaction**
Goals and stakes	Chemistry and rapport	Agreeing on scope and price
Parties and their SWOT	Exchanging information	Agreeing on terms and conditions
Zone of potential agreement	**Establishing the relationship**	Executing the contract

The Elusive Perfect Negotiation





Thank you!

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BUSINESS DEVELOPMENT
From Start to Scale

Week 10: Lectures 46 to 50
Business Development Competencies

Lecture 49: Cultural Skills

Prof. C Bhaktavatsala Rao, Ph.D.
Ajit Singhvi Chair Professor
Department of Management Studies
Indian Institute of Technology Madras
and
Founder – LeaderCrest Academy

Business is Global while Culture is Local

Need to partner multiple individuals and entities, with multiple nationalities

Need to develop long term operational and strategic partnerships with stakeholders

Need to institutionalize collaboration to withstand environmental vicissitudes

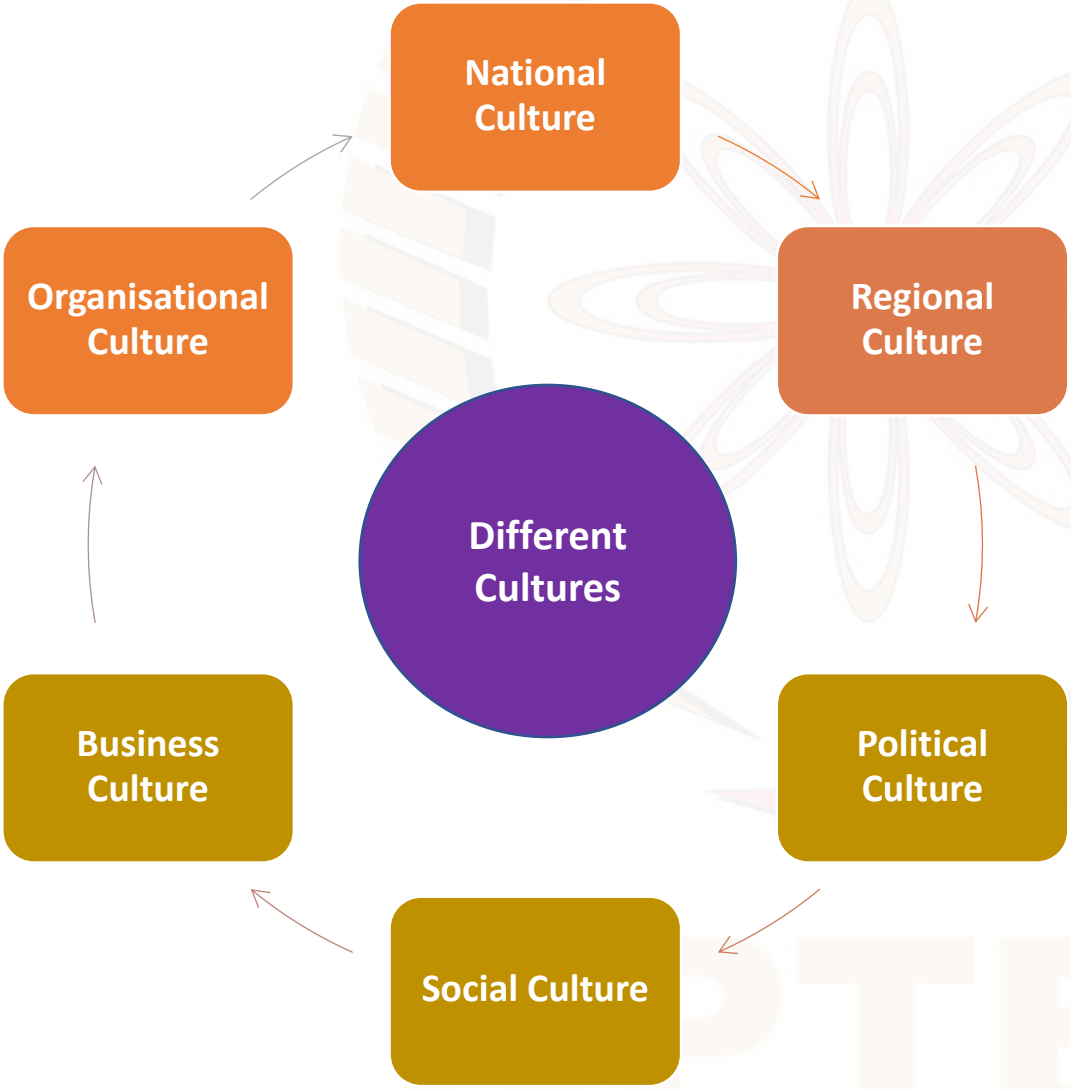
Need for cross-cultural management expertise in business development, therefore

Culture is the characteristics and knowledge of a particular group of people, encompassing language, way of life, religion, cuisine, social habits, music and arts.

Culture is positioned in many ways. Some examples:

- ***Country/region culture***
- ***Working-class culture***
- ***Affluent-class culture***
- ***Urban Vs. Rural culture***
- *The study of Japanese **language and culture***
- *Cooking is a hugely important **part of** French **culture**.*
- *He is no longer in touch with **youth culture**.*
- *The film examines the **culture clash between the generations**.*
- *There is difference between **start-up and big company culture***

Cultural Cascade



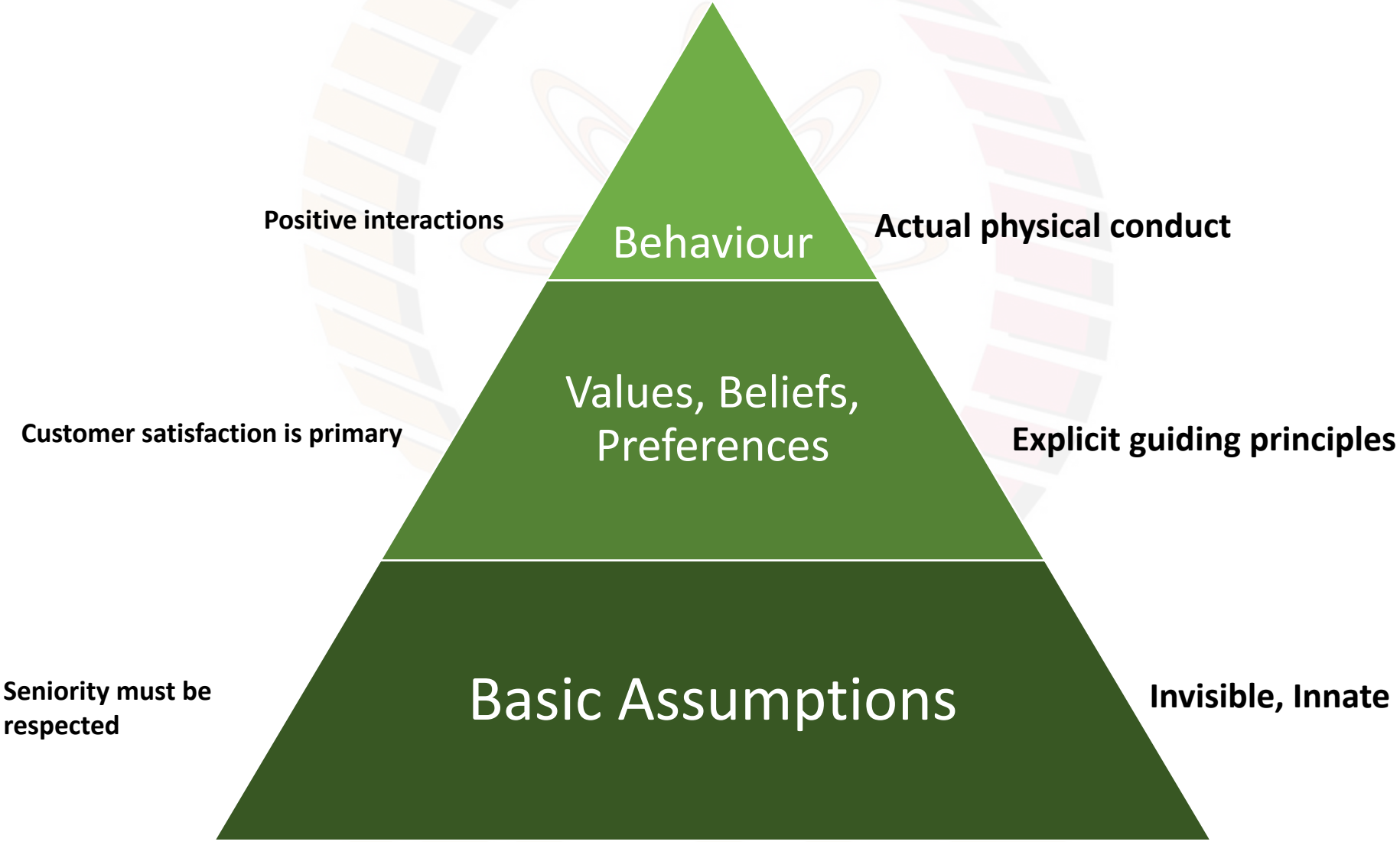
Culture impacts…

Collaboration

Competition

Negotiation

Dimensions of Culture



Small Things Make a Big Difference

Meet and Greet	Card Exchange	Communication
Body Language	Patience	Reflection
Review	Agreeing	Closure

Corporate Culture

Corporate or organizational culture is the specific set of behaviours, practices and systems that are driven by the values adopted by people and teams in the organization. An example of Tata Group:

"Business, as I have seen it, places one great demand on you: it needs you to self-impose a framework of ethics, values, fairness and objectivity on yourself at all times." - Ratan N Tata, 2006

FIVE CORE VALUES OF TATA GROUP

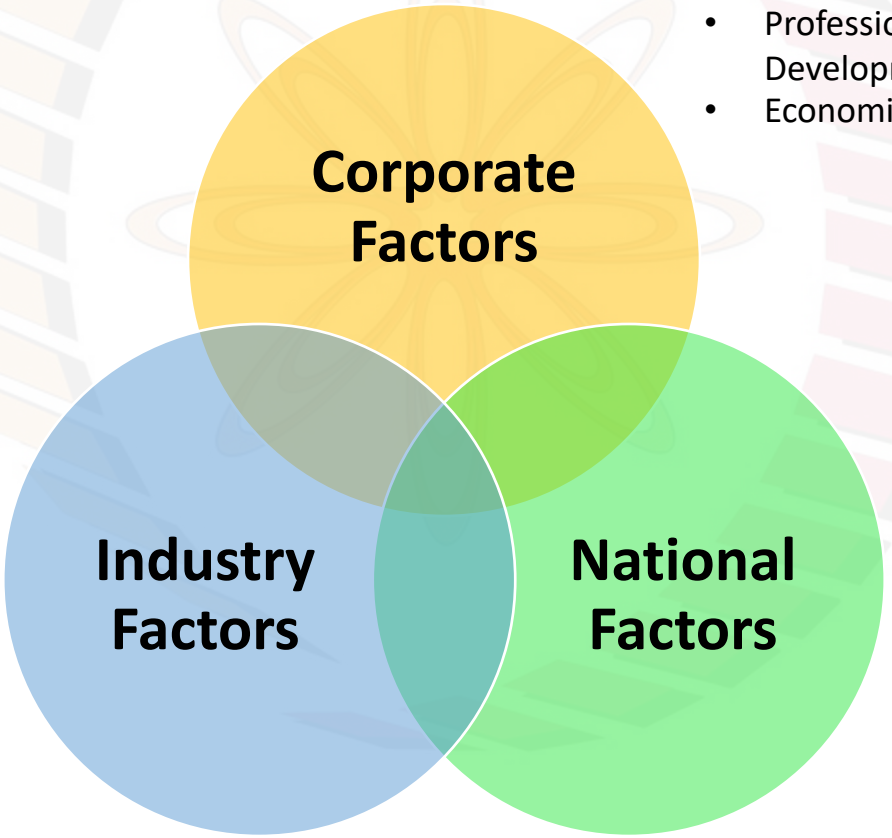
- Integrity
- Responsibility
- Excellence
- Pioneering
- Unity

Culture and Negotiation

Factor	Indian	American	European	Japanese	Korean
Goal Setting	Opportunistic	Aggressive	Conservative	Cautious	Aggressive
Attitude	Personalised	Objective	Evaluative	Reflective	Aggressive
Style	Flexible	Open Structure	Bounded	Methodical	Street-smart
Communication	Transparent	Measured	Measured	Minimalist	Rapid
Time Sense	Flexible	Strict	Adaptive	Measured	Urgent
Emotions	Open	Not displayed	Warm	Polite	Pushy
Agreement Form	Flexible	Specific	Specific	General	General
Flow Process	Parallel	Sequential	Sequential	Sequential	Parallel
Team Organisation	Flexible	Structured	Structured	Comprehensive	Individualistic
Decision Making	Top Down	Delegated	Delegated	Consensus	Empowered
Risk Taking	High	Calibrated	Low	Low	High

Three Drivers of Culture

- History
- Ownership
- Professional leadership
  Developmental stage
- Economic health



- Functional orientation
- Dominant growth driver
- Key sources of competitive advantage
- Developmental stage
- Economic health

- History
- Religion and philosophy
- Ethnicity
- Social state
- Economic health
- Demographic profile
- Human development index
- Governance

Cultural Peculiarities of Industrial Organisation

Nature of the Firm	Cultural Expression
Promoter-led	Top-down; Opportunistic; Whimsical; Agile; Emotional; Committed
Small Entrepreneurial	Cautious; Risk-averse; Minimalist; Calibrated; Support-seeking
Large Entrepreneurial	Aggressive; Ambitious; Expansive; Risk-taking; Wealth-oriented
Start-up	Adventurous; Innovative; Irreverent; Risk-taking; Aspirational
Professional	Planned; Analytical; Risk and Reward Balanced; Accountable
Public Sector	Bureaucratic; Approval-based; Non-committal; Governance-driven
Listed Company	Responsible; Accountable; Compliance-driven; Market cap-driven
Unlisted Company	Autonomous; Multi-party; Transactional; Secretive; Fast
Global MNC	Standardised; Policy-driven; Slow and methodical; Evaluative

Cultural Peculiarities of Industrial Specialisation

Specialisation of the Firm	Cultural Expression
FMCG	Marketing and Supply Chain Oriented
Automotive	Product, Operations and Marketing Oriented
Pharmaceutical	Innovation, Quality and Marketing Oriented
BFSI	Relationship, Safety, Security and Assurance Oriented
Electronics	Technology, Product and Marketing Oriented
Energy	Technology, Investment and Climate Oriented
Food	Cosmopolitan, Ethnicity and Nutrition Oriented
Hospitality	Global, World-class and Networking Oriented
Commodity	Standardised, Cost-competitive and Volume Oriented

Piercing the Veil

For successful business development, what lays behind the cultural veil of the partner company must be understood.

Is ownership distinct from management in the company? Is management of the company professional?

How is decision-making carried out in the company? Are leaders empowered?

Who are the sponsors and approvers for this partnership project? Who are the other stakeholders?

Does the company have a culture of entering into partnerships and respecting partners?

Markers for Professional Culture

Respect for organisational structure

Respect for business processes

Respect for individual

Respect for meritocracy

Positive answers to these questions go a long way in laying strong foundations for win-win partnerships.

International Culture

The following international culture differences impact the success of business development and project management

Some cultures are overawed by expatriates while some are hostile

INTERPERSONAL RELATIONSHIPS

Communication

Etiquette

Decoding attitudes and behaviour

Understanding "silent" language

MULTICULTURAL TEAMS

"Expatriates" vs. "Locals"

Group building/working/relationships/

Conflict resolutions

Some cultures 'go with the flow' while some cultures shape paths

Some cultures are compliant by nature while some are independent

MANAGERIAL INTERACTIONS (Boss/Colleagues/Subordinates)

Feedback, control and coordination

Rewards/Punishments

Personal space

Motivations

PARNERSHIPS / TRANSACTIONS

Contract negotiations

Joint ventures/Partnerships

Official meetings

Community events/Social events

Some cultures believe in partnership while some are individualistic

Each forum and interaction will need to be fully experienced by the business development person to be effective

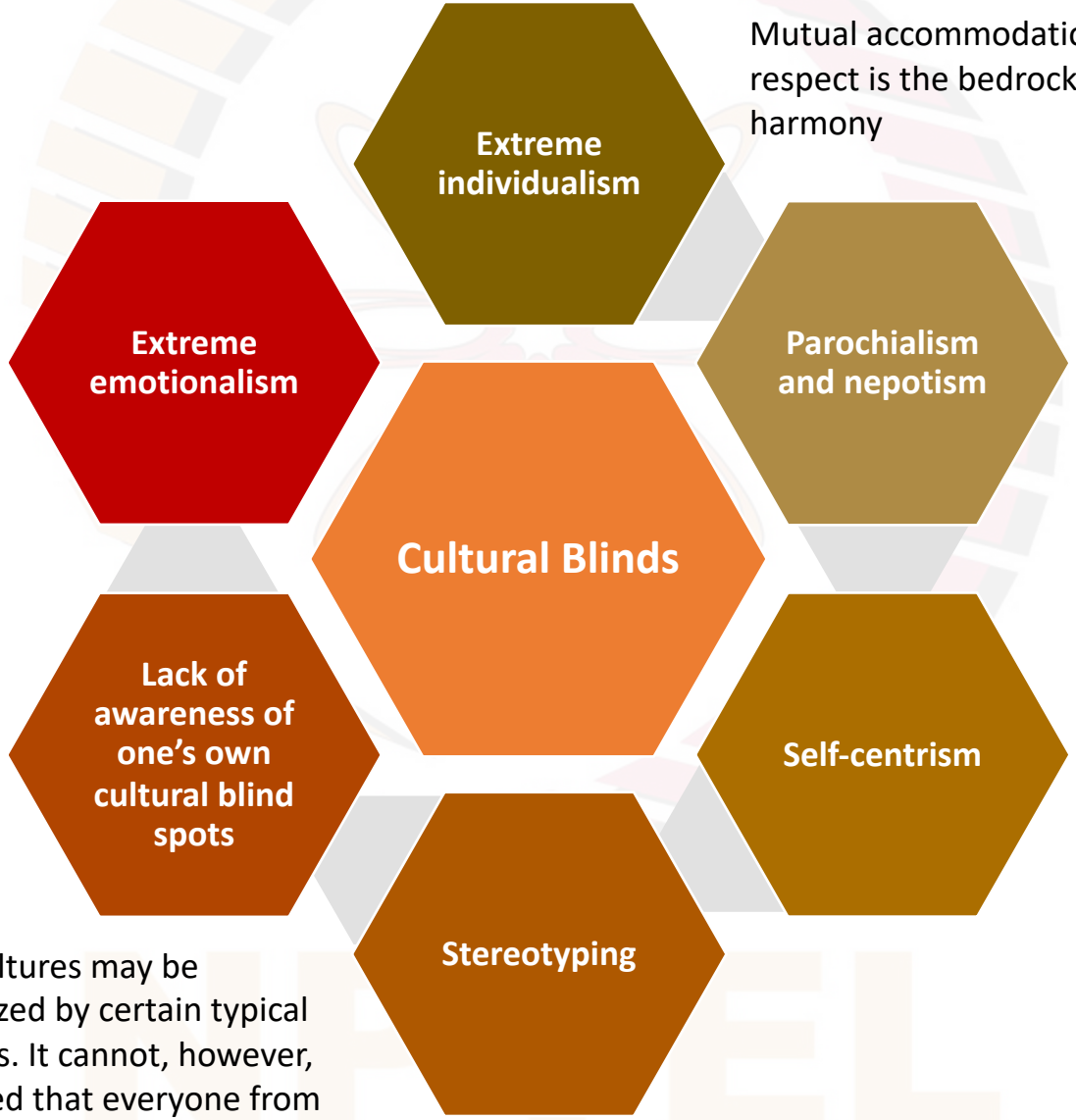
Major Obstacles in Multi-cultural Environment

- Discussion of differences perceived as uncomfortable, inappropriate, threatening or illegitimate.
- Assumption of similarity / homogeneity.
- Needless assumption of dissimilarity or divergence in positions
- Cultural diversity is denied, lost as a potential resource and transformed into a significant handicap.
- Richness of diversity lost on the way.
- The gap between pretended similarity and inner conviction of actual difference widens and creates uncomfortable situations.
- Cautious behavior and unproductive costly politeness emerge as coping mechanisms to handle the situation.
- This leads to low risk taking, avoidance of confrontation and achievement of the smallest common denominator.

Mindsets to be Conquered for Cultural Synergy

Business is based on facts and figures as much as on desires and aspirations. Emotional approach works against objectivity.

Mutual accommodation and respect is the bedrock of cultural harmony



Narrow, self-centred and biased viewpoints block cultural harmony

It is important for the parties engaged in partnership introspect about their own cultural blocks and clear them.

The belief that one's is the best way of thinking and acting negates cultural progress

Certain cultures may be characterized by certain typical behaviours. It cannot, however, be assumed that everyone from that culture presents the same.

Business Etiquette

Factor	USA	Europe	Japan	India	China	Korea
Addressing	First Name	First Name	With 'san'	With respect	Impersonal	Impersonal
Introduction	Handshake	Handshake	Bowing	Handshake	Handshake	Bowing
Visiting card exchange	Casual	Semi-formal	With care and attention	Semi-formal	Casual	Semi-formal
Dress code	Business casual	Formal	Formal	Business casual	Formal	Formal
Seating	Informal	Semi-formal	Formal	Semi-formal	Directed	Semi-formal
Talking	Matter of fact	Factual and free flowing	Polite and measured	Free flowing	Directed	Free flowing
Body language	Casual	Semi-formal	Formal	Semi-formal	Formal	Semi-formal
Time	Sensitive to time	Sensitive to time	Highly time-sensitive	Not time-sensitive	Not time-sensitive	Time-sensitive
Eating	Early and quick	Early and quick	Late and slow	Late	Late	Late
Overall Etiquette	No role in negotiations	No role in negotiations	Big role in negotiations	Go with the flow	Big role in negotiations	Big role in negotiations

A Typical Culture Translation Guide in Business Development

What the Indian Teams say	What the Indian Teams mean	What the West Worries About
I will deliver the project…	It is the outcome I am committed to	The company concerns me on the process leading to results
Please do not worry about the team…	We can assemble a team in no time from Ground Zero	The quality of team members and the project management
0h, by the way, should not matter as long as we deliver…	The contract is for the product and not for the process	The team does not understand stage-gated processes
This is not the first time that we are undertaking a project…	Every project is repeatable – you don't worry	The team is complacent about the uniqueness of our project
We are on the top of things…	Don't ask us questions	The team seems casual
Can we consider some other options for project delivery?	We should have freedom in delivery processes.	The team is not so sure, it looks
We can do more than this project...	Best time now to secure more projects.	The team is unfocussed.
If the project delivery lags, it is not going to be due to us…	We cannot control the uncontrollable	The team has no Plan B
Your project is more important to us than to you...	We don't think you are critically dependent on this project	The team doesn't understand that every project is critical

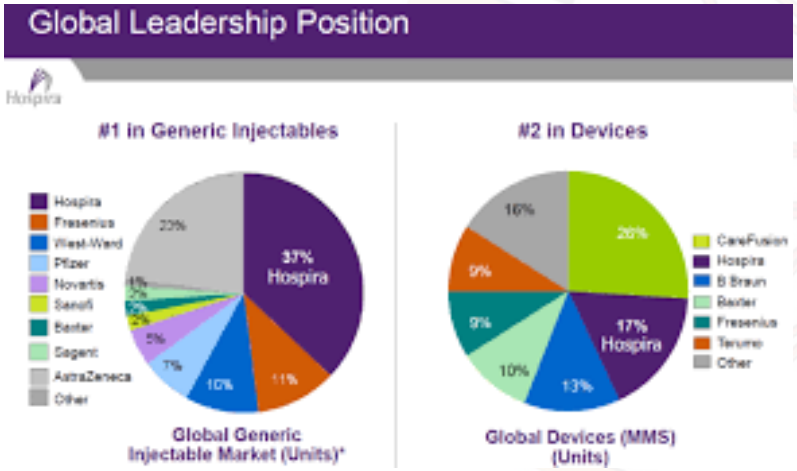
Inclusive Vs Authoritative Cultures

Inclusive/ Facilitative Cultures	Authoritative/ Hierarchical Cultures
Open disagreement based on perceptions and facts encouraged – *brings out several ignored or unseen dimensions for better quality decisions*	The boss's opinion is final (even initially!), and no public disagreement is allowed – *quality of discussions and decisions will be poor*
People will feel empowered to take initiatives on their own, without waiting for the boss's approval – *enhances the business canvas*	People will not take any action that is outside of the instruction; always approval first and action next – *makes organisation risk-averse*
In business development interactions with potential partners, there will be a less emphasis on hierarchy and a higher emphasis on stature – *helps in more fruitful outcomes*	The expectation will be on matching of hierarchy and titles as a preferred requirement – *the processes and outcomes could be bureaucratic*
Significant openness to multiple ways of communication, formal and informal – *builds relationships*	Communication follows the hierarchical chain – *often leads to siloed working*
Ability to develop relationships cascades throughout the organization, inspired by the leader's style – *results in collaborative team working*	Only people in similar titles or roles will be spoken to – *leads to communication barriers*

Cultural Transformation: Delivering Results

Making A Difference at Hospira: Transforming Culture from Within the Organization.

Leadership with Aged Plants and Dated Processes



Cultural Anchors for Transformation

Culture Transformation Strategy

"We are executing a deliberate, multi-part plan which will transform the cultural anchors from **words** to how Hospirians choose to **behave" – Hospira CEO, Michael F. Ball, 2011**

1. **Communication**
2. **Integration**
3. **Top-down Leadership**
4. **Bottom-up Engagement**
5. **Reward and Recognition**

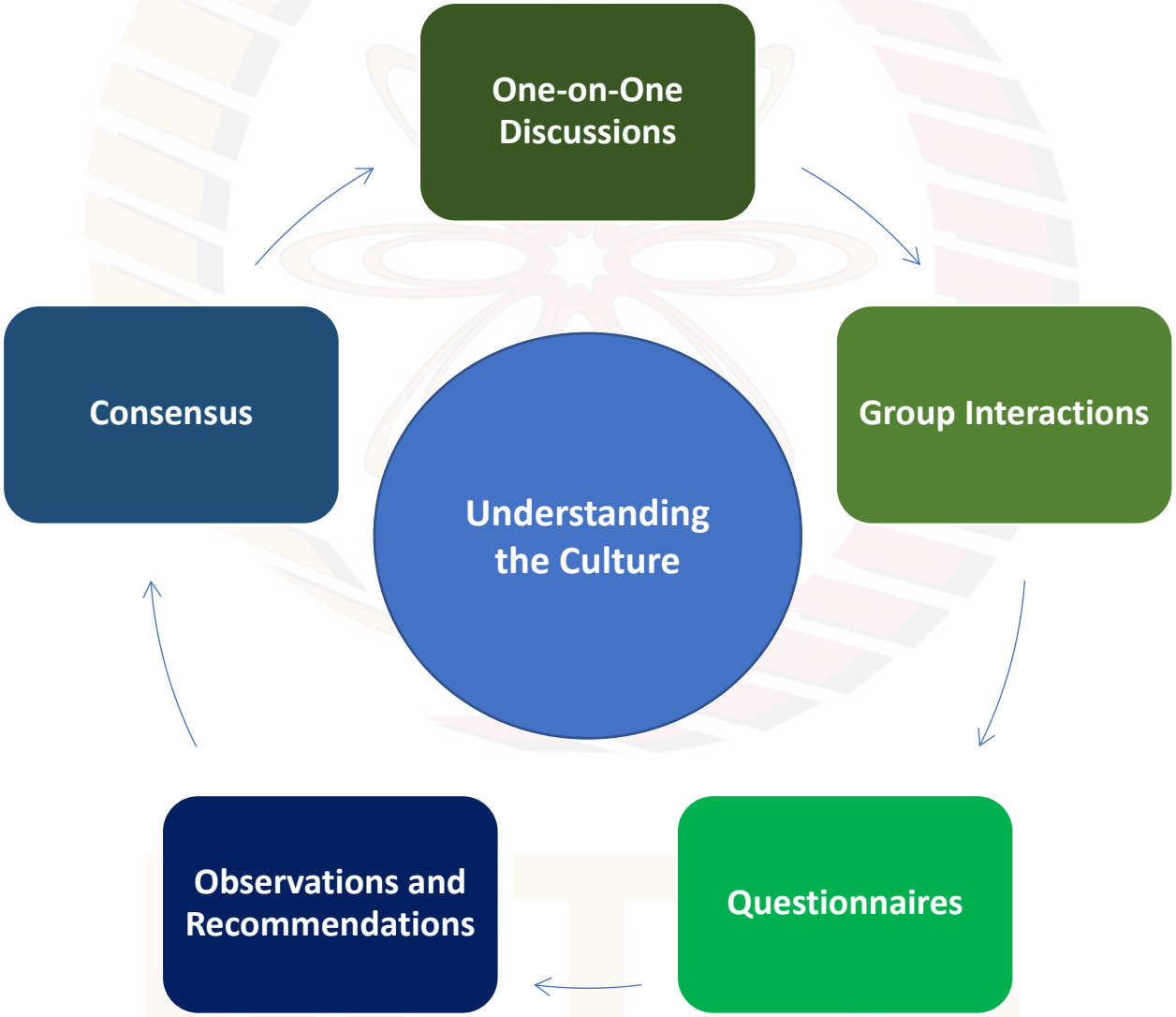
Overcoming Barriers to Success in Cultural Transformation

Any cultural transformation journey must be resolute enough to overcome barriers to change and achieve success. Such a change, in turn, serves as the bedrock of strategic transformation at.

Barriers to Change	Success Factors for Cultural Transformation
Absence of visible cultural theme	Integrated development of cultural anchors, communications and programming
Resistance to change from legacy culture and practices	Unveiling of the cultural transformation programme by the top leadership Integration of cultural anchors into everyday activities and communications
Inadequate time commitment from leaders and managers to develop the mindset and skills required to drive culture change	Senior Leadership and management team support, leadership and role-modelling
Messages getting stuck or distorted at every level of the organization	Leadership and management team's support to positive messaging, and frequent role modelling
Long time taken to implement even minor cultural changes	Rolling out the communications and programming quickly enough to hit a "tipping point" to drive change

Company Cultural Transformation: A Framework

Understanding Current Culture is Important



A Menu of Desirable Cultural Anchors

Respect for Individual	Customer-Centricity	Performance Orientation
Operational Excellence	Accountable and Responsible	Authentic and Open
Ownership and Passion	Quality and Productivity	ESH and ESG Compliant

NPTEL

Fostering a Positive Culture

Positive Communication Culture

- Transparent propositions
- Open, unambiguous expressions
- Positive, open feedback
- Active listening

Positive Outcomes Culture

- Fact and data based negotiation
- Synthesis of key enablers and disablers
- Focus on principles, rather than personalities
- Interest in progressive consensus building

NPTEL

Positive Leadership Culture

- Inclusive, facilitative, and empathetic style
- A mix of task and relationship orientation
- Egalitarian, encouraging meritocracy
- A mix of flat and hierarchical communication

NPTEL

Positive Process Culture

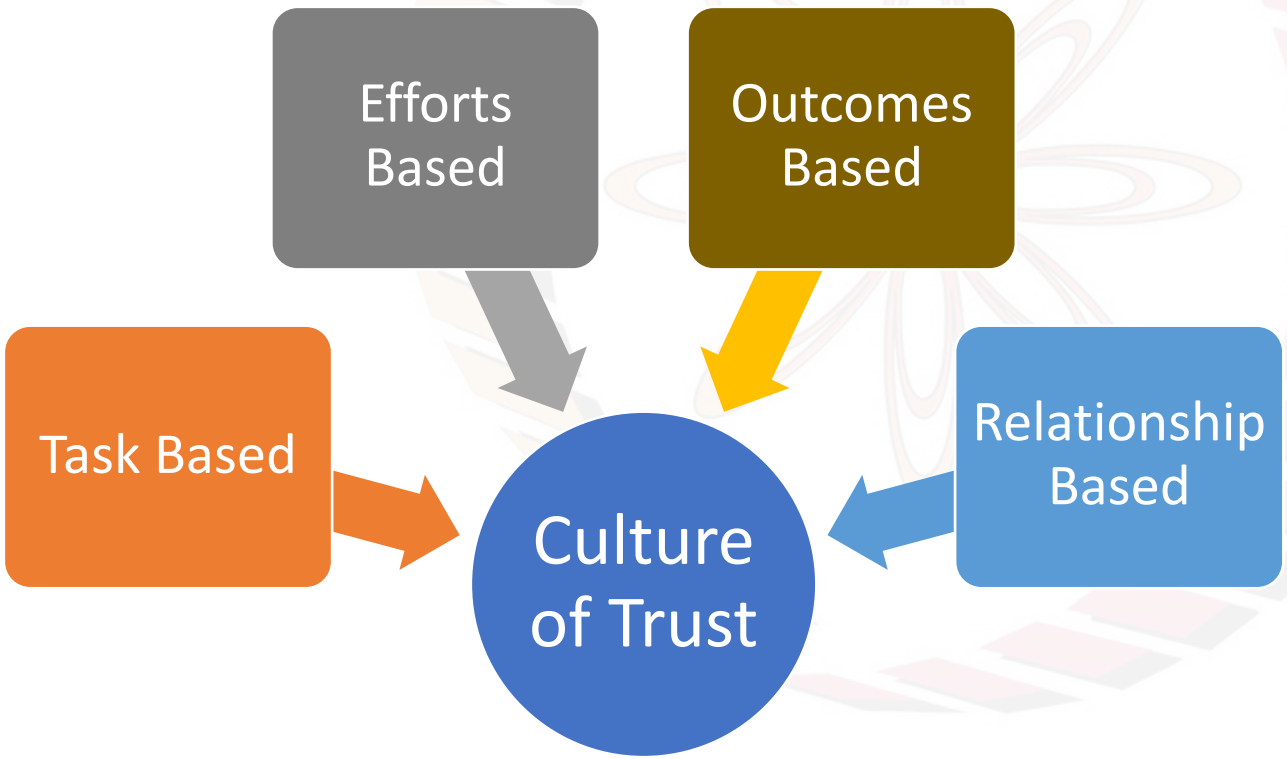
- Well laid-out policies and processes
- A priori articulation of relevant processes
- At the same time, contextually agile and flexible
- Holistic appreciation amongst all team members

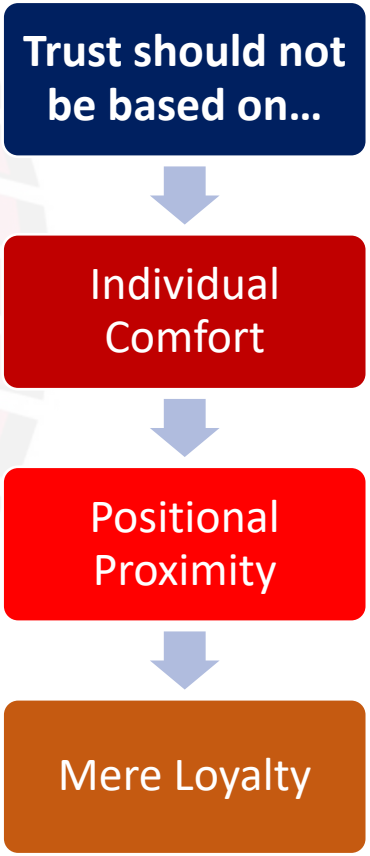
NPTEL

Positive Compliance Culture

- Ethical, value-driven
- Schedule and time-compliant
- Uncompromising on core, adaptive on others
- Respect for jurisdictions and regulations

Trust Culture





Thank you!

NPTEL COURSE

BUSINESS DEVELOPMENT
From Start to Scale

Week 10: Lectures 46 to 50
Business Development Competencies

Lecture 50: Leadership Attributes

Prof. C Bhaktavatsala Rao, Ph.D.
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Department of Management Studies
Indian Institute of Technology Madras
and
Founder – LeaderCrest Academy

Competence-Outcome Approach

Competence-Outcome approach focuses on the leadership competence (or competency) as the key driver of leadership effectiveness. Effectiveness is the ability of a leader to accomplish the desired outcome efficiently.

Attribute is a quality or feature of something or someone.
For example, patience is one of the most important attributes in a teacher. Studious nature is one of the most important attributes in a student.

Leader attributes comprise four factor-sets of traits, knowledge, skills and character. These together influence how effective can the leader be. These factor-sets are both ingrained and acquired as one progresses in life.

Competence

Competence or competency is defined as the ability to do something well. It also represents the knowledge or skill that is required to accomplish a particular thing. Leadership competency is a holistic set of capabilities needed to accomplish leadership tasks. Competencies may be interpreted to be as being inclusive of traits and qualities.

Each trait is a particular quality in one's personality. Traits are ingrained behaviours that upregulate or down-regulate knowledge and skill acquisition as well as interpersonal interactions

Character is the set of values and qualities that differentiates one person from the other

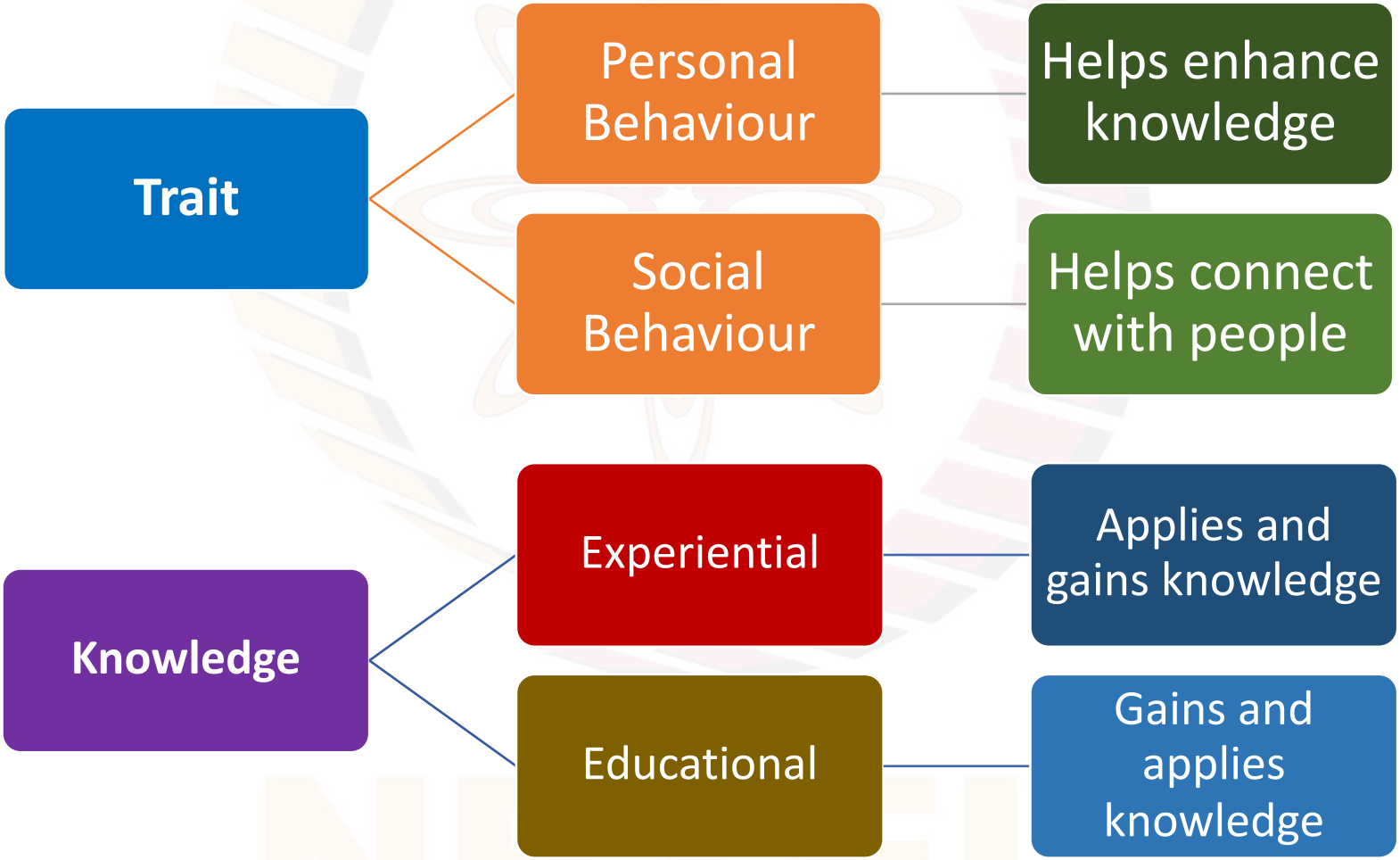
Knowledge, gained through acquisition or experience, is the underlying understanding of things that enables tasks and outcomes

Skill is the ability to do something well, that comes out of knowledge and its practical application

Competence is the cumulative result of all the above drivers and influencers. Traits and character are, by and large, behaviourally ingrained while knowledge and skill are continuously updated. That said, traits and character can be, and need to be, modified to enhance knowledge and skill levels and improve leadership effectiveness.

Trait and Knowledge

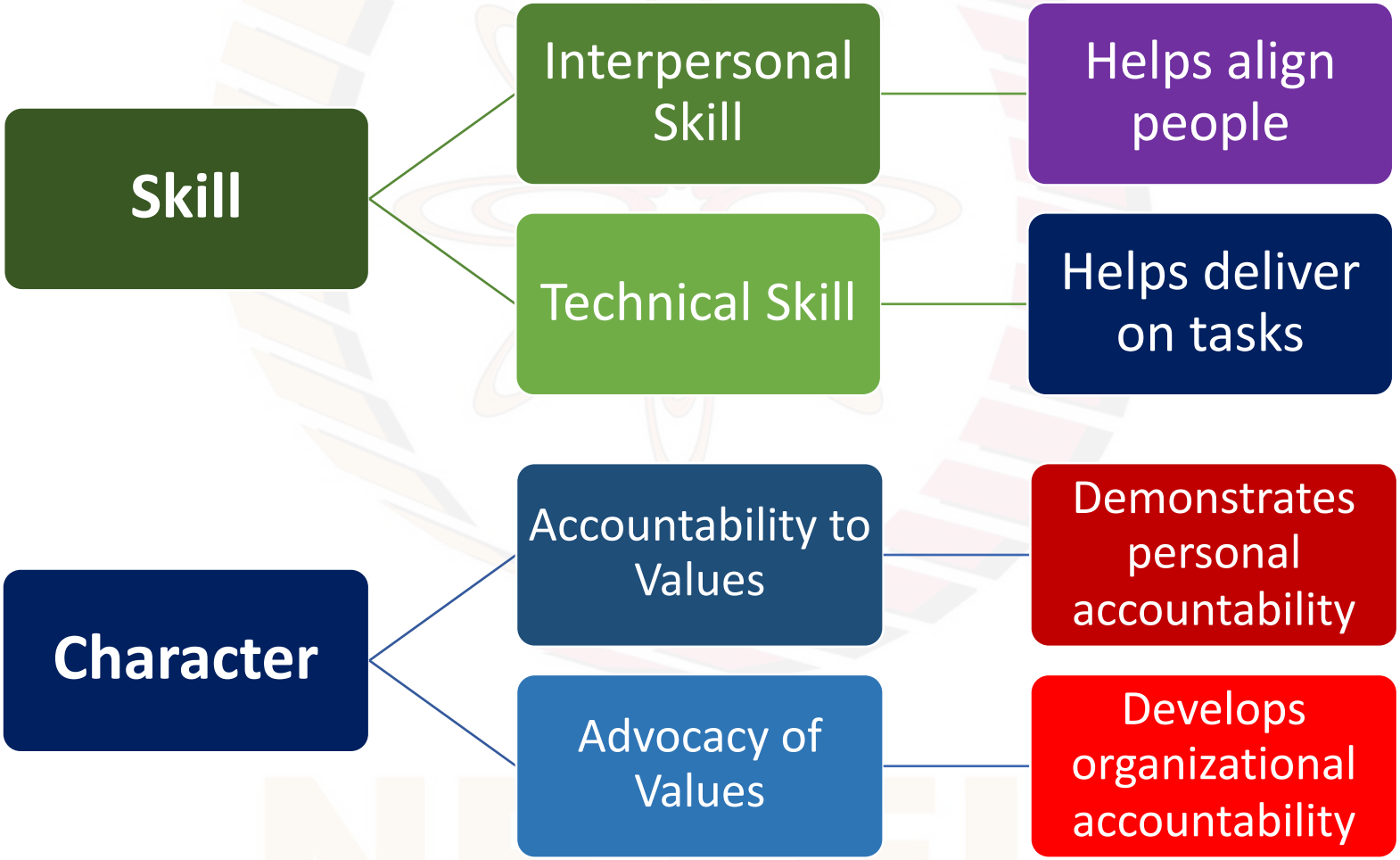
While different theorists think of and label leadership qualities through different terminologies, and try to place them into behavioural and non-Behavioural categories, they represent one holistic alchemy.



Trait and knowledge have interrelationship between themselves and with the other two factors. Each of the factors has two dimensions as demonstrated. Separation of the factors, therefore, tends to be simplistic and misplaced.

Skill and Character

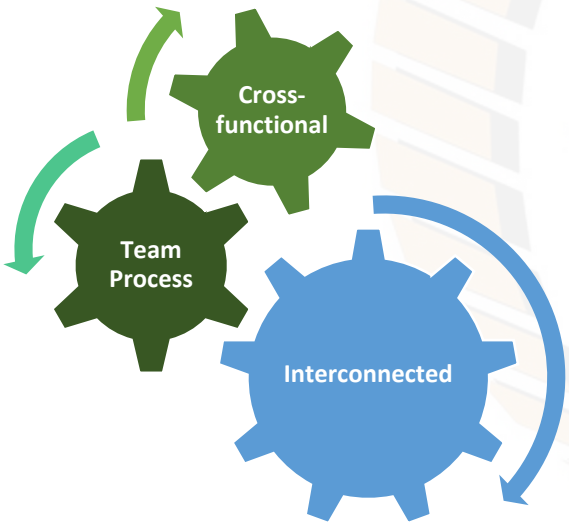
While different theorists think of and label leadership qualities through different terminologies and try to place them into behavioural and non-behavioural categories, they represent one holistic alchemy.

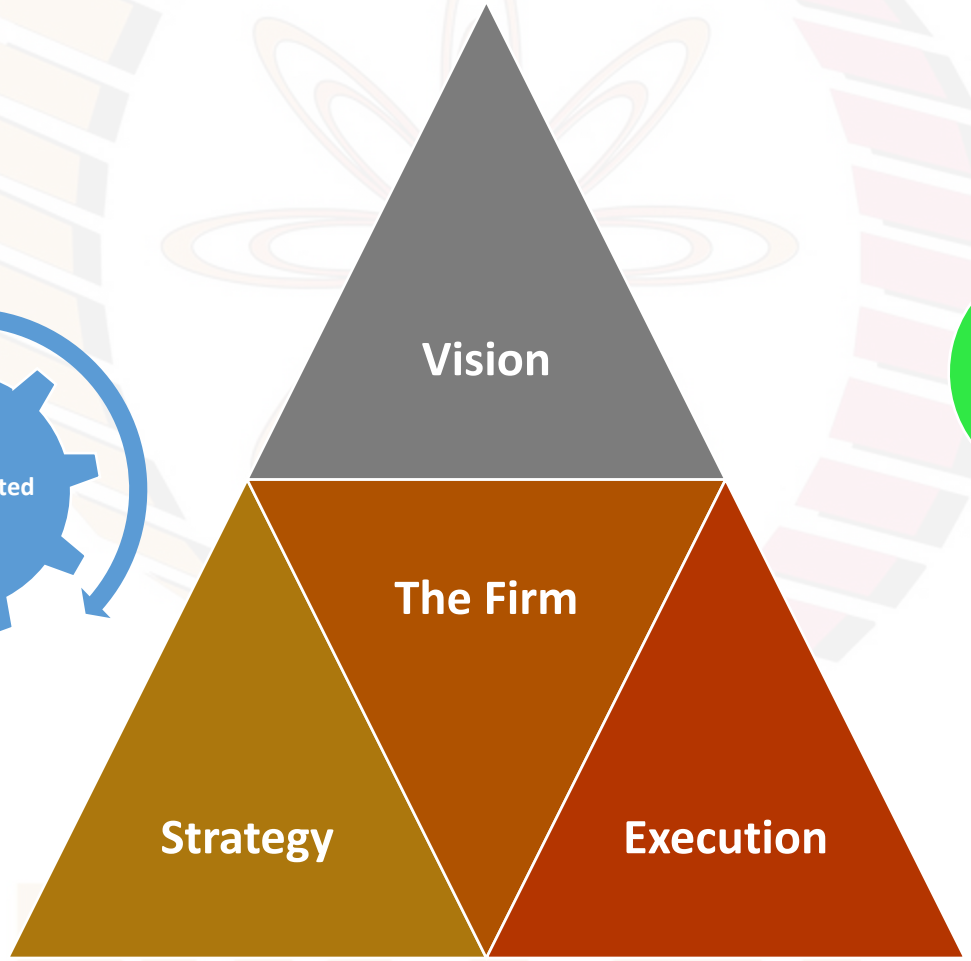


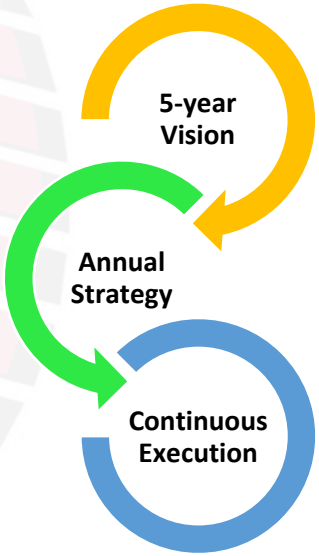
Knowledge and Skill may be seen as related to each other as Trait and Character are. But equally, each is related to the other factor as appropriately and logically as another. Leadership competence is, therefore, not an assembly of attribute factors but is an alchemy of all the factors.

Vision-Strategy-Execution Trilogy

The trilogy of vision, strategy and execution is the bedrock of successful leadership. Success in the three aspects requires a leader to be conceptually distinctive and analytically adept.



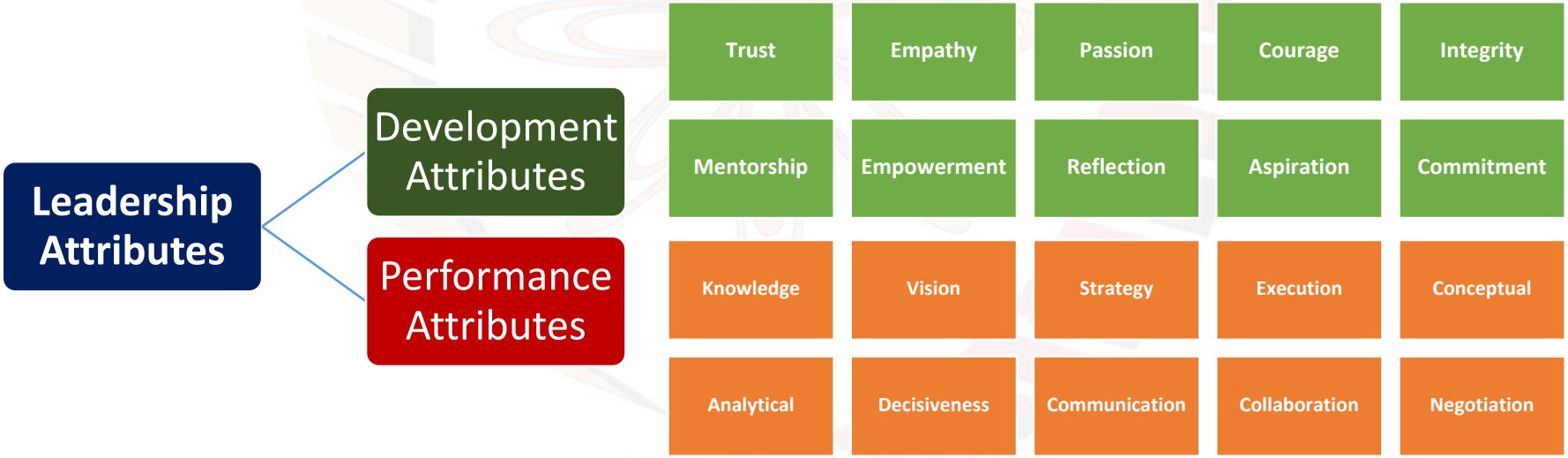




In the current dynamic environment, however, vision may need to be reviewed every two years, strategic opportunities and challenges analysed even within a year, and execution elevated for leadership attention through benchmarks and metrics, with integrated performance management as a continuous mentoring activity.

A Short List of Leadership Attributes

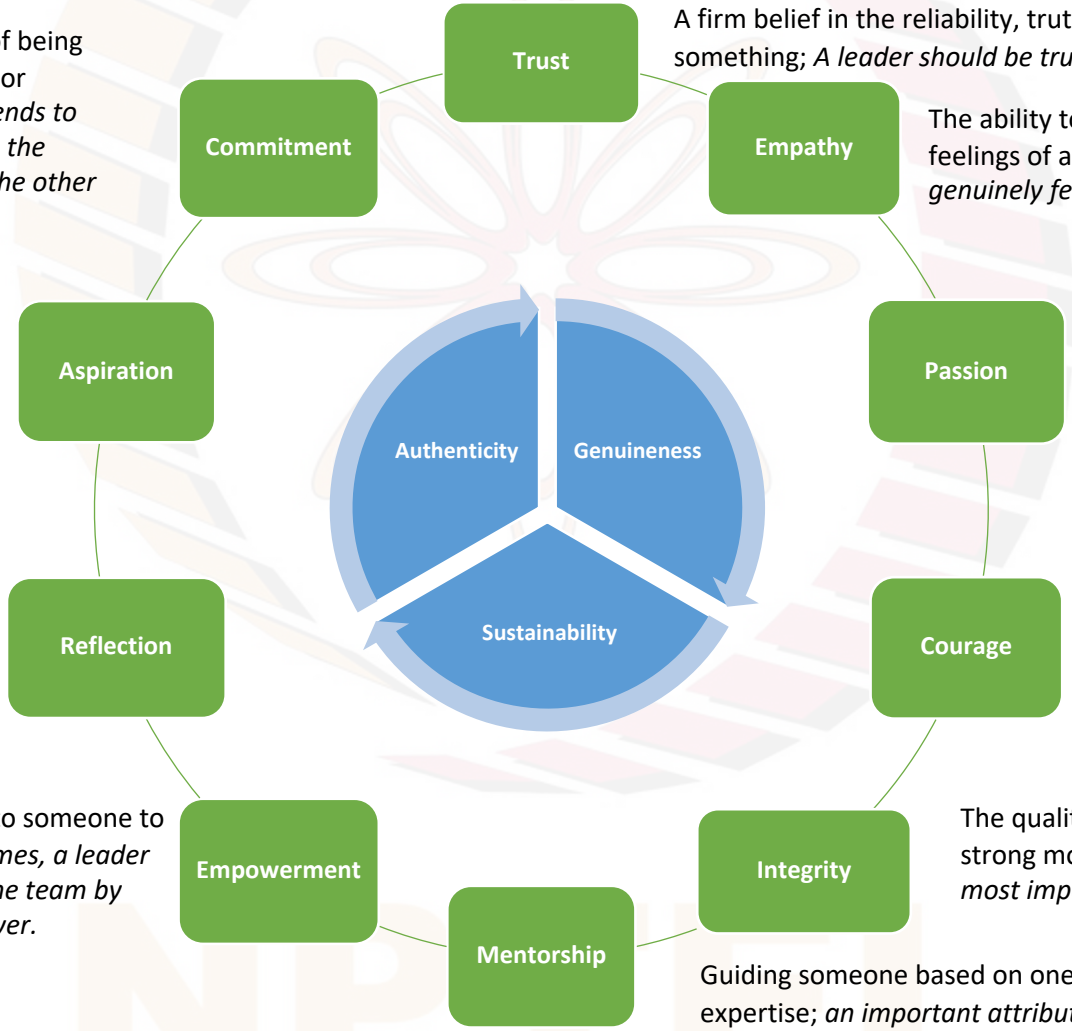
Leadership attributes are of two types. The first type comprises development attributes, and the second type comprises performance attributes. The first type makes a leader develop others while the second helps the organization perform.



The developmental leadership attributes may be considered qualitative dimensions of leadership while the performance leadership attributes may be considered the quantitative dimensions. In combination, the two types of leadership factors make one a complete leader, capable of developing leaders while driving performance.

The Developmental Leadership Attributes

The ten developmental attributes are of great importance for a leader. These represent the intrinsic characteristics of an individual that are shaped by his or her family, educational and socio-cultural journey.



Trust — A firm belief in the reliability, truth, or ability of someone or something; *A leader should be trusting and trustworthy.*

Empathy — The ability to understand and share the feelings of another; *Empathy must be genuinely felt by others.*

Passion — A strong and unflinching desire for something or to accomplish something; *In leadership's context passion must be for goals*

Courage — Bravery or the ability to do something or to accomplish something without fear; *In leadership's context courage means risk-taking ability as well*

Integrity — The quality of being honest and having strong moral principles; *Integrity is the most important attribute for a leader.*

Mentorship — Guiding someone based on one's experience and expertise; *an important attribute for a leader.*

Empowerment — Authority or power given to someone to do certain things; *Many times, a leader would need to empower the team by sharing his or her own power.*

Reflection — Contemplative thinking; By being open to such thinking, *a leader is likely to take considered decisions.*

Aspiration — An ambition to achieve something big or desirable. *Aspiration is an integral part of leader psyche.*

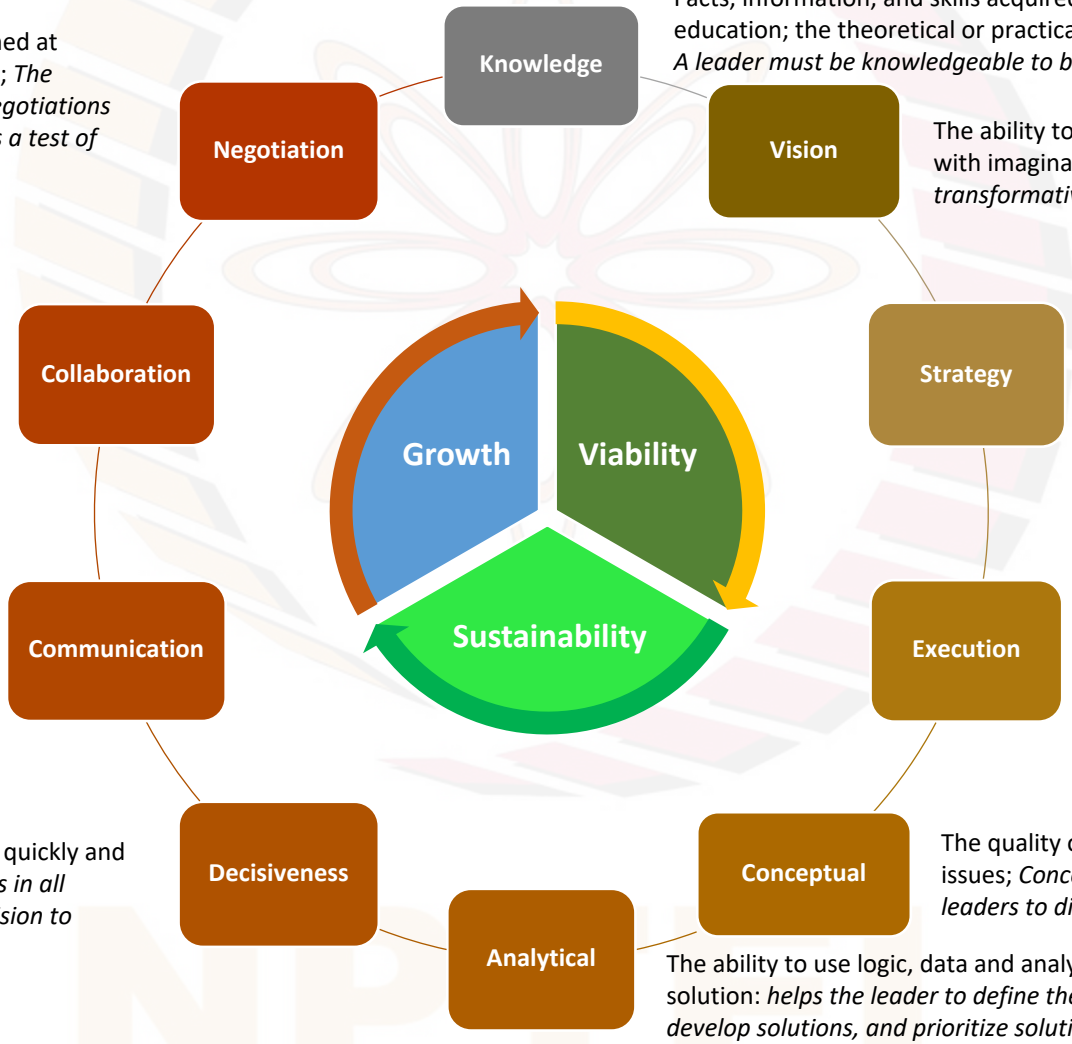
Commitment — The state or quality of being dedicated to a cause or activity; *The leader tends to remain committed to the causes as well as to the other 9 attributes.*

Authenticity · **Genuineness** · **Sustainability**

The developmental leadership attributes set high expectations and inspire high performance in an organization, but require authenticity, genuineness, and sustainability on the leader's part.

The Performance Leadership Attributes

The ten performance attributes are of great importance for a leader. These represent the intrinsic drivers of an individual that are acquired by the leader through the educational and experiential journey.



Facts, information, and skills acquired through experience or education; the theoretical or practical understanding of a subject.; *A leader must be knowledgeable to be performance-driven.*

The ability to think about or plan the future with imagination or wisdom; *Vision sets apart transformative leaders.*

A plan of action designed to achieve a long-term or overall aim; *In leadership's context strategy is essential for prudential movement towards the vision and goals.*

The carrying out of a plan, order, or course of action; *A leader's effectiveness gets eventually judged by his execution capability*.

The quality of imagining and visualizing issues; *Conceptual skills are necessary for leaders to distil issues.*

The ability to use logic, data and analysis for problem-solution: *helps the leader to define the problem, develop solutions, and prioritize solutions*

The ability to make decisions quickly and effectively; *Decisiveness helps in all aspects of leadership, from vision to execution.*

The imparting or exchanging of information by speaking, writing, or using some other medium; *a leader excels in communication.*

The action of working with someone to produce something. *A leader needs to be as collaborative as competitive.*

Iterative discussion aimed at reaching an agreement; *The ability to go through negotiations for positive outcomes is a test of leadership.*

While the performance leadership attributes are usually the visible dimensions of leadership, these are backed by, and rendered more effective with, the developmental attributes considered as well.

Communication-Collaboration-Negotiation

A successful leader has three other critical skills—communication, collaboration and negotiation. These are interrelated in that communication is fundamental to both collaboration and negotiation, and both communication and collaboration are fundamental to negotiation. Negotiation itself is a key leadership attribute.

Communication is the art and science of insightful and impactful speaking, and perceptive and reflective listening. Good leaders are good communicators who build trust and rapport with authenticity. Communication is more than language skill. Ability to process thoughts and constructs in real-time is a key aspect of effective communication.

While negotiation is often seen in a negative tone with an interpretation bordering on bargaining based on power and need dynamics, nothing can be farther from truth—negotiation is the skill of developing and finalizing the terms and conditions of engagement between two or more parties who need to participate in a common endeavour.

Collaboration is as important as competitiveness, whether the stakeholders are part of the company's value chain or competitors to the company's value chain. Authentic communication by leaders leads to development of credibility and rapport that, in turn, leads to collaboration with greater alignment of purpose with internal and external stakeholders.

Even if the parties have different viewpoints and need-based profiles, skilful negotiation ensures that they come up with mutually supportive rules of the joint game even while retaining individually agreed degrees of freedom. The success of negotiation depends verily on the success of communication and collaboration.

The three skills of communication, collaboration and negotiation are also skills of efficiency and effectiveness where the impact needs to be felt in an optimal module of time with the positive benefits lasting for a really long time.

Conceptual-Analytical-Decisive

Experiential intuition tends to be higher when the leader has deep industry and domain experience. Often, without time-consuming conceptualization and analytics, the leader may move into the decision making phase.

Conceptualization

- Occurs naturally to leaders who possess the skill to grasp the issues in the entirety
- Such leaders appreciate the issues for their implications and distil them to the core, relevant ones.

Analytics

- Worthwhile when reliable or predictable data sets relating to various causal factors are available.
- Analytics that are more easily verified with real-time observations and logic remain the preferred ones

Decision Making

- Significant enhancements in algorithmic and heuristic capabilities, mathematical modelling and simulation
- Digital tools such as artificial intelligence, machine learning and deep learning

The modern-day leader is required to integrate the intuitive conceptualization with the newer artificial intelligence technologies and analytical tools to be able to position the firm competitively for the future.

Decisiveness

Decisiveness is facilitated when the issues are conceptually distilled and analytically dissected for prioritized solutions. A leader cannot delegate conceptual and analytical tasks to staff resources. To be decisive, the leader needs to be conceptually and analytically hands-on.

Distilling complex issues into core factors, and finding solutions

Analytical ability to process huge amounts of data and information on a continuous basis and make data-driven choices

Decisiveness

A highly individualistic mix of intuition, conceptualization and analytics in decision-making

For leaders as well as those who are led, decision-making is the most important vehicle and the most visible symbol of executive effectiveness.

A Combination of Soft and Hard Skills

Soft Skills

Usually personality driven
Highly individual-specific
Conditioned by ecosystem
Influenced by core values
Experiential

Difficult to Acquire, Hard to Lose

Hard Skills

Usually technical & scientific
Highly domain-specific
Prone to obsolescence
Need continuous fortification
Related to core functional areas such as design, manufacturing, quality and marketing

Easy to Lose, Difficult to Acquire

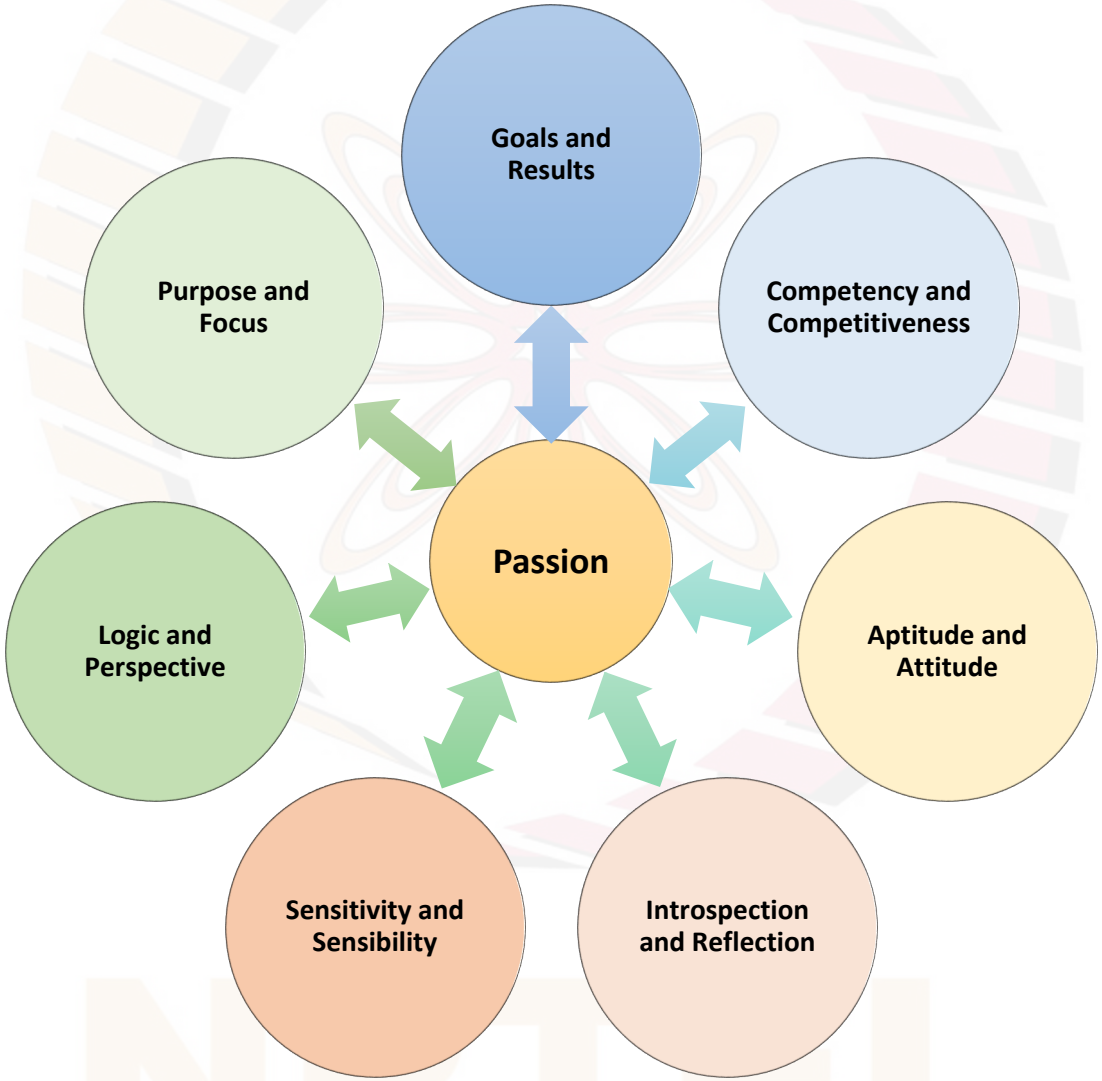
Combined Skills

Hard skills and Soft Skills supplement and reinforce each other

An alchemy that is formidable

In people and technology driven Quality consulting business, for example, the essentiality of soft and hard skills being together in an individual cannot be overemphasized.

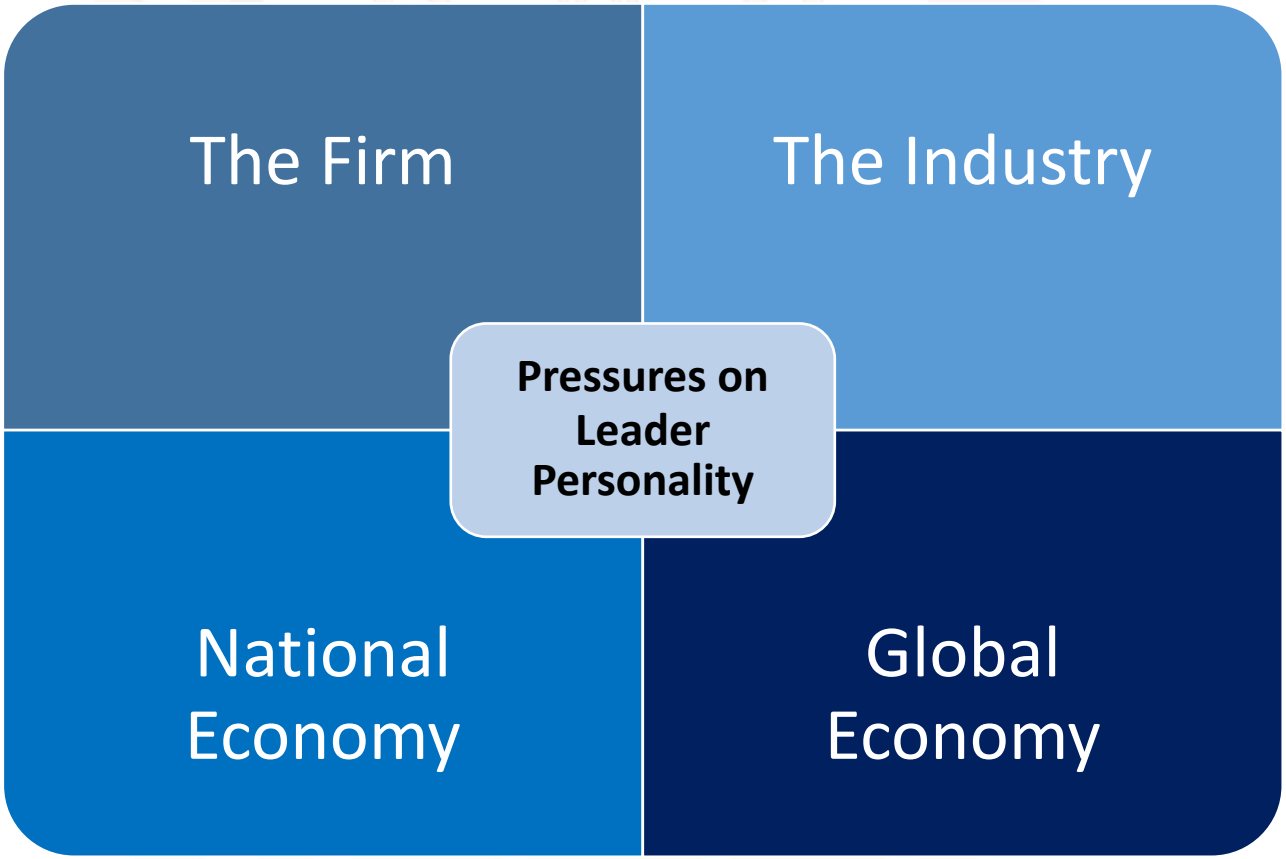
Passion and Individual behaviour



Passion manifests itself in many forms of positive and constructive individual behaviour.

Simplifying the Leadership Construct

A leader's personality gets continuously shaped in the context of the firm and the industry, aiming for competitive advantage, and in the broader context of national and global economies, aspiring for comparative advantage.



These pressures are not pressures in a real sense; these are certain important inputs that further strengthen the thirty leadership attributes. These inputs are reflected in terms of education, experience, instinct and intuition. Some of these happen through a formal educational process or formal social setting but the leadership essentials are perpetual.

Leader as Individual

While so much is vested in a leader in terms of attributes and organizations, and leaders stay invested in each other significantly, it is important to recognize that the leader is also an individual.

Individuals think, express and act characteristically and differently.

Specific personality types, specific leadership styles, and specific competitive pressures bring out the variations.

These variations are accentuated by the business context in each case; the individual parameters constitute the core.

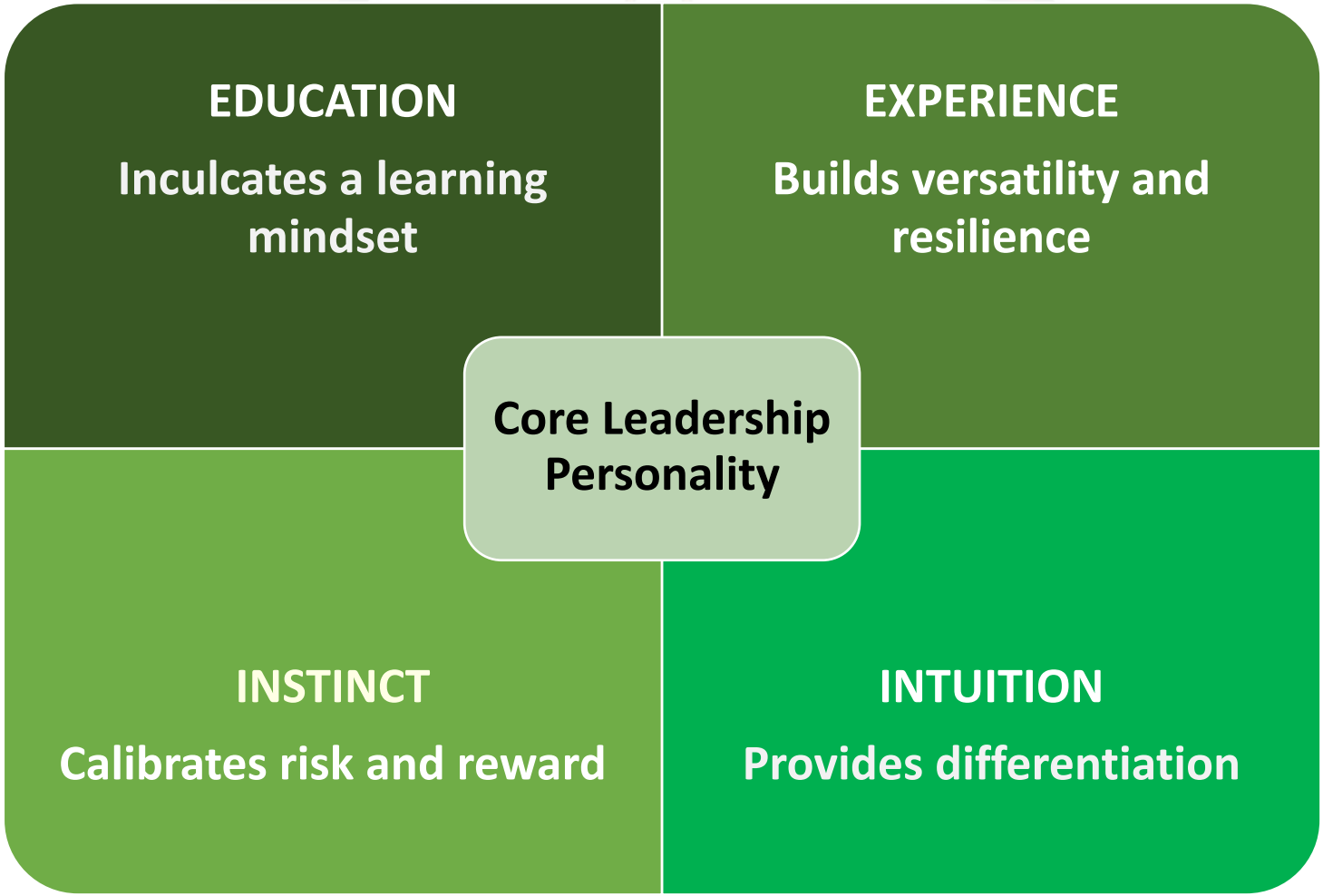
Individual Variations

- Assertive Personality or Deliberative personality?
- Task-oriented style or People-oriented style?
- Competitive growth pressure or Comfortable stability need?
- Which combination exists in which situation?

Whatever applies to an individual also applies to a leader in the developmental process. Overarching all these, there are four essentials that characterize the leadership development process. These are the vehicles for developing the leader attributes.

A Framework of Four Leadership Essentials

Four leadership essentials serve as process components of leadership development and leadership effectiveness.



A framework of self-awareness (instinct and intuition) and self-development (education and experience) helps an individual become a good manager, a good manager become a good leader, and a good leader a better leader.

Beyond Education and Experience

Education and experience teach the leaders to be both methodical and creative. However, the ability to convert knowledge that is gained out of education and experience into expressions and actions is influenced by two genetically derived factors: instinct and intuition. These vary from individual to individual.

Instinct

- A person's natural tendency to behave in a unique way using the knowledge and abilities he or she was born with rather than taught or acquired through training

Intuition

- Intuition is the ability to know something by one's feelings rather than through facts or evidence.

Drive

- An instinctive or intuitive way of thinking, expressing and acting is one based on one's instinct or intuition, respectively

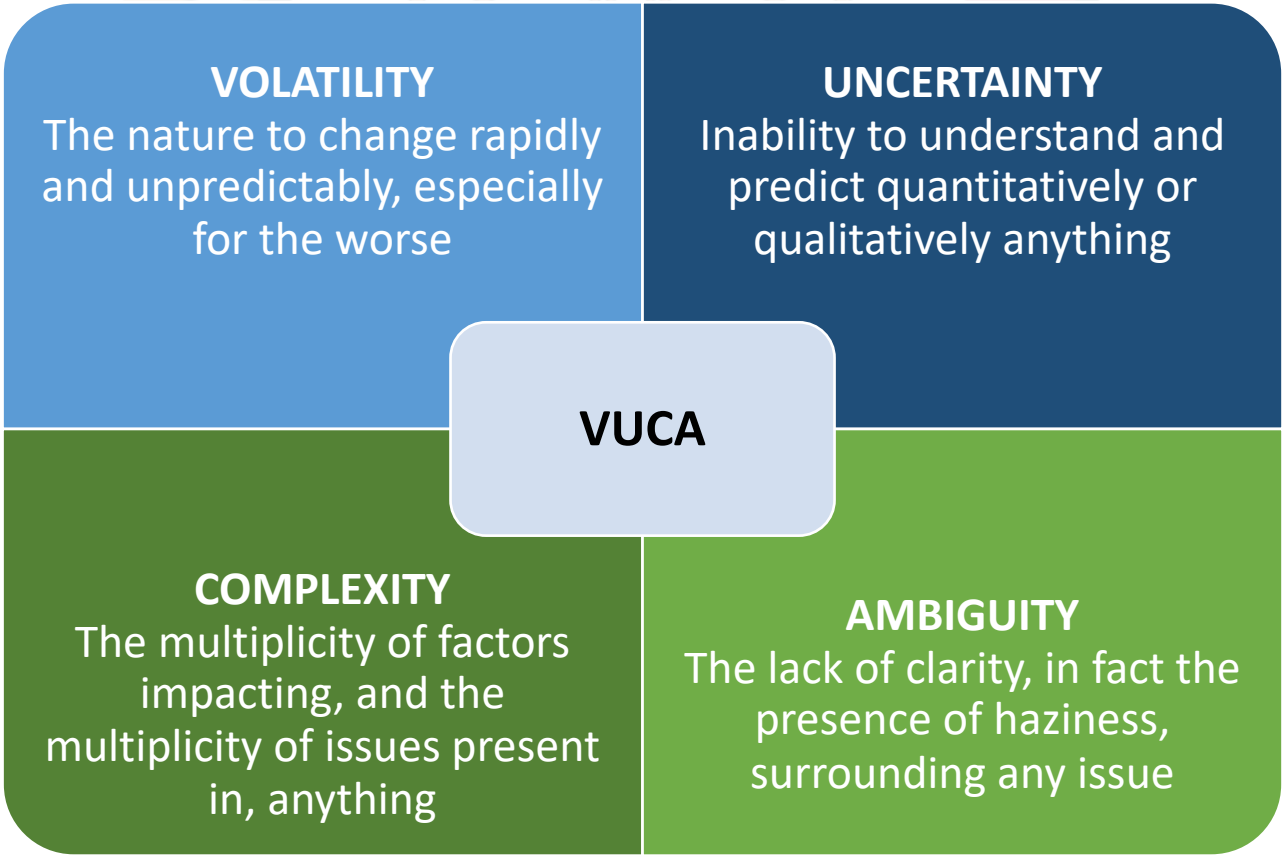
Personal Attributes

- As contrasted with education and experience, instinct and intuition tend to be fundamentally personal attributes

An individual draws on the instinct more frequently than intuition. Put another way, instinct becomes a driving force more frequently than intuition can be. The ability to down-regulate instinct and up-regulate intuition is a challenge for leaders.

VUCA World

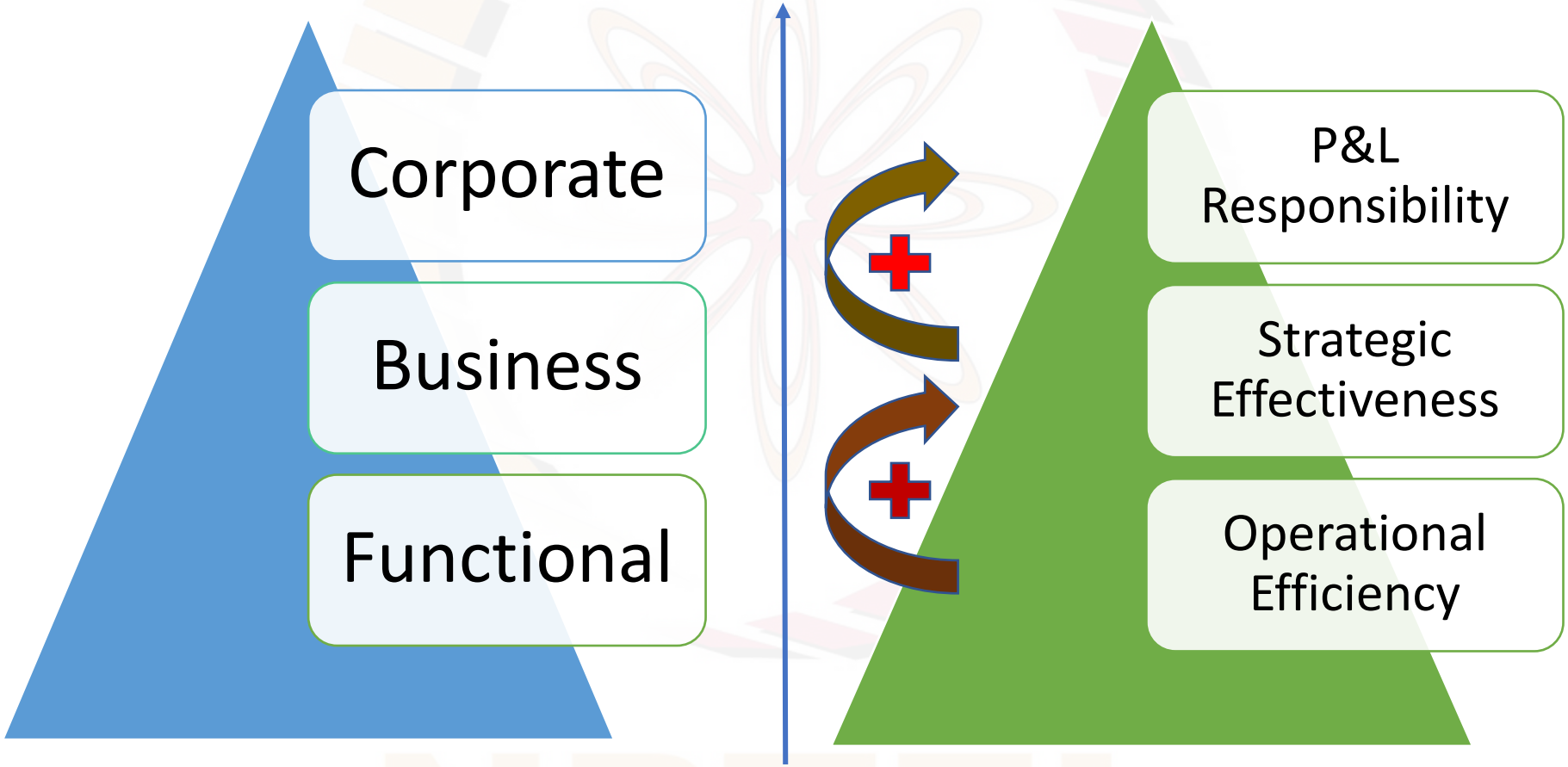
Over the last few years, the concept of "VUCA" has been gaining popularity as a term to cover the various dimensions of ‘uncontrollable’ environment that an organization faces. So much so, ‘leadership for the VUCA world’ has arisen as a separate discipline. VUCA is an acronym that stands for Volatile, Uncertain, Complex and Ambiguous.



The four factors, VUCA, come together in multiple and unpredictable ways that either confound decisions already taken or future decision making. VUCA severely curtails or disturbs the capacity to look ahead, plan ahead and move ahead. Leadership for the VUCA World has to be, therefore, in a continuous learning and development mode.

Pausing to Learn

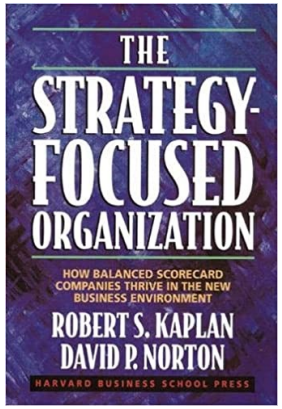
Leadership journeys take place as per certain typical formats. Each transition level is a very specific opportunity to learn and take leadership to the next higher level. Three distinct phases of leadership impact may be seen as below.

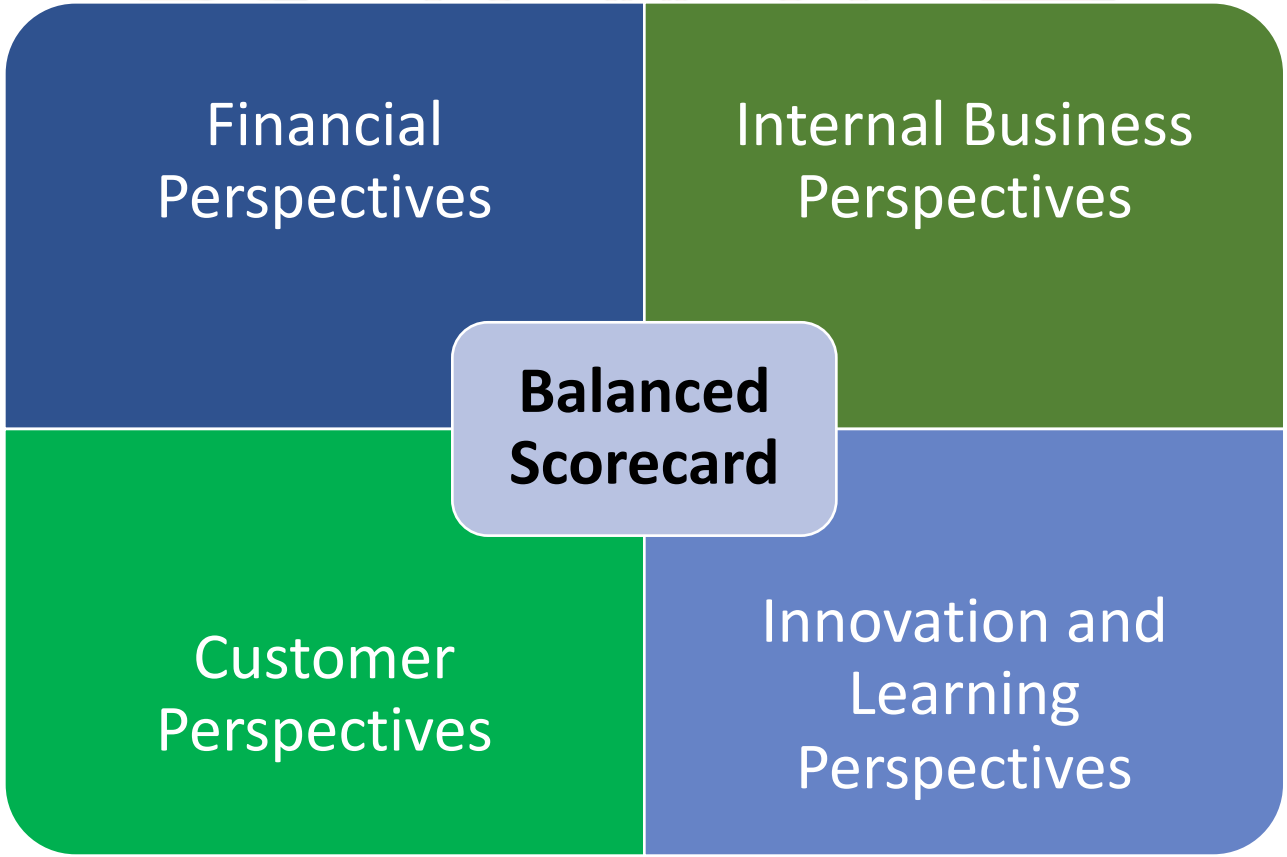


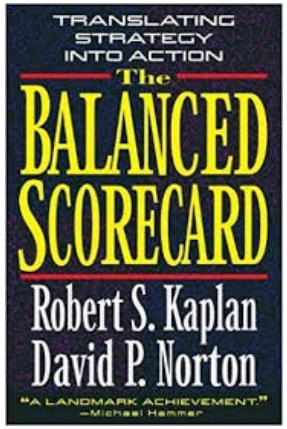
Reflection on the breadth of a corporate strategy versus the narrowness of operational tactics as well as the expediency of the short term versus the value of the long term is important. This reflection helps one expand the horizons to take on newer responsibilities.

Rewiring to Learn

The human brain is genetically wired to a reward-and-effort principle. While individual variations due to education and upbringing do exist, the core leader aspiration is to seek a reward or a set of rewards such as revenue growth, share growth or profit growth. The relevance of the balanced scorecard lies in the context of 'reward-spread' effect.



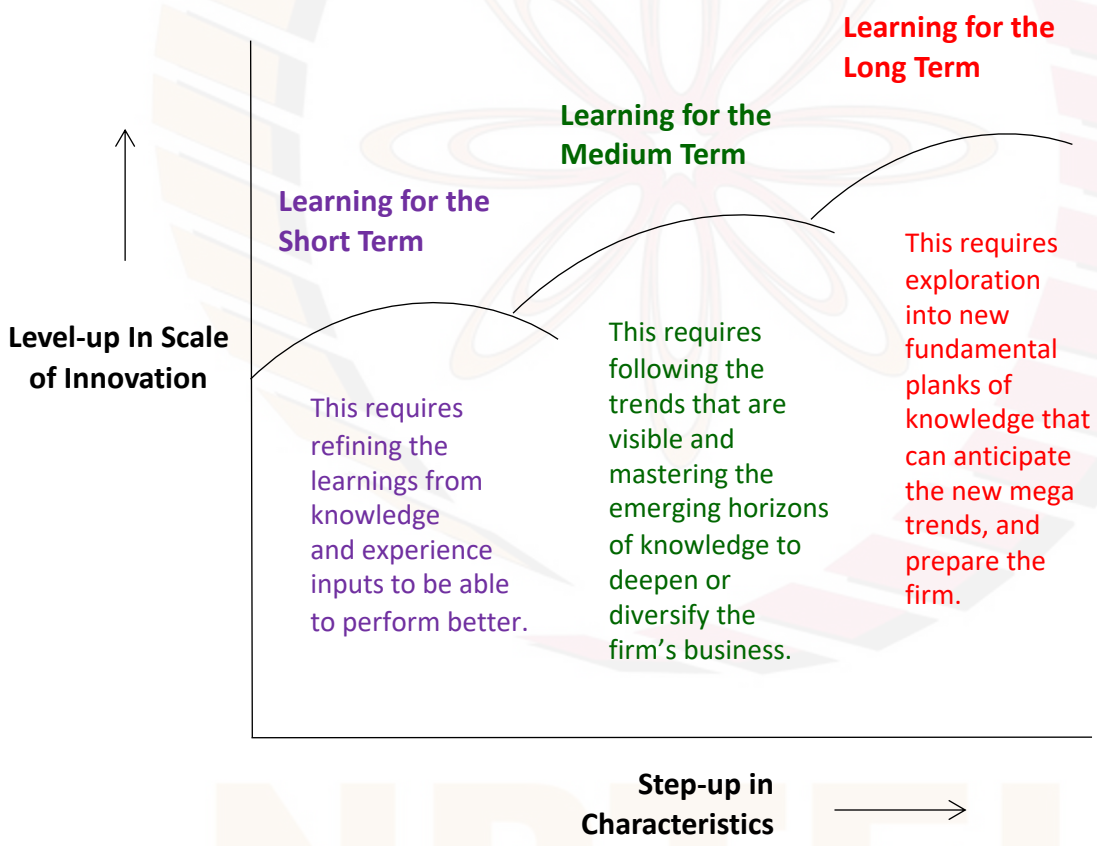




BSC approach creates a direct nexus between learning, innovation and improvement. A company's ability to innovate, improve, and learn ties in directly to the company's value. That is, only through the ability to launch new products, create more value for customers, and improve operating efficiencies continually can a company penetrate new markets and increase revenues and margins—in short, grow and thereby increase shareholder value.

Short-Medium-Long

Most become leaders by demonstrating higher corporate performance, in immediate material and financial terms. Many leaders, however, end up remaining focused only on the most expedient strategies or the most important stakeholders for maximal impact. A continuous learning and development strategy for leaders would help set the bar continuously higher.



A firm is what it sees itself in terms of its boundaries—so is a leader (who can be a true leader in the holistic sense or a mere dealer of transactions and events) in terms of the boundaries and limits set for oneself.

The Apex Leader

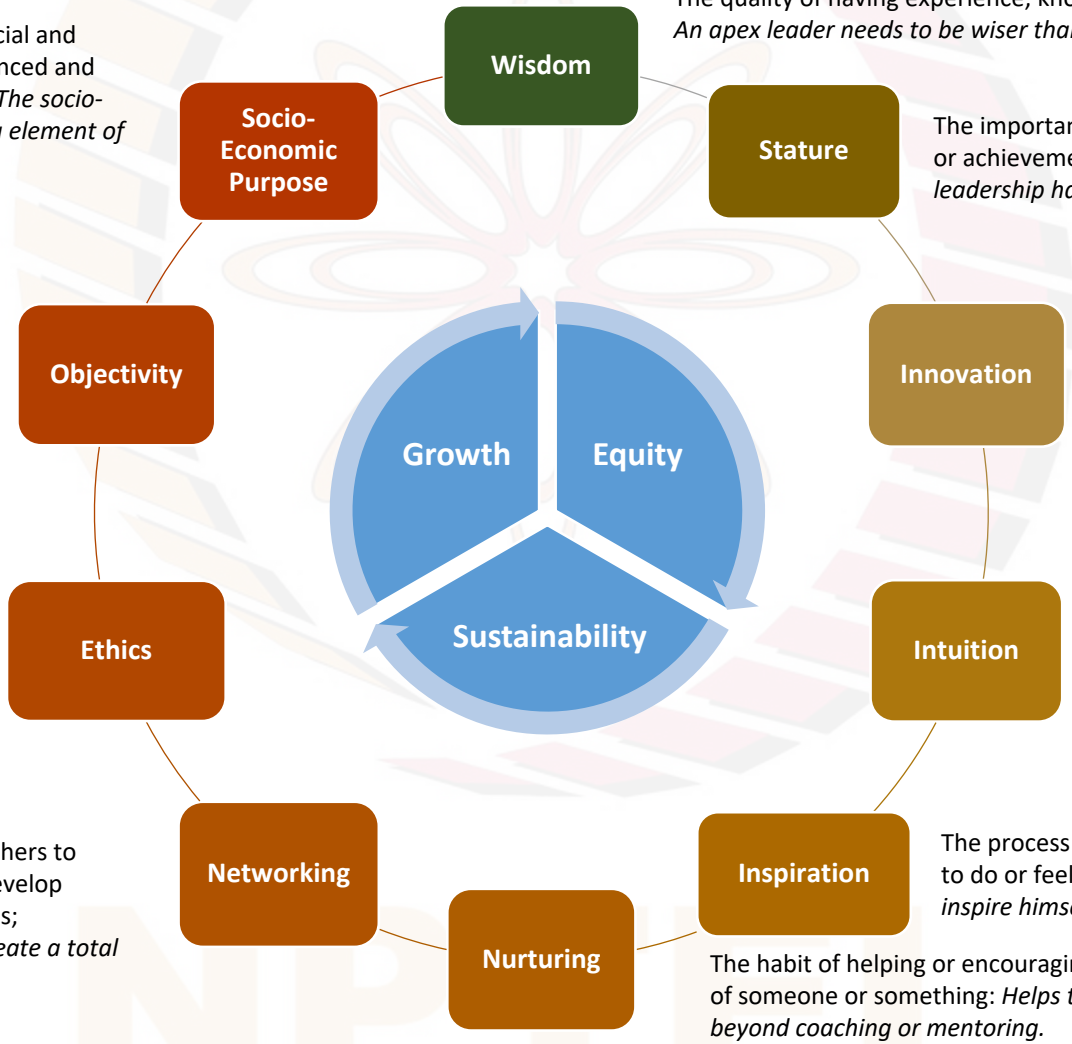
Among leaders, an apex leader or a leader is one who leads other leaders, typically as a Chief Executive Officer (CEO). A CEO is even more differentiated, and has greater accountability and responsibility than anyone else in the organization.

- The CEO is responsible for setting transformational vision, perceptive strategy, and flawless execution
- The CEO establishes the strategic direction and leads the company in that direction
- He or she is also responsible for ensuring leadership continuity

The CEO is a critical role, and a singular role, irrespective of the type of the organization and the nature of industry and business the firm is in. There exist a few common types of organization, in all of which the CEO role is unique.

Apex Leadership Attributes

The ten attributes of an apex leader are of great importance for a leader who needs to be the leader of leaders. These represent a higher lever of leadership attributes that can inclusively and resolutely take other leaders along.



Wisdom – The quality of having experience, knowledge, and good judgement; *An apex leader needs to be wiser than the rest.*

Stature – The importance or reputation gained by ability or achievement; *For an apex leader, exercise of leadership happens through stature than title.*

Innovation – The ability to come up with a new method, idea, or product; *In leadership's context innovation helps pioneer.*

Intuition – The ability to understand something in a self-illuminated way, without the need for conscious reasoning; *A leader's effectiveness gets heightened by the intuitive ability.*

Inspiration – The process of being mentally stimulated to do or feel something; *A leader should inspire himself and inspire others.*

Nurturing – The habit of helping or encouraging the development of someone or something: *Helps the leader to go beyond coaching or mentoring.*

Networking – The ability to interact with others to exchange information and develop professional or social contacts; *Networking helps a leader create a total ecosystem.*

Ethics – The moral principles that govern a person's behaviour or the conducting of an activity; *A leader conforms always to a moral compass.*

Objectivity – The quality of being objective, fair, unbiased and just. *A leader needs to be viewed as being objective to build credibility.*

Socio-Economic Purpose – A purpose that meets both social and economic objectives, in a balanced and mutually reinforcing manner; *The socio-economic purpose is a defining element of authentic leadership.*

Growth **Equity** **Sustainability**

An important goal of apex leadership is to create an alchemy of senior leaders. An apex leader needs to also balance economic compulsions with social imperatives to drive sustainable and equitable growth.

Networking

A successful leader networks with the outside world as much as he or she does within the organization. He has the ability to represent the firm in the industry, an industry in the economy, an economy in the nation, and a nation in the world. A leaders' leader demonstrates an ability to understand, strategize and execute multifarious growth needs.

The ability to connect with internal team members, formally and authoritatively as well as informally and unobtrusively, is an essential component of leadership.

It establishes an organizational culture and climate that benefits not merely a few leaders but a host of aspirants across the organization.

Three underlying dimensions to successful networking

The willingness to think beyond the firm enables a leader to connect with competing firms and economic stakeholders with equanimity

The ability to seek, appreciate and, where appropriate, improve each other's points of view helps leaders to forge a broad spectrum of relationships with leaders who have similar qualities and skills.

The ability to connect with simple and logical thought leadership helps leaders to gain spontaneous acceptability with both internal and external stakeholders.

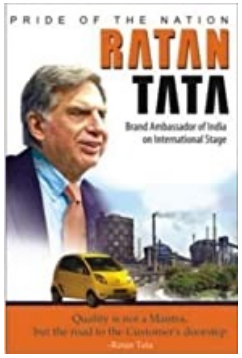
Networking is neither diplomacy nor collaboration. It is a concept that goes beyond industry boundaries and creates a national network or even global network of leaders, sharing some - if not all - the causes.

Leader of Leaders – Ratan N Tata, Tata Group

Ratan N Tata succeeded Tata Group's legendary leader J R D Tata who made Tata Group into a conglomerate with companies headed by strong leaders. Ratan Tata moved into JRD's shoes admirably and also drove forward the Group's further aggressive integration, diversification, and globalization across industrial and business segments.

Organization Structure presented merely for Illustration; Ratan Tata led many other leader-stalwarts of the times

TATA
LEADERSHIP WITH TRUST



Ratan Tata
Chairman, Tata Group

Ravi Kant
CEO, Tata Motors

Dr J J Irani
CMD, Tata Steel

S Ramadorai
CEO, TCS

Darbari Seth
CEO, Tata Chemicals

Ratan Tata was the leader of leaders who not only transformed businesses but also ensured leadership development and leader transitions

Ratan Tata headed India's respected Tata Group, a 70-company salt to software and steel to auto conglomerate

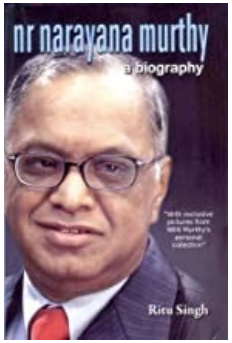
Ratan Tata assumed leadership for restructuring, rejuvenating, and globalizing the Tata Group. He was personally responsible for leading top-ranking companies such as Tata Beverages, Tata Steel, Tata Motors, Indian Hotels, and Tata Chemicals acquiring global marque businesses and pitchforking India onto the global industrial scene.

Leader of Leaders – N R Narayana Murthy, Infosys

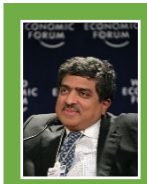
N R Narayana Murthy started his entrepreneurial journey in 1972 forsaking a fixed income job, and established Infosys along with his colleagues. Over the years, he grew not only as great leader but also as a leader of leader.

All the co-founders served as board members and heads of key verticals. Nandan, Kris and Shibulal moved in as the CEOs of the company too.

Infosys®

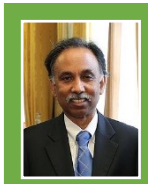


N R Narayana Murthy
Founder, Infosys



Nandan Nilekani
Co-founder, Infosys

Kris Gopalakrishnan
Co-founder Infosys



SD Shibulal
Co-founder, Infosys

K Dinesh
Co-founder, Infosys

N R Narayana Murthy commanded complete respect and alignment of his co-founders as he crafted Infosys vision and strategy, and executed

N R Narayana Murthy was a leader of leader who working with his co-founders developed Infosys as a global IT giant

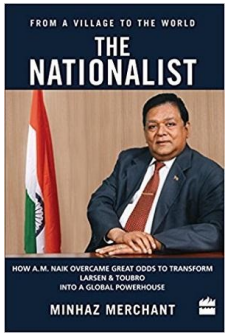
N R Narayana Murthy's leadership was marked by many apex leadership qualities, of which innovative business models, leadership nurturing and ethical leadership behaviour were three of the striking, role modelling attributes.

Leader of Leaders – A M Naik, L&T

A M Naik rose from the ranks in L&T to become its Chairman. During his tenure L&T grew from strength to strength as a highly diversified infrastructure, construction, technology and financial conglomerate with leadership in each field.

Organization Structure presented merely for Illustration; Chairman A M Naik led many other companies and leaders in the Group

LARSEN & TOUBRO



A M Naik

Chairman, L&T Group

S N Subrahmanyan

MD&CEO

Subramanian Sarma

MD, L&T Hydrocarbon

Shailesh Pathak

MD, L&T Infrastructure

Sanjay Jalona

MD , L&T Infotech

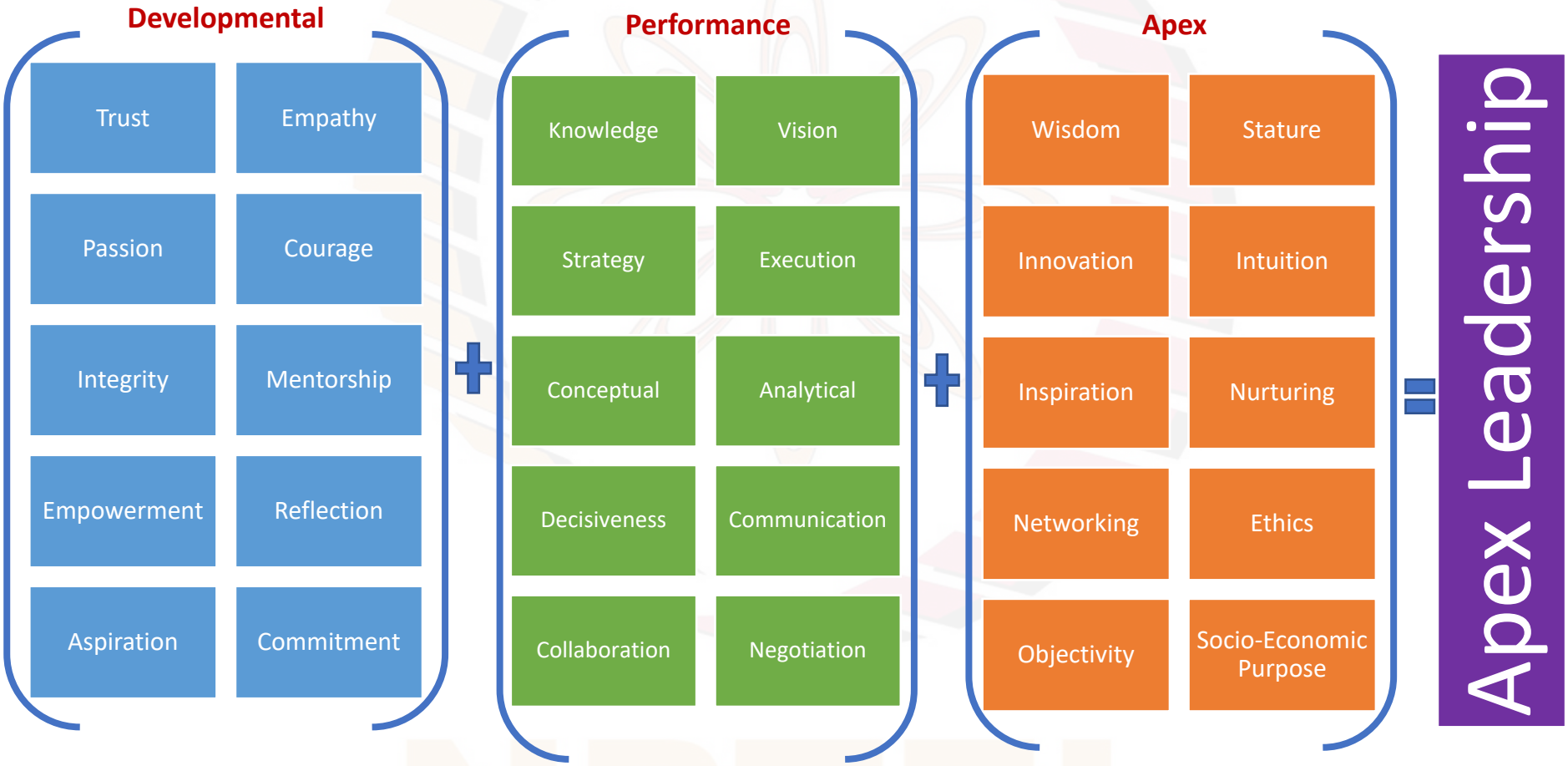
A M Naik's tenure is notable for building technological leadership across the organization, from the frontline executive to senior level

A M Naik led L&T as a diversified global construction and infrastructure powerhouse with various other interests

A M Naik was truly a leader of leaders who expanded core businesses, diversified the Group into new business lines, and developed internal leaders. When required to defend his company from hostile takeovers, he rose to the occasion and stood up against business giants such as Reliance and Ultratech.

Leadership and Apex Leadership Attributes

The twenty foundational developmental and performance leadership attributes, and the ten apex leadership attributes make one a complete leader – a leader capable of leading businesses led by leaders to greater heights.



The three examples of apex leaders of India's leading conglomerates, of which Sir Ratan Tata and Tata Group are in a league of their own, illustrate how the ten apex leadership attributes help the leaders take the Indian industry onto the global stage, through a combination of organic and inorganic national and global initiatives.

Thank you!